

CHANEL LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

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STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

The directors of Chanel Limited (the “Company”) have prepared this Strategic Report with the purpose of providing the Company’s stakeholders with information to help them assess how the directors have performed their duty to promote the success of the Company and its subsidiaries (together the “Group” or “Chanel”), in compliance with section 414C of the Companies Act 2006.

BUSINESS OVERVIEW

Chanel Limited is a private company, headquartered in the United Kingdom. The Group is a leader in creating, developing, manufacturing, and distributing luxury creations of the finest quality and highest level of craftsmanship.

Chanel is focused on having a positive impact in the world and remaining a beacon of inspiration for the next 100 years. Committed to offering the ultimate client experience, we champion freedom of creation, human craftsmanship and *savoir-faire*, and continue to shape what’s next.

The Group operates across multiple geographies and its creations are sold worldwide under the CHANEL Brand through Group-owned boutiques and via wholesale distribution. Chanel has over 600 Group-owned standalone boutiques in over 40 markets and distributes products to over 140 markets worldwide. Chanel also continues to invest in digital client experiences, ensuring that the immersive and online journey is as outstanding as the experience in boutique.

CHANEL is a Brand with core values that remain grounded in exceptional creation. As such, it promotes culture, art, creativity and *savoir-faire* throughout the world and invests significantly in people, research and development and innovation.

The Group is committed to making a positive impact on its people and wider communities, always taking a long-term, holistic approach. This includes the sustainable transformation of its business to deliver across key areas including climate, nature, circularity, thriving communities and the autonomy of women.

Chanel has a matrix structure across its three business activities (Fashion, Fragrance & Beauty and Watches & Fine Jewellery), operating in multiple regions around the world, and central company functions, which encompass people, sustainability, legal, technology, finance and procurement, among many others.

Across its three business activities, Chanel offers a broad range of high-end creations: Haute Couture, Ready-to-Wear, Leather Goods, Fashion Accessories and Eyewear; Fragrances, Makeup and Skincare; as well as Watches, High Jewellery and Fine Jewellery. Each business activity is responsible for its own product development, and the local markets carry out the Group’s strategy, coordination and production distribution.

Fashion

Chanel’s Fashion activities cover Haute Couture, Ready-to-Wear, Leather Goods, Shoes, Eyewear, Costume Jewellery and other accessories. Each year there are six Ready-to-Wear collections, two Haute Couture collections and two Capsule collections. Chanel is dedicated to *savoir-faire*, continuing to invest in and acquire *Métiers d’art* and Manufacturers as part of its *Manufactures de Mode* ecosystem. This helps preserve precious artisan skills such as embroidery, millinery, lacework, knitwear, leather and shoemaking.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

BUSINESS OVERVIEW (CONTINUED)

Fashion (continued)

This ecosystem has grown significantly in recent years and now constitutes a rich and diverse group of more than 60 companies, including 11 *Métiers d'art* and around 50 Manufacturers. These companies are involved in different stages of production from raw materials to finished products, such as textiles, leather, metal components, leather goods, shoes and costume jewellery, showcasing exceptional craftsmanship and innovation.

Chanel's commitment to the preservation of *savoir-faire* is embodied by *le19M*, a place of work, gathering, and transmission built in 2021 across the border of the 19th arrondissement of Paris and the town of Aubervilliers. This exceptional place is home to over 600 artisans and hosts *Métiers d'art* workshops as well as a school for embroidery (*École Lesage*), and a gallery space.

As part of its focus on the preservation of craftsmanship, Chanel continues to expand CHANEL & moi – a set of tailor-made aftercare services for clients, designed to provide care for and support the longevity of CHANEL creations.

Chanel's Fashion business is a long-standing patron of major French institutions such as the Grand Palais, the Palais Galliera, the Opéra national de Paris and the Cinémathèque française. Building on over 100 years of involvement with the film industry, the Fashion business also creates costumes for films and collaborates with the world's most renowned writers, institutions and festivals.

Fragrance & Beauty

Chanel has over 100 years of legacy in fragrance creation, following the launch of its iconic CHANEL N°5 in 1921. Chanel has a distinctive approach to fragrances, with creation at the heart of everything, expressing the House's singular style.

Chanel is one of the very few perfumers in the world with a completely integrated value chain from creation to manufacturing. It is also one of the few Houses with its own in-house Creator and integrated Perfume Creation and Development Laboratory, located in Neuilly, France. Using the highest quality ingredients, Chanel owns its fragrance formulas and controls its composition, selecting ingredients one by one. Chanel grows flowers in its own fields in Grasse, France, working with the Mul family which has carefully cultivated the flower fields for over four generations. To achieve an exceptional level of fragrance subtlety, Chanel uses specific methods which allow only the purest parts of the raw material to be retained.

Makeup creation at Chanel celebrated its centenary in 2024. In 2022, Chanel revolutionised its approach to makeup design by creating the COMETES COLLECTIVE, a group of emerging talents shaping the future of beauty. In partnership with the CHANEL Makeup Creation Studio – which has brought its expertise in colour, nuance and balance since 1980 – the COMETES COLLECTIVE showcases diverse creative perspectives of beauty through its collections.

Pioneering innovation also sits at the heart of Chanel's approach to makeup as seen in its range of tailored client apps, including CHANEL Try-On, a makeup service powered by AI technology, as well as a dedicated Fragrance & Beauty app to discover, try and purchase Chanel fragrance and beauty products online.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

BUSINESS OVERVIEW (CONTINUED)

Fragrance & Beauty (continued)

In skincare, Chanel has almost 100 years of experience following Gabrielle Chanel's launch of the first skincare range in 1927. Skincare was re-launched in 2000, and the Group continues to invest heavily in research and innovation, as exemplified by the SUBLIMAGE range. This is visible in both its ingredients, such as the Vanilla Planifolia, which is grown and harvested in Madagascar, at the CHANEL Open-Sky Laboratory, and its refillable packaging which weaves sustainability and desirability together. Chanel's dedication to skincare is embodied in its new boutique in Passy, France – *La Maison de Beauté* – a worldwide flagship store which offers clients the ultimate beauty experience.

As part of its long-term focus on research and development, the House operates five CHANEL Open-Sky Laboratories around the world as centres for biodiversity exploration since 2005. In addition to Madagascar, these are located in Costa Rica, Bhutan, Gaudjacq in the South of France and the French Southern Alps.

Watches & Fine Jewellery

Chanel's Watches & Fine Jewellery business was created in 1932, when Gabrielle Chanel introduced her first and only jewellery collection *Bijoux de Diamants*, pioneering new methods of design. Chanel's High Jewellery embodies traditional, French *savoir-faire*, with each piece made entirely by hand, from initial design sketches to the construction and creation of pieces by craftsmen in the *ateliers* in Place Vendôme in Paris.

Chanel launched its own watchmaking in 1987, with the PREMIÈRE watch, setting up a watch design studio in Place Vendôme in Paris and investing in G&F Châtelain Manufacture in La Chaux-de-Fonds in Switzerland (acquired by the Group in 1993), now named the CHANEL Manufacture. In 2023, a training school was also opened to protect watchmaking *savoir-faire* alongside fine jewellery polishing skills, ensuring expertise transmission to trainees from diverse backgrounds, and supporting business expansion.

In Fine Jewellery, Chanel has introduced key collections that have become iconic, each capturing the House's heritage and boundless creativity – such as COCO CRUSH in 2015 and its *matelassé motif*, then Camélia as Mademoiselle Chanel's treasured flower, and finally N°5 Fine Jewellery recalling CHANEL's most precious number.

Over the years, Chanel has developed partnerships with major actors in the watchmaking industry creating an expert ecosystem of watchmakers, such as through investments in Romain Gauthier (2011), F.P. Journe (2018), Kenissi, which it co-owns, and MB&F, the world's first-ever horological concept laboratory, in which Chanel acquired a stake in 2024.

Today, Chanel Watches & Fine Jewellery collections are sold through dedicated boutiques and in our Fashion boutiques worldwide, as well as through over 280 wholesale partners. The digital experience continues to be elevated through tailored applications such as the VIC app where clients can virtually try on creations and manage purchases.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

BUSINESS OVERVIEW (CONTINUED)

2024 Financial Highlights

	HIGHLIGHTS			
	2024	2023	REPORTED % CHANGE VS. 2023	COMPARABLE % CHANGE VS. 2023*
IN MILLIONS OF U.S. DOLLARS REVENUE	18,699	19,744	-5.3%	-4.3%
EUROPE	5,676	5,606	1.2%	0.6%
ASIA PACIFIC	9,233	10,178	-9.3%	-7.1%
AMERICAS	3,790	3,960	-4.3%	-4.2%

OPERATING PROFIT	4,479	6,407	-30.1%
ADJUSTED EBITDA**	5,226	6,890	-24.2%
EFFECTIVE TAX RATE	27.7%	25.9%	1.8%
PROFIT AFTER TAX***	3,399	4,732	-28.2%

NET CASH**	1,876	5,797	-67.6%
FREE CASH FLOW**	1,842	3,755	-50.9%
CAPITAL INVESTMENT	1,755	1,227	43.0%
EMPLOYEES (END OF YEAR)	38,422	36,544	5.1%

CARBON PERFORMANCE			
SCOPE 1 EMISSIONS (TCO₂E)	21,619	21,317	1%
SCOPE 2 EMISSIONS (MARKET-BASED) (TCO₂E)	2,451	3,047	-20%
SCOPE 3 EMISSIONS (TCO₂E)	1,099,178	1,211,296	-9%
RENEWABLE ELECTRICITY	99%	98%	1%

*Comparable change measures growth across all sales channels excluding the impact of foreign exchange fluctuation and for a comparable legal entity structure, which excludes revenues from current and prior year business acquisitions and disposals which do not represent a full year's revenues. Comparable revenue is determined using the exchange rates applied in the reporting year for all periods presented.

** Defined on page 11 and 12 of the Annual Report and Accounts.

*** Before non-controlling interest.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

2024 BUSINESS AND FINANCE REVIEW

Following a period of unprecedented expansion and growth for our business, 2024 was a year of normalisation with continued investment in our long-term fundamentals: our Brand, our clients, and our people.

In a more challenging environment, where the luxury industry faced a slowdown, particularly in Mainland China, the revenue for the Group was \$18.7 billion (2023: \$19.7 billion) a decrease of 5.3% and 4.3% on a comparable basis. In terms of statutory regional performance, the Group recorded growth across Europe of 1.2% (growth of 0.6% on a comparable basis), which was offset by a decrease in revenue from the Americas of 4.3% (negative 4.2% on a comparable basis) and Asia Pacific of 9.3% (negative 7.1% on a comparable basis). Despite the overall decrease in Asia Pacific, we still experienced strong growth in Japan and South Korea.

Operating profit for the year was \$4.5 billion representing 24.1% of revenue (2023: \$6.4 billion; 32.5%) – a decrease of 30% which reflects the year's record investment in people, increased retail portfolio costs, advertising, and Brand promotion as part of the Company's long-term strategy.

Adjusted EBITDA decreased by 24.2% to \$5,226 million (2023: \$6,890 million) driven by the reduction in sales and the continued increase in people and administration costs. The tax charge for the year was \$1.3 billion (2023: \$1.7 billion), giving an effective tax rate of 27.7% across the Group (2023: 25.9%).

Free cash flow was \$1,842 million at year-end, a decrease of 50.9% (2023: \$3,755 million), notably explained by the record high level of investments in capital expenditure (see below) and continuous equity investment of \$194 million in the vertical integration of our supply chain.

In this context and consistent with its philosophy, Chanel has maintained in 2024 a very strong balance sheet and financial policy, as evidenced by the \$1.8 billion net cash at year-end.

Investments in future growth

Despite the prevailing global challenges in 2024, Chanel invested a record level in capital expenditure of circa \$1.8 billion, a 43% increase compared to 2023 in line with our long-term strategy, primarily focusing on client experience, expanding our real estate portfolio, and enhancing our global retail distribution network. This included the opening of the new Watches & Fine Jewellery flagship boutique in New York, the new CHANEL & moi Les Ateliers location in Seoul, and the first dedicated *Maison de Beauté* in Passy, France offering personalised treatments and skincare masterclasses. Maintaining its long-term presence in key locations around the world, Chanel also continued to invest in boutique locations in key cities including the acquisition of 42 Avenue Montaigne in Paris. We also continued to invest in key heritage sites including La Pausa, Gabrielle Chanel's Mediterranean villa. In our continued efforts to preserve and advance *savoir-faire*, we also acquired a 25% stake in specialist Swiss-watchmaking brand MB&F.

Beyond the boutique network, the Group strategically acquired real estate to expand our portfolio across France and Italy in 2024 as opportunities were identified. We also continued to build new manufacturing sites, most notably the new Fragrance & Beauty manufacturing site in France which is expected to open in 2026, and expanded manufacturing capabilities to support the future growth of the Brand for all three business activities.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

2024 BUSINESS AND FINANCE REVIEW (CONTINUED)

Investments in future growth (continued)

This year, the overall Group headcount increased from just over 36,500 to reach over 38,400. In 2024, we focused on learning and development, with over 4,600 people completing onboarding, leadership and management development programmes, and over 1,000 people harnessing internal mobility and advancing their careers within the Group.

Business Activity Highlights

Fashion in 2024 was marked by continued momentum and the positive reception of our Haute Couture and Ready-to-Wear collections from our clients. Most notable was the *Métiers d'art* show on the Western Lake in Hangzhou, showcasing a collection inspired by Gabrielle Chanel's beloved Chinese coromandel screens, and the Cruise collection replica show in Hong Kong S.A.R., showing the strong *savoir-faire* and expertise of the studio team. Last year, Chanel also celebrated the return to the Grand Palais as its Grand Patron, with the Spring-Summer 25 Ready-to-Wear collection. The business experienced a more challenging context in Mainland China, but this was partially offset by strong performance in Japan and Europe.

Fragrance & Beauty growth was driven by Makeup and Skincare, with strong performance in travel retail. The year saw the expansion of 31 LE ROUGE lipstick collections and the launch of SUBLIMAGE LA LOTION, an all-new formula with a higher concentration of active ingredients developed through in-depth research and development, further strengthening our growth in the skincare category. In Fragrance, campaigns included Chance and the film for Bleu de Chanel directed by Martin Scorsese and starring Timothée Chalamet. Margot Robbie became the new CHANEL N°5 ambassador, embodying luminous and bold femininity. The campaign film "See You at 5", starring the actress and Jacob Elordi, builds on the century of storytelling of the unique, timeless fragrance – highlighting a woman who chooses her own path.

Watches & Fine Jewellery experienced dynamic growth driven by strong performance of the iconic COCO CRUSH range and the launch of the High Jewellery Sport collection, combining elegance and performance, inspired by Gabrielle Chanel's love of sport. Exceptional *savoir-faire* and the finest craftsmanship were also at the core of the new CHANEL Haute Horlogerie and Horlogerie Capsule collections, launched at Watches and Wonders in Geneva: COUTURE O'CLOCK, inspired by thimbles, scissors, and pins, the tools for daily work in the rue Cambon *ateliers*. The year also saw the opening of flagship boutiques on Fifth Avenue in New York, and at Taipei 101, the most iconic landmark in the city, and the first flagship in the Asia Pacific region dedicated entirely to Watches & Fine Jewellery.

Chanel's **Arts and Culture** initiatives worldwide continued to champion creative audacity, extending Chanel's century of commitment to the arts. In 2024, the CHANEL Culture Fund fostered a vibrant network of creators through programmes such as CHANEL's Art Partners – supporting art leaders in the development of long-term cultural initiatives. Through the CHANEL Next Prize, Chanel announced 10 new artists, accelerating their future success with access to resources and mentorship. More information on Chanel's Arts and Culture initiatives can be found on pages 25 - 26.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

2024 BUSINESS AND FINANCE REVIEW (CONTINUED)

Business Activity Highlights (continued)

Building on the House's strong legacy of supporting women and girls, Chanel continued its commitment to invest in the independent charity, **Fondation CHANEL**, providing \$125 million of funding in 2024. The Fondation supports and funds a wide range of partners globally that work with women and girls on the ground across the areas of safety, economic and social autonomy, and climate resilience, providing access to vital services and resources. More information on Fondation CHANEL can be found on pages 22 - 23.

Chanel maintained its investment in innovation programmes across the House. The **Open Innovation** function continues to foster a culture of innovation, working with start-ups and academic institutions, and experimenting with immersive technologies to enhance the boutique experience.

In 2024, Chanel also invested in innovation partnerships, including with the MIT Media Lab, and led internal innovation and 'intrapreneurship' programmes to encourage the community. More information on Chanel's innovation programmes can be found on pages 23 - 24.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

PERFORMANCE DRIVERS AND KEY PERFORMANCE INDICATORS

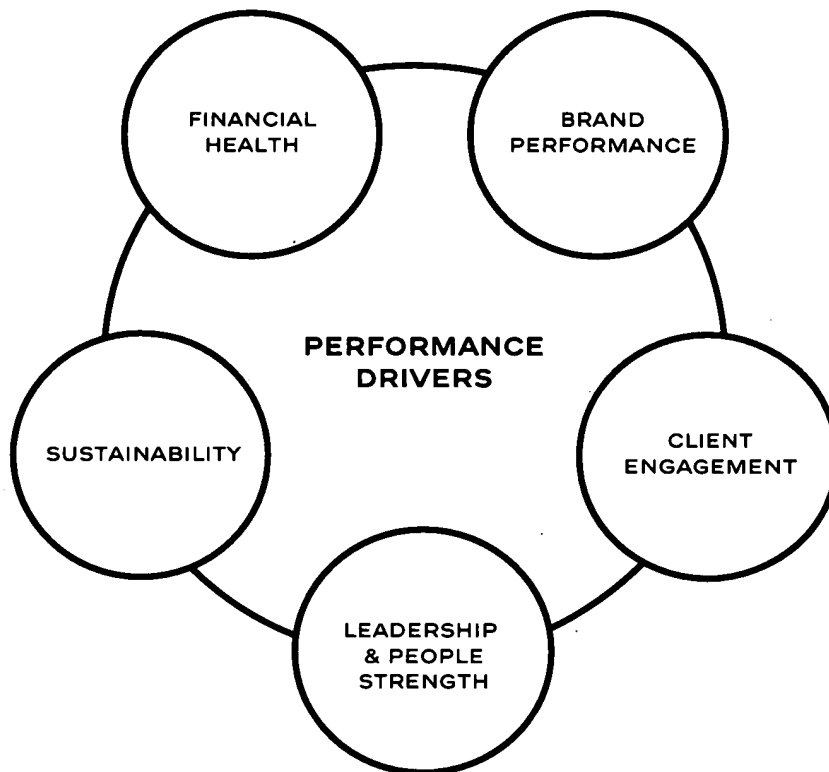
Chanel has a focus on growing and protecting its Brand. This vision reaches back over our 100-year heritage, while we look forward to the future to shape what's next, through creation and innovation.

Our independence gives us the freedom to act and grow with a long-term view. Our decision-making is grounded in our performance drivers, and informed by internal and external insights on client, socio-economic, geopolitical, innovation, and sustainability shifts.

This section covers how we achieve these objectives, detailing our performance drivers, providing insights on how goals are set, and how performance is monitored.

Our five performance drivers set the expectations for leadership, our people, and partners and enable us to identify areas for improvement, as well as recognise progress, year on year. They are mutually reinforcing and help anchor our vision and areas of focus for each category and market.

To all of us at Chanel, "what's next" does not just mean the next reporting period. Therefore, our review and measurement of our key performance indicators ("KPIs") are not set on a 12-month basis. We typically assess progress towards our value-creating KPIs over a period of three to five years and beyond.



STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

PERFORMANCE DRIVERS AND KEY PERFORMANCE INDICATORS (CONTINUED)

1. Brand Performance

Brand performance spans all activities across the Group. Each year, the Executive Committee uses a Brand equity study, client experience data, and online reputation metrics to decide how to enhance the desirability of the Brand, its vitality, and relevance.

The Brand equity study is an in-depth quantitative global survey that measures the power and influence of the Brand and evaluates the awareness and desirability among Chanel's current and potential clients. The survey covers nine product categories as well as a broader category on 'luxury brands', assessing image perception. This allows us to understand and evaluate our positioning compared to peers and is a key tool used to steer our Brand strategy.

2. Financial Health

Sound financial decision-making ensures the continued growth, health, and independence of the Brand, combining sales, operating profit and cash components with a long-term outlook. Optimal financial performance allows us to fund the three business activities of the Group and support Brand equity. This also gives us the ability to pursue our wider ambitions around sustainability, Fondation CHANEL, Arts and Culture, support for communities, and areas of research and development.

In previous years, we have had steady growth in sales and continue to maintain a healthy operating profit margin. This has resulted in us increasing our funding of the above-mentioned initiatives. Please see the 2024 Business and Finance Review section on pages 6 - 8 for additional information.

Specific financial KPIs:

- **Comparable revenue growth** – measures growth across all sales channels, excluding the impact of foreign exchange fluctuation and for a comparable legal entity structure, i.e. excluding revenues from current and prior year business acquisitions and disposals which do not represent a full year's revenues. Comparable revenue is determined using the exchange rates applied in the reporting year for all periods presented.
- **Investment in advertising, promotion, and demonstration** – measures the impact of marketing spend and is considered in connection with growth in revenue and strengthening of Brand equity.
- **Operational profit** – measures the overall profitability by tracking revenue and production growth as well as operating costs.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

PERFORMANCE DRIVERS AND KEY PERFORMANCE INDICATORS (CONTINUED)

Specific financial KPIs (continued)

- **Adjusted EBITDA** (Earnings before interest, taxes, depreciation, amortisation, and exceptional items) – an alternate measure of the Group’s operational profitability, without the impact of changes in interest, taxes, depreciation and amortisation and adjusted for other exceptional items in the year. Adjusted EBITDA is based on an adjusted operating profit that excludes exceptional items such as restructuring costs, impairment charges and reversals on property, plant, and equipment and intangibles, investment gains and losses on corporate-owned life insurance and other one-off expenses in the year as disclosed in Note 4. The addback of depreciation excludes depreciation on right-of-use assets. A reconciliation of the Group’s Adjusted EBITDA calculation is as follows:

ADJUSTED EBITDA			
	NOTE	2024 \$ MILLIONS	2023 \$ MILLIONS
OPERATING PROFIT		4,478.6	6,407.0
EXCEPTIONAL ITEMS	4	175.3	(12.0)
DEPRECIATION AND AMORTISATION OF PP&E, INVESTMENT PROPERTY, INTANGIBLES, AND SAAS ASSETS		572.1	495.0
ADJUSTED EBITDA		5,226.0	6,890.0

- **Net cash** – measures the Group’s remaining liquidity in cash, including short-term investments and non-current financial investments that are readily convertible into cash, following the settlement of all borrowings. This measure is included to illustrate that the Group has sufficient liquidity to meet its debt obligations. A reconciliation of the Group’s net cash calculation is as follows:

NET CASH/DEBT			
	NOTE	2024 \$ MILLIONS	2023 \$ MILLIONS
NON-CURRENT BORROWINGS	17	(3,237.9)	(2,327.8)
CURRENT BORROWINGS	17	(527.6)	(1,364.1)
TOTAL BORROWINGS		(3,765.5)	(3,691.9)
SHORT-TERM FINANCIAL INVESTMENTS	21	3,221.5	3,867.0
CASH AND CASH EQUIVALENTS	22	2,291.2	5,462.5
NON-CURRENT FINANCIAL INVESTMENTS	21	128.5	159.6
NET CASH		1,875.7	5,797.2

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

**PERFORMANCE DRIVERS AND KEY PERFORMANCE INDICATORS
(CONTINUED)**

Specific financial KPIs (continued)

- **Free cash flow** – measures the Group's ability to generate positive cash. A reconciliation of the Group's free cash flow calculation is as follows:

FREE CASH FLOW		
	2024 \$ MILLIONS	2023 \$ MILLIONS
NET CASH PROVIDED BY OPERATING ACTIVITIES	3,964.1	5,102.2
CAPITAL INVESTMENT	(1,754.7)	(1,226.6)
PROCEEDS FROM SALE OF PROPERTY, PLANT AND EQUIPMENT	16.8	54.0
PROCEEDS FROM SALE OF INVESTMENT PROPERTY	-	178.5
REPAYMENT OF LEASE LIABILITIES	(383.9)	(353.4)
FREE CASH FLOW	1,842.3	3,754.7

- **Capital investment** – represents the acquisitions in cash of assets by the Group for use in its business goals and objectives. A reconciliation of the Group's capital investment is calculated as follows:

CAPITAL INVESTMENT			
	NOTE	2024 \$ MILLIONS	2023 \$ MILLIONS
PURCHASES OF PROPERTY, PLANT, AND EQUIPMENT		1,624.1	1,093.3
PURCHASE OF INTANGIBLES		127.9	126.7
INITIAL DIRECT COSTS RELATED TO RIGHT-OF-USE-ASSETS		2.7	6.6
CAPITAL INVESTMENT		1,754.7	1,226.6

3. Leadership & People Strength

People are at the heart of our organisation, acting as a critical driver for long-term success across the Group. We work to attract, retain, and develop the highest quality talent, ensuring all our people can reach their full potential. We measure how people grow and evolve in their roles over time, ensuring we recruit the best talent for the future while providing mentoring opportunities for new team members. To monitor performance, the Group reviews employee engagement and retention metrics, compensation, and leadership development metrics, while using surveys, internal focus groups, and external benchmarking to inform our priorities. More information on our commitment to our people and being a responsible employer can be found on pages 13 - 16.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

**PERFORMANCE DRIVERS AND KEY PERFORMANCE INDICATORS
(CONTINUED)**

4. Sustainability

As we face the urgent challenges of today and the future, we aim to be a part of what must come: a world where people, nature and business thrive together. In 2024, we continued to advance our House Sustainability Ambition, which focuses on four key areas where we believe we can have the greatest positive impact, both within and beyond the House.

The four focus areas are:

1. Restoring nature and climate,
2. Investing in circularity,
3. Advancing dignity and opportunity for all across our business and supply chain, and
4. Promoting the autonomy of women.

More information on our House Sustainability Ambition, examples of action in 2024, and information on the sustainability metrics used to gauge our impact are included in the sustainability section of this report on pages 18 - 22. Our sustainability performance driver includes our continued commitment to ethical business, acting with integrity while prioritising social and environmental issues. More information on our business ethics programme can be found on page 27.

5. Client Engagement

Chanel has a relentless focus on creating and elevating the ultimate client experience. We measure our performance through our ability to retain clients and recruit new clients, as well as through client satisfaction surveys. We build relationships with our clients through direct interactions in boutiques, as well as through virtual experiences online or through other services. We are always looking for ways to exceed customer expectations, ultimately leading to our clients becoming loyal advocates for the Brand.

OUR PEOPLE

Chanel was founded with the spirit of enabling others to be and become who they want to be. This enduring commitment to cultivating human potential lives on today. Our people are at the heart of how we make decisions and foster a culture where everyone can explore their individual motivations for collective success.

We are proud to employ over 38,400 people Group-wide, representing over 125 nationalities. We encourage everyone to reach their potential, whatever their *métier* (profession) or background. As of December 2024, women represented over 75% of our global workforce and over 60% of leadership and management positions in the Company, including our Global Chief Executive Officer (Global CEO).

We continuously invest in our people across the House, taking action to develop talent, nurture individual growth, and encourage collective achievement. Our programmes and initiatives are in service of our key commitments: advancing fair and equitable opportunities for all, enhancing learning and development, fostering a culture of trust and empowerment, modelling an exemplary leadership culture and prioritising wellbeing.

Our biannual global digital townhalls, which we continued to host in 2024, kept our people informed of the overall direction of the business, Group priorities, and activities advancing our key performance

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

OUR PEOPLE (CONTINUED)

drivers. These forums also provided opportunities to ask questions directly to leadership, while ensuring all teams are aligned with our House vision, values, and behaviours.

In 2024, we continued to refine how we measure and action feedback. Through our global engagement survey, CHANEL Voices, we consolidated feedback from our CHANEL Brand Entity teams worldwide, providing a holistic view of employee sentiment, success and opportunity areas. The survey achieved a 90% response rate, with an overall employee engagement score of 84%. The highest scores were seen on pride in the Brand, the Group's commitment to positive impact, integrity and ethics, and recognition of efforts to advance collective success. Insights from the survey revealed opportunities for further development, such as evolving ways of working, further enhancing a culture of openness and transparency, continuing to advance programmes for wellbeing, and building on career development opportunities.

As we look to the future, we remain focused on our people commitments; creating an inclusive culture, founded on fairness, that attracts and nurtures talent. We will continue to equip leaders and managers with resources to positively impact our people and advance learning opportunities for all, underpinned by connection and collaboration.

Creating an inclusive culture

Across Chanel, we are committed to creating conditions where everyone can be and become their best selves. We value individuality, respect, and equity; welcoming diversity of thought and experiences within our teams to bring different perspectives.

Creating an inclusive culture begins with our internal and external hiring practices. We champion progressive and inclusive processes to find the best new talent, including actively looking outside a specialisation or industry. Our Hiring@OurBest philosophy also provides step-by-step guidance for our internal hiring process, designed to enhance fairness and objectivity, while setting the expectation that our external hiring partners do the same.

A focus on enhancing transparency, trust, and ensuring everyone's voice is heard and everyone feels safe to speak up is central to embedding a culture of care and inclusion. In 2024, the House has scaled up training and tools on psychological safety. Over 6,000 people have benefitted from this programme to date, sharing learnings and insights with their colleagues, including leadership teams globally. These initiatives run in parallel with other programmes and mechanisms led by Legal and Business Ethics teams. These are designed to enable everyone to speak up and voice concerns. More information can be found on page 27.

Advancing accessibility is another focus area we are building upon as part of our broader commitments. In 2024, we progressed our partnerships with organisations such as 'Tilting The Lens' and the Business Disability Forum to champion inclusive workplace design of existing and new physical spaces, people experiences, and more. We are also continually working to improve our digital channels. In the past year, chanel.com achieved an 88.56% compliance score with the Web Content Accessibility Guidelines, an internationally recognised standard designed to improve web content accessibility.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

OUR PEOPLE (CONTINUED)

Creating an inclusive culture (continued)

Our Global D&I Community supports teams around the world in taking Chanel's global philosophy and frameworks for inclusion and adapting them to local specificities. This community has grown to cover the majority of regions, corporate functions and business activities across Chanel, with a 30% growth in membership from 2023 to 2024. These connections have helped teams learn from one another, implement new ideas and consistently pursue best practice, ensuring the voice of our people across areas, including manufacturing, retail and non-retail teams, are represented.

Advancing learning and development opportunities

Building internal capabilities and providing career development and learning opportunities for our people remains an area of focus for the Group. Our approach combines year-round learning platforms with bespoke events and programmes for everyone at Chanel.

This begins at the start of each person's career with us. We continued to invite groups throughout the year to attend our bespoke, immersive onboarding programme, Imagine CHANEL Discovery, with over 3,600 people participating in these sessions in 2024.

We also hosted our annual Imagine CHANEL Leadership programme. Over 120 leaders from all *métiers*, representing over 20 countries, came together to explore their personal leadership journeys, share and learn from their experiences, and hear outside perspectives. Sessions included an inspiring conversation with our Global CEO, insights from senior leaders within Chanel, and perspectives from external experts on human connection, psychological safety, and innovation. Throughout the programme, participants were able to deep-dive into the latest research, business and leadership stories, encouraging authentic leadership.

Leadership and People Strength remains a key performance driver for the business, and we continue to provide people managers with coaching skills and career development workshops. Leaders at all levels are provided with tailored development opportunities and encouraged to create concrete plans for themselves and their wider teams. Investing in these programmes remains a priority, particularly to shape individual plans and assessments for long-term development.

As in previous years, we continued to invest in our 'Me@MyBest, Design My Impact' framework, a strength-based performance and development approach. Through connecting individual energisers and strengths with our performance drivers, we encourage everyone to approach performance with a growth mindset. We also champion behaviours aligned with our values in how we work. The framework includes tools, training and guidance to enable meaningful career development conversations.

In 2024, we enhanced the available resources for employees and managers alike, producing a suite of guides and workshops to be deployed across all teams. We will continue to elevate our performance management practices in the coming year, supporting managers and People & Organisation business partners globally in implementation while monitoring impact.

STRATEGIC REPORT
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OUR PEOPLE (CONTINUED)

Advancing learning and development opportunities (continued)

This is further supported by our digital learning platform. Hosting a growing collection of 1,000 blended learning opportunities, it enables our people to acquire new capabilities and insights throughout the year, contributing to our collective knowledge. Areas of focus continued to be sustainability, leadership skills development, and effective collaboration techniques. Alongside these modules, we provide training programmes to help all of our people increase their understanding of key compliance issues across different countries, cultures and jurisdictions.

A key success measure of our development approach is the opportunity for our people to explore new skills and experiences through internal mobility. In 2024, more than 1,000 people took advantage of transferring to new internal roles, with over 440 of them receiving promotions as part of these moves.

Ensuring fair compensation

Our reward philosophy promotes an inclusive environment with an emphasis on performance. Fairness, equal opportunity for all, and valuing the individual talents and unique perspectives of each employee are fundamental to how we support our people.

In 2024, we continued to uphold the highest standards across our markets when it comes to fair and equitable pay and competitive compensation. We continue to conduct annual pay equity analyses and external benchmarking exercises.

We have a robust living wage assessment in place for our CHANEL Brand Entity employee base and are in the process of enhancing benefits across all regions to support inclusivity and fairness for all.

SUPPORT FOR COMMUNITIES

Chanel's social commitment approach is designed to create meaningful and long-lasting positive impact for local communities. We achieve this through employee volunteering programmes and partnerships, as well as proactively supporting those facing humanitarian emergencies.

Volunteering

The 'You, Me & Us' employee volunteering programme leverages the skills and expertise of our workforce to support underrepresented young people, women, and wider communities where we operate.

Through multiple partnerships with charities around the world, we are able to build long-lasting relationships with individuals and wider communities, helping them learn skills that can be used throughout their careers while providing access to new employment opportunities.

Over the last year, we worked with many local social organisations, not-for-profits and non-governmental organisations. In 2024, over 17,000 of our people participated in volunteering, an increase of 21% compared to 2023. They completed approximately 39,600 volunteering hours, positively impacting over 21,700 people in local communities. This represents a 12% increase compared to 2023 in people benefitting from these programmes, largely driven by new mentoring and employability opportunities supported by Chanel.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

SUPPORT FOR COMMUNITIES (CONTINUED)

Volunteering (continued)

Many of our programmes focused on helping young people. In France, we partnered with charities including Myfuture, arpejeh, Sport dans la ville, Télémaque, CEDI de l'ESSEC, Rêv'Elles and Chemins d'avenirs to run career discovery experiences and internship weeks for over 100 participants at our offices in Paris.

In the UK, we ran a bespoke mentoring programme 'Designing Futures' with the Creative Mentor Network in London. This initiative helps break down barriers for emerging talent to gain skills and confidence and grow networks in the creative industries. Young mentees involved made over 160 new professional connections, with many gaining some form of work experience or employment as a result.

In Thailand, Chanel volunteers also provided a series of career discovery and skills-sharing workshops for the Duang Prateep Foundation, helping young people access further education and employment opportunities.

We also supported programmes dedicated to women's employability. In the US, we worked with Seeds of Fortune, Inc. to provide industry and immersion work experience programmes for young women from diverse backgrounds. In South Korea, we designed workshops dedicated to career development for young women, in collaboration with KUMFA, to support single mothers with skill-building and re-entering the workforce.

We cherish the long-term partnerships we have with these organisations, and the role we play to further their work by providing strategic counsel, mentorship, access to networks, and more. Our employees value the opportunity to share their skills and expertise, while developing meaningful relationships along the way.

Humanitarian donations

We strive to make a positive impact in the world and proactively support people and communities in need, including those affected by humanitarian crises.

As part of our approach in 2024, we donated \$6 million across two international humanitarian-relief NGOs, CARE International and the International Federation of Red Cross and Red Crescent Societies through their Disaster Response Emergency Fund. These organisations were chosen for their deep expertise, neutrality, and integrity. They operate globally and are best placed to effectively respond and directly support people in need. We will continue to build on these partnerships going forward.

Our people can make personal donations to these organisations via a global fundraising platform, which is systematically matched by Chanel. We will also continue to fund local initiatives that support our people in markets where we operate if affected by a crisis.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SUSTAINABILITY

We are committed to advancing our own sustainability transformation and using our influence and resources to help create a future where people, nature, and business thrive together.

During 2024, we continued to advance our broader House Sustainability Ambition, which prioritises four areas where we believe we can have the greatest positive impact across the Group, our value chain and in the wider world:

1. Restoring nature and climate
2. Investing in circularity
3. Advancing dignity and opportunity
4. Promoting the autonomy of women

1. Restoring nature and climate

We are constantly looking at ways to reduce the environmental impact of our activities and operations, evolving our business to implement low-carbon solutions and investing in regenerative practices and nature-based solutions.

From co-developing new production methods with farmers on ingredients to supporting herders with adopting more responsible practices, we are dedicated to collaborating with partners, suppliers and the wider industry, on actions that accelerate progress within and beyond our own footprint.

Our ambition to restore nature and climate supports a just transition to a net-zero world. This means we consider both environmental and social factors, making sure our actions to reach net-zero are inclusive of all communities.

In April 2024, the Science-Based Targets initiative (SBTi) validated Chanel's net-zero approach – known as our Net-Zero 2040 ambition – implemented by Chanel in recognition of the accelerated action needed to address the climate crisis and the role that our business should take. For more information on our Net-Zero 2040 targets see the Non-Financial and Sustainability Information Statement section on pages 58 - 74.

When considering reducing our emissions, we prioritise taking action in areas that contribute the most to our carbon footprint, known as 'hotspots'. Our current scope 3 hotspots include raw materials, capital goods (e.g. buildings and equipment), freight, packaging, events, media, and business travel. We are developing roadmaps to decarbonise these hotspots at the product, supply chain, business activity and regional level. This includes expanding regenerative agricultural practices, investing in circularity and decarbonising transportation and supply chain manufacturing.

In 2021, we expanded the scope of our reporting to include Integrated Suppliers as part of our scope 3 carbon footprint. We maintain a strong focus on reducing our emissions, particularly as we continue to welcome supply chain operations into our House, taking on their whole carbon footprint as well.

Over the last three years, we have continued to invest in more accurate carbon footprint data and stronger processes that allow us to identify, in greater detail, the hotspots and their drivers. This enables us to refine our net-zero roadmaps.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SUSTAINABILITY (CONTINUED)

1. Restoring Nature and Climate (continued)

For more information on our climate governance, strategy, risk management, metrics and targets see the Non-Financial and Sustainability Information Statement section on pages 58 - 74.

Meeting our Net-Zero 2040 target is part of the role we want to play in actively restoring nature and climate. We believe transformation requires a fundamental understanding of the impact our business has on the environment, including the use of natural resources. To better understand and quantify our impact and dependencies on nature, Chanel is part of the Science Based Targets Network (SBTN) Corporate Engagement Group and the Taskforce on Nature-related Financial Disclosures Forum (TNFD).

In 2024, we concluded the assessment of nature impacts using the updated SBTN guidelines for the following environmental pressures: land use, land use change, water quantity, water quality, soil pollution, plastic leakage and biodiversity.

The assessment covers the operations of all CHANEL Brand Entities, Integrated Suppliers and the upstream and downstream value chains throughout our Fashion, Fragrance & Beauty, and Watches & Fine Jewellery business activities, as well as CHANEL Brand Entity sites such as boutiques, offices and distribution centres at a regional level. We have translated the SBTN guidelines for water and land target setting into practical terms and mapped progress against the TNFD and EU Corporate Sustainability Reporting Directive (CSRD) and European Sustainability Reporting Standards disclosures framework, which apply to us as a Group with substantial operations in the European Union. This work supports decision making, prioritisation and action plans across the value chain.

Pages 58 - 74 contain our Non-Financial Sustainability Information Statement, which sets out Chanel's climate-related disclosures, including identified risks and opportunities and our strategic response.

Examples of action in 2024:

Investing in more sustainable boutiques

In 2024 we continued to invest in building more sustainable boutiques, with even more sites achieving LEED (Leadership in Energy and Environmental Design) certifications. LEED-certified buildings improve efficiency, have lower carbon emissions and reduce waste. Chanel certified 78 projects in 2024, including 68 boutiques and points of sale and 10 offices and distribution centres. At the end of 2024, we had 316 LEED-certified projects globally.

Advancing collective action with the University of Cambridge

In 2024, we extended our partnership with the University of Cambridge dedicated to education, innovation and support to emerging leaders. Over 500 Chanel staff and key operational teams have been upskilled, and our Fashion teams worked in partnership with Cambridge's Institute for Manufacturing to roll out a manufacturing excellence programme with various supply chain partners in Italy and France. The programme focuses on driving efficiency at the manufacturing site level in relation to both operational waste and energy use. Alongside this, we continued to provide a bursary to support students in the Cambridge Institute for Sustainability Leadership master's programme.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SUSTAINABILITY (CONTINUED)

2. Investing in Circularity

Circularity is inherent to our commitment to preserving the highest standards of craft and care to create timeless pieces that can be passed down from generation to generation. We explore innovative opportunities to maximise the durability and lifecycles of our products, materials and spaces by implementing circular systems and thinking when developing our approach for packaging and our supply chains. We always consider how we can extend the longevity and use of materials within and beyond the House.

Examples of action in 2024:

Circular approaches for lower impact events

In 2024, we continued to advance circular approaches to the design of events, including the selection of décor and materials. In Mainland China, marking the launch of the SUBLIMAGE Les Extraits skincare line, we adopted circular approaches to the delivery of 15 immersive product workshops for our clients. This included minimising the creation of new décor by reusing set builds across multiple locations, leading to an 89% reduction in CO2e emissions compared to equivalent events using newly purchased décor.

CHANEL & moi

CHANEL & moi, a range of tailor-made aftersales services designed to provide lasting attention to each CHANEL creation, continued its development in 2024. This commitment covers all product lines and applies to each boutique worldwide.

It is also embodied through CHANEL & moi - Les Ateliers. There are currently five locations around the world, providing our clients with a dedicated space for the ultimate care, repair and alteration services to revive and preserve over time the uniqueness of each CHANEL creation.

3. Advancing Dignity and Opportunity

We are committed to ensuring that everybody across our ecosystem has the opportunity to thrive. As a human-driven company, we take seriously our responsibility to support, respect, and protect the skills and work of the people, artisans, farmers, and communities we work with. More information on people at Chanel can be found on pages 13 - 16.

We respect human rights in our own operations and across our supply chain. This commitment is rooted in our focus on people and responsible sourcing, as well as responsible procurement decisions and practices. This is also a shared commitment with our business partners. Beyond working with suppliers to comply with commonly recognised human rights standards, we aim to support them in progressively strengthening their own traceability and social sustainability practices. We also collaborate with external local partners and those across our supply chains to design and implement targeted social impact programmes for specific supply chains.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SUSTAINABILITY (CONTINUED)

3. Advancing Dignity and Opportunity (continued)

Further information on our approach can be found in the latest Modern Slavery Act Statement, which describes the Group's initiatives to protect and promote the rights of people employed in our supply chain. This is available in the Legal section of Chanel.com. https://services.chanel.com/en_GB/policies/modernslavery/

Examples of action in 2024:

Advancing sustainability with suppliers and business partners through our social sustainability action groups

To further support partners on their social sustainability journey, we established social sustainability action groups with suppliers and business partners in key markets. These first sessions engaged both internal and external stakeholders to build a collective understanding of shared priorities, monitor potential risks, and advance social sustainability ambition. This included the delivery of specialist training, workshops, and peer learning opportunities to further develop capabilities in these areas.

Contributing to sustainability standard-setting through engagement with the Responsible Jewellery Council

We have been a member of the Responsible Jewellery Council (RJC) since 2009, working in partnership with the wider industry to advance responsible standards and practices across the global jewellery and watch supply chain, from mine to retail.

In 2024, our RJC certification was renewed for three years. As part of the certification process, our policies and practices were audited by a third-party, with their work focusing on topics related to human resources management, working conditions, remuneration, diversity, equity and inclusion, and human rights due diligence in our supply chains.

As part of our continuous improvement process, and to remain in line with the industry, we sit on the RJC Standards Committee and its board of directors. In 2024, we contributed to the development of the RJC's revised Code of Practices Standard and complementary Chain of Custody Standard, both of which strengthen human rights due diligence in supply chains and environmental requirements on climate and nature challenges.

4. Promoting the Autonomy of Women

Chanel was founded by a pioneering woman and today women remain at the heart of everything we do. Over 75% of our employees are women, and the majority of our clients are women. Ensuring that women have an equal voice and are safe to make the choices they want is deeply rooted in our Company's heritage and our future.

Our goal is to support the self-determination of women, advancing the positive impact that gender equality brings to the world. We aim to achieve this with our own business, as well as across wider society.

More information on People at Chanel can be found on pages 13 - 16, and our contributions to Fondation CHANEL supporting women and girls can be found on pages 22 - 23.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SUSTAINABILITY (CONTINUED)

4. Promoting the Autonomy of Women (continued)

Examples of action in 2024:

Supporting change across the industry through engagement with the Watch & Jewellery Initiative 2030

As a member of the Watch & Jewellery Initiative 2030 (WJI 2030), our Watches & Fine Jewellery business activity continued to collaborate with the wider industry to address challenges focusing on three key areas: building climate resilience, preserving resources, and fostering inclusiveness. The WJI 2030 mandates a set of requirements to be met by all members to demonstrate concrete action on each pillar.

We co-chair the WJI 2030 Action Committee on Fostering Inclusiveness, working with other members to drive strategy and pilot programmes in support of inclusion across the industry. In 2024, Chanel contributed to a UN Women WJI 2030 report on emerging practices to advance gender equality in the watch and jewellery industry.

Our President of CHANEL Watches & Fine Jewellery continued to serve on the Board of the WJI 2030, working with other board members and WJI 2030's executive director and management, to monitor and support WJI 2030's performance to deliver the goals in collaboration with its active members.

Promoting science, technology, engineering and maths (STEM) education and women in tech through a partnership with University College London

Our technology teams continued to advance partnerships with academic institutions through the Chanel Tech Transformation programme. In the UK, a key area of our partnership with University College London (UCL) is to provide more women with opportunities in technology. In 2024, this included mentoring sessions with young women studying at UCL, providing insight to inform technology projects with teams of UCL students, and advancing research on women in technology leadership.

FONDATION CHANEL

Fondation CHANEL ("Fondation") is an independent charity registered with the Charity Commission in England and Wales. It is one of the largest corporate foundations in the world dedicated to creating a world where women and girls are free to shape their own destinies, funded exclusively by the Company. Building on the House's strong legacy of supporting women and girls, the Company continued its commitment to the Fondation and provided funding of \$125 million in 2024 (\$110 million in 2023). The Fondation supports a wide range of partners globally that impact the lives of over 9 million women and girls worldwide. As a grant-making organisation, the Fondation's work spans three areas of focus: safety, economic and social autonomy, and climate resilience, providing access to vital services and resources.

The Fondation currently provides grants to 285 partners in more than 60 countries, supporting women and girls with access to the services and resources they need to meet their needs. The Fondation also works to address the underlying causes of problems that perpetuate gender inequality. These interventions allow us to address problems at scale reaching millions more women.

In 2024, women and climate remained key priorities for the Fondation, with a significant increase in funding dedicated to organisations working at the nexus of these two areas. Grants have focused on advancing women's and youth leadership in decision-making spaces and supporting women-led conservation.

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FONDATION CHANEL (CONTINUED)

For example, the Fondation embarked on a new partnership with Climate Resilience for All – a women-led climate NGO created in 2023 dedicated to supporting women and vulnerable communities from the impacts of extreme heat.

Throughout the year, the Fondation expanded its presence in Asia, Latin America, and Central and Eastern Europe, and it further broadened partnerships across Mainland China and Thailand. The Fondation also began partnerships in several new countries, including Australia, Nepal, and Indonesia.

For example, in Australia, the Fondation entered into a partnership with Fair Agenda, an organisation with more than 43,000 members campaigning for a fair and gender equal future. The organisation helps political, business, and media leaders to make decisions that will lead to better outcomes for women.

The Fondation also renewed its support for Ikambere which supports women living in vulnerable situations or with illness. Since the start of the Fondation's support in 2017, Ikambere has continued to grow, opening two new centres enabling support to more women across France.

In 2024, the Fondation carried out a review of its long-term strategy and organisational structure to ensure that it attains its objectives and achieves maximum impact. As part of the review, the Fondation appointed additional independent members to its board of trustees and established new board committees (including an audit, finance and risk committee).

More information on the Fondation and its partners can be found at www.fondationchanel.org

RESEARCH, DEVELOPMENT & INNOVATION

Shaping what's next has always been important to us, which is why we create a culture for all to embrace innovation. We do this by accelerating and investing in programmes with new technologies, developing ideas and concepts that can enhance ways of working internally for our teams, our boutiques and client experience.

In 2024, we invested \$213.1 million (2023: \$195.3 million) across the Group in research and development, representing a 9.1% increase year on year. Our three business activities also invest in research and development initiatives such as new manufacturing techniques in Fashion, the future of skincare, and new ingredients for Fragrance & Beauty.

Our Open Innovation function continues to advance new ventures, experiments, and external partnerships to explore themes such as the future of luxury client experience, work, and wellbeing. Through this research and experimentation, we gather learnings on new business models, emerging trends, and capabilities.

We use these insights to help us prepare for and anticipate the future. One example is how the Global Store Design team is developing prototypes using mixed reality and spatial computing technologies, enabling us to explore digital mock-ups of new boutique and office spaces. Using virtual reality technology allows designs to be viewed in 3D for immersive leadership previews. This improves decision-making processes, allows for more sustainable and cost-effective interior planning and reduces the need for physical prototypes and executive travel.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

RESEARCH, DEVELOPMENT & INNOVATION (CONTINUED)

Other key themes we continue to explore include:

- Emerging trends in longevity and living well, which may impact future luxury client spending and behaviours.
- Growing technologies such as artificial intelligence (AI), spatial computing and augmented reality/virtual reality, which could enhance future client experiences, particularly in boutiques.
- AI applications to support Chanel staff and enhance productivity.
- Measuring the social and environmental impact of certain projects
- AI to support training and education by creating more personalised interactions and improving engagement and information retention.

Igniting the community of innovators across Chanel

The spirit of collaboration within Chanel was exemplified by our 2024 innovation challenge and 'intrapreneurship' programme: CHANEL Sparks. Launched as a pilot with our Digital team and reaching more than 3,500 employees across Europe, this initiative engaged employees at all levels who were tasked with thinking of new innovative solutions that could transform the future of luxury. Two project proposals which focused on client experience and in-store transformation were selected for incubation and we are working closely with the teams to test and develop these initiatives.

We also connected our community of innovators across the House through our Innovators' Forum – a virtual bi-monthly meeting with the 80-strong Chanel innovation community across business activities, regions, and corporate functions – where they can share projects, learnings, and external inspiration.

Building an ecosystem of partners

We continue to invest in new and existing partnerships that help us to bring external thinking and different perspectives. These include working with leading academic institutions around the world, startup communities, top entrepreneurs, researchers and technology companies that enrich the Group with new capabilities, such as AI, augmented reality, virtual reality, and spatial computing.

For example, our external innovation partnership ecosystem includes startups such as Plug and Play, innovation agencies such as M7 Innovations, Bundl and Futr, and large technology companies such as Google, Microsoft, and Apple.

In April 2024, we partnered with the MIT Media Lab, an interdisciplinary research hub, across art, design, technology, and engineering at the Massachusetts Institute of Technology in the US to consider how we can develop innovative solutions through AI, robotics and design that can address real-world challenges. Throughout 2024, we facilitated visits to the MIT Media Lab for several of our teams, laying the groundwork for the first collaborative projects in 2025. Some examples of MIT Media Lab projects include wearables for enhanced memory and attention, and robots to help learning and engagement.

We also signed a global partnership with Plug and Play, one of the world's largest startup accelerators with 90,000 startups in its global ecosystem. The partnership has already facilitated two Open Innovation experiments using AI to support internal productivity and exploring how AI can enhance the boutique experience through a more in-depth understanding of client behaviour.

STRATEGIC REPORT
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ARTS AND CULTURE

Expanding upon the House's rich history of cultural patronage, Chanel is committed to supporting the arts and convening artists and creators around the world. In continuation of the legacy of Gabrielle Chanel, our approach to the arts is defined by curiosity, generosity, and embracing the avant-garde.

Being a private company gives us the freedom to pursue long-term thinking and establish enduring partnerships that bring to life our unique approach to the arts. Through local programmes and partnerships, Chanel supports artists and cultural institutions to drive innovative, creative, and cultural thinking. Projects are intended to highlight missing narratives, foster collaboration across disciplines, and propel transformative ideas.

Chanel Art Partners

The CHANEL Culture Fund, established in 2021, supports a global constellation of partnerships with cultural institutions that champion creativity. Its global programme of unique initiatives and partnerships supports cultural innovators in advancing new ideas and greater representation in culture and society.

In 2024, the CHANEL Culture Fund supported a vibrant network of creators and innovators via nearly 40 long-term, transformational projects across five continents and 20 cities.

In the US, the CHANEL Culture Fund enabled the launch of the Museum of Contemporary Art in Chicago's new programme, Contemporary DNA (MCA DNA), which spotlights overlooked artists in the museum's collection, particularly in developing countries. This multi-year initiative was launched in February 2024, with the first essay written by the programme's inaugural curator, Mariana Fernández, upon the conclusion of her research project. The MCA DNA Research Initiative invites early-career curators and writers to the museum for interdisciplinary research projects related to the institution's collection. Focused on the intersection between visual art and performance, the initiative reaffirms the cross-disciplinary ethos integral to the museum since its founding in 1967.

In Asia, the CHANEL Culture Fund supported the IDEA Museum, a three-day symposium in Seoul in partnership with the Leeum Museum of Art, as well as the inaugural Asian Avant-Garde Film Festival, celebrating independent moving image practices at M+ in Hong Kong S.A.R. The Leeum Museum of Art's public programme, IDEA Museum, standing for 'Inclusivity, Diversity, Equality and Access' is another multi-year initiative exploring the intersection of environment, art, philosophy, and technology.

The CHANEL Culture Fund also supported initiatives in cinema that focus on enhancing access and increasing representation of women. These commitments came to life through the Cinema for all Pavilion at the Thailand Biennale in Chiang Rai and the first-ever Camellia award at the Busan International Film Festival, celebrating filmmakers and industry professionals who have played a vital role in elevating the status of women.

Chanel and the Power Station of Art in Shanghai also agreed a strategic partnership to fund a comprehensive upgrade of the third floor of the institution, which will include, among other things, the first public contemporary art library in Mainland China.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

ARTS AND CULTURE (CONTINUED)

Chanel Art Partners (continued)

At the 60th Venice Biennale, we honoured the artist, poet, sculptor, and scholar Julien Creuzet. With the CHANEL Culture Fund's support, Creuzet transformed the France Pavilion into an aquatic world of poetry and mysticism and attracted over 530,000 visitors. A professor at the Beaux-Arts in Paris who grew up on the island of Martinique, he was the first artist of Caribbean descent to represent France at the Venice Biennale. The support of the CHANEL Culture Fund enabled him to go beyond the physical pavilion and extend his creation through an artist's book published by Beaux-Arts de Paris editions and original sound pieces.

Cultural Leaders Forum

In the summer of 2024, Chanel hosted its inaugural Cultural Leaders Forum, convening 16 executive directors of arts institutions for a four-day seminar. The cohort formed an esteemed cross-section of cultural creatives from a range of disciplines including dance, theatre, film, visual art, and academia. The institutions represented were based in seven countries, with many more languages, cultures, and nations represented by the participants' diverse careers. The Cultural Leaders Forum was delivered in partnership with the Aspen Institute in the US and engaged participants in a thought-provoking series of readings and roundtable discussions about the personal and professional dimensions of leadership.

The CHANEL Next Prize

In 2024, we once again awarded the CHANEL Next Prize; a biennial honour bestowed upon international contemporary artists who are redefining their disciplines. Recipients of the award receive €100,000 each in funding, as well as access to a two-year mentorship and networking programme facilitated by cultural partners of the House, including the Royal College of Art in London.

The winners originated from the US, Brazil, Singapore, Iceland, and Georgia. Their work focused on the creation of visual art, film, video game design, performance, opera, and digital art. In April 2024, the CHANEL Culture Fund gathered the award winners to explore the 60th edition of the Venice Biennale and hosted a dinner in their honour at Palazzo Malipiero in Venice among many representatives of the international cultural community.

CHANEL Connects

CHANEL Connects, the House's flagship arts and culture podcast, returned in 2024 for its fourth season. The new season was recorded on location at the Venice Biennale. Through a series of intimate conversations, leading artists, curators, and thinkers explored the currents of culture today. Presented by Yana Peel, our Global Head of Arts and Culture with editor Penny Martin, speakers included William Kentridge, Julien Creuzet, Sadie Coles, Vicky Krieps and others.

CHANEL Culture Pass

The CHANEL Culture Pass was initiated in 2022 to expand Chanel's philanthropic commitment towards UK-based cultural institutions while offering employees greater access to culture. From a roster of five partners at induction, 2024 saw an expansion to 12 partners across design, visual, and performing arts in the UK, as well as a growing number of institutional partnerships in South Korea and the US. Through curator-led tours, complimentary museum access and bespoke events, we recorded 6,000 employee engagements in the UK, in 2024, bringing the total to over 11,000 since the inception of this programme.

STRATEGIC REPORT
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COMPLIANCE WITH LAW AND BUSINESS ETHICS

At Chanel, we care deeply about integrity in the decisions we make and the actions we take, for the benefit of clients, partners, employees, and local communities. We believe integrity is the foundation of being a sustainable and responsible company.

Our global code of conduct, 'Our Ethics', sets the framework for how we do business, guided by our fundamental values of respect, inclusion, integrity, and responsibility. It serves as a practical guide to empower employees to act responsibly, do the right thing, and strive for a positive impact in their decisions.

In 2024, we added new e-learning onboarding on 'Our Ethics' for all CHANEL Brand Entity office-based employees. The Group also continues to increase the training of its employees to raise awareness on compliance issues in all other areas of 'Our Ethics', such as anti-bribery and corruption, antitrust, and privacy.

We continue to assess and enhance our compliance programme globally, including in relation to the detection and prevention of economic crime, in line with 'Our Ethics' and local legal requirements. A global fraud and anti-bribery and corruption risk assessment framework was deployed and conducted in 2024.

Privacy, particularly using data responsibly and protecting personal data in our care, is an ever-evolving priority. We take responsible data management and data privacy seriously and have set up a global data governance committee made up of experts in data governance, privacy, information technology, and security, as well as members of our innovation and media teams. We aim to ensure that we manage, collect, store, transfer, secure, and dispose of data with the highest possible standards while leveraging the opportunities technology can offer in a responsible and ethical way.

Chanel is continuously working on building an environment of trust and open reporting, where concerns can be raised, investigated, and resolved. In 2024, the Group tracked and investigated 140 concerns raised globally, 53% of which were substantiated, resulting in disciplinary actions and process improvements where necessary (compared to 119 cases in 2023 where 47% were substantiated). In 2024, the Group also spent time developing a new 'Open Door' campaign, to be launched in 2025, aimed at encouraging employees to speak up and facilitate a better dialogue on business ethics topics.

TAXATION

Tax principles

The Group's overall objective is to maintain a net positive tax contribution in all jurisdictions where it operates, in line with the economic value created in each country, not just in terms of corporate taxes, but also employment and property taxes, customs duties and other types of levies.

Our tax principles ensure coherence between our business operations and the policy intent of international and local tax legislation. The Group does not invest in a country, for example, without a clear business purpose or put in place any schemes or arrangements that could be perceived as contrived or artificial in nature. The Group follows reasonable and unambiguous interpretations of tax laws as well as the policy intent of tax legislation.

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TAXATION (CONTINUED)

Tax principles (continued)

The Group strives, through its tax principles, to align its global profit allocation with economic value creation within the Group and to apply the 'arm's length' principle, considering the location of its main intangible assets and functions related to their development and generation of value. None of the Group's companies operate in low-tax jurisdictions unless there are commercial activities being carried out there, supported by people, assets, and business in that jurisdiction.

The Group endeavours to ensure the highest level of compliance when applying its tax principles. Tax-related returns, declarations, reports, and related documentation are filed in accordance with local legislation. Where there is significant complexity in relation to a tax matter, the Group seeks advice from external advisors on the appropriate filing position to adopt. The Group maintains an open, transparent and constructive relationship with tax authorities and, in areas of complexity, will seek to enter advanced pricing arrangements, or equivalent mechanisms to ensure transparency between various tax jurisdictions and create greater certainty in its tax positions.

Pillar Two income taxes

The global tax landscape is changing as governments seek to modernise tax systems that deal with increasingly digitalised and globalised economies. As a response, the Organisation for Economic Co-operation and Development has developed Pillar Two which requires multinational companies to pay at least 15% tax on the profits made in each jurisdiction in which they operate. Pillar Two came into effect for the year ended 31 December 2024 and results in the Group paying additional taxes on its activities in low-tax jurisdictions, depending on its financial results in those jurisdictions.

An assessment of the Group's exposure to Pillar Two income taxes was performed based on the most recent tax filings, country-by-country reporting, and Group financial information. Based on the assessment, the Pillar Two effective tax rates in most of the jurisdictions within the Group's perimeter are above 15% with a limited number of jurisdictions where it is estimated to be below 15% and for which the necessary Pillar Two provision has been recognised accordingly.

As described above, the Group has no subsidiaries operating in low-tax jurisdictions unless commercial activities are being carried out there, supported by people, assets and business. Accordingly, there is no material impact of Pillar Two income taxes to the Group.

A full report on Chanel's tax strategy can be found on the Chanel.com website.

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APPROACH TO RISK MANAGEMENT

As the internal and external risk environment continues to evolve, the Group has proactively established and integrated a robust risk management framework, ensuring resilience and adaptability in an ever-changing landscape. Risk management is a responsibility of the Executive Committee and is overseen by the Board through the Audit Committee (see more on page 56).

Our approach continues to strengthen the Group's ability to effectively identify, assess, mitigate, monitor, and report risks. We also continue to enhance our capabilities to develop, operate, and continuously refine our system of internal controls. These improvements have contributed to a more risk-aware culture throughout the business, ensuring adaptability and informed decision-making at every level.

Identifying risks: Integrated risk management framework

Our Integrated Risk Management (IRM) framework outlines the Group's risk identification and mitigation efforts and reporting process, demonstrating how the Group makes well-informed decisions to drive performance.

The business activity, regional, and corporate level management teams perform thorough, annual risk assessments to evaluate the Group's risks and prioritise accordingly. Risks are analysed through the lens of likelihood of occurrence and impact to the business model and future performance while also considering the efficiency of current mitigating control activities.

Risk assessments, including the global overview, are reviewed by the Executive Committee and subsequently by the Audit Committee. These are then cascaded across the Group to support business management and all employees in their risk management activities, including identifying where additional activity may be needed to bring risks within our risk appetite. Management teams take a pragmatic approach when determining their risk appetite, whilst acknowledging that the luxury sector is competitive and dynamic, and that innovation and understanding of consumer habits is paramount to the success of our business.

The Board, through the Audit Committee, continuously reviews risk events, internal audit findings, and emerging risks to understand how these could affect the Company's risk profile and monitor the related mitigating actions. See the corporate governance report on page 56 for more information on the role of the Board and the Audit Committee in relation to risk management.

Principal risks

Below is an overview of the principal risks that have been identified by the Executive Committee. We believe these risks are most relevant to our business and could have the most material impact on our strategy, performance, reputation, business operations and future success, as well as potentially threaten our overall business model if they are not managed effectively.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

Principal risks (continued)

Applying our risk assessment methodology, we have assessed our principal risks using the following criteria and definitions:

- **Risk level:** the inherent risk based on a four-tier scale -1. Low, 2. Medium, 3. High, and 4. Very High. Beginning in 2024, the risk level likelihood has been assessed using a one-to- three-year outlook.
- **Movement:** the change in the risk level (Increased, Decreased, No Change) in the past 12 months.
- **Risk appetite:** the amount of risk we are willing to accept to meet our strategic objectives. It is based on a five-tier scale - 1. Very Low, 2. Low, 3. Medium, 4. High, and 5. Very High.
- **Mitigation:** the actions taken during 2024 under the direction of the Executive Committee to support the alignment of the risk level within the risk appetite.

MACRO-ECONOMIC AND GEOPOLITICAL	
RISK SUMMARY	MITIGATION
Political and economic stability continued to be tested in 2024 as governments were under increasing pressure from the disruptive power of technology, terrorism, climate change, war, related financial and economic sanctions, and other risks such as rising inflation. In addition, changes in government and political strategies could impact consumer attitudes and spending, and increasing and accelerating regulatory changes could impact our business model. Country-specific trade agreements and tariffs could impact flows of goods and spending behaviours of key consumer groups, as well as intercompany sales and prices, and potentially even limit the sale of certain products. BUSINESS IMPACT Potential negative impact on business operations, sales, and profitability. 2024 RISK LEVEL Very High MOVEMENT No change RISK APPETITE Medium	The Group works to maintain the strength of the Brand through the development of new and innovative products, strategic advertising, and maintaining strong relationships with our clients in each country. In addition, with the help of a strongly coordinated global Legal and Public Affairs team, the Group strives to prepare for, and anticipate, changes in government and political strategies, as well as large regulatory and legislative shifts as early as possible (such as sustainability, climate change, regulation of intellectual property and technology or data privacy). They also advise on business impacts and help adapt business strategy. Our risk resilience strategy includes engaging in constructive dialogue with governments and policymakers and being well-established members of the communities in which we operate. We are well-connected from a business and social impact perspective; prioritising the safety and wellbeing of our people in times of crisis, having robust supply chain mapping and alternative solutions, and establishing local crisis committees.

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APPROACH TO RISK MANAGEMENT (CONTINUED)

COMPETITIVENESS OF OUR PRODUCTS	
RISK SUMMARY	MITIGATION
The Group has many well-established competitors. We also face new market entrants and business models every year and are subject to normal competitive pressures. BUSINESS IMPACT Potential negative impact on sales, profitability, and a decreased market share. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Medium	The Group's aim is to safeguard and enhance the long-term value of our Brand by ensuring a forward-looking perspective is embedded across the Group. This strategy allows us to innovate and inspire our clients with beautiful products and to remain at the forefront of the retail luxury market. To be recognised as the ultimate luxury brand, and to reinforce our singularity and differentiation versus competitors, we also continue to surprise and inspire our clients with our strong campaigns and events. We ensure there is exclusivity and rarity across our products, and monitor price harmonisation as a commitment to clients, as well as maintain and develop the most exclusive owned boutique network and selective distribution through the highest-quality retail partners.

STRATEGIC REPORT

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APPROACH TO RISK MANAGEMENT (CONTINUED)

CLIMATE CHANGE	
RISK SUMMARY	MITIGATION
Impact of climate change and the threat to our business. See more information about our climate-related risks on pages 61 - 67. BUSINESS IMPACT Climate-related physical and transition risks could cause disruptions across Chanel's operations and supply chains, particularly impacting operational costs and/or the sourcing of raw materials used in our products. 2024 RISK LEVEL High MOVEMENT Decreased RISK APPETITE Low	As a Group, we assess climate-related risks and opportunities in accordance with CFDR 2022. See more information on pages 61 - 64. We conducted physical risk assessments for all real estate assets and upstream value chain tiers and have started to design gradual adaptation measures. We refined our assessment of transition risks and mapped them against current practices (i.e. monitoring of regulatory changes) and strategies (e.g. how our commitment to the SBTi Corporate Net-Zero Standard reduces dependency on high-emitting energy sources and services). In a one-to-three-year timeframe, the immediate impacts of physical climate-related risks (e.g. extreme weather events) are manageable compared to the longer-term catastrophic scenarios that would drive a Very High risk rating. Transition risks are also more predictable in the short term. These considerations both contributed to an adjusted inherent risk level perception for 2024.

STRATEGIC REPORT

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APPROACH TO RISK MANAGEMENT (CONTINUED)

HUMAN AND LABOUR RIGHTS	
RISK SUMMARY	MITIGATION
Human and labour rights rest on the solid foundation of our historical commitment to be a human-driven company. We respect human rights for all those whose lives we touch through our business, across our value chain and beyond the people we employ in our own operations worldwide, these include: - the people employed by our suppliers and business partners in our upstream and downstream value chain; and - the people living and working in the local communities where we operate or where we source raw materials. BUSINESS IMPACT Given the myriad of partners, suppliers and other third-party agents throughout our value chain, an issue related to a human rights violation, safety or security or unintended disrespect of labour rights or other societal issues could significantly harm the Brand's reputation and impact our clients' trust in the Brand. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Very Low	We believe everyone, within and beyond our House, should be treated with dignity, respect, and have the opportunity to thrive. This is an integral part of our broader House Sustainability Ambition, which combines social and environmental areas in our own workforce and through our supply chains, where we can have the greatest positive impact. From responsible sourcing and procurement practices through to helping partners strengthen their labour management practices, we prioritise respecting and protecting human rights for people across our value chain, in the same way we do for our own workforce. We translate our commitment to our partners through responsible social and environmental due diligence, as well as advancing training, assessments, and social impact programmes around the world. Building on this foundation of respect for human rights, we take further targeted action by collaborating with our business partners and suppliers to advance positive outcomes and opportunities for people in our value chain.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

SOURCING AND SUPPLIER MANAGEMENT	
RISK SUMMARY	MITIGATION
Our partners play a key role in the success of Chanel. A lack of transparency, understanding, or knowledge of our partners could expose the Group to failure to comply with laws and regulations and create reputational risks. This may include partners in the supply chain representing the Brand and its image but also partners that support client-facing activities. BUSINESS IMPACT Impact on the Group's operations and supply chain in addition to exposure to legal consequences in the event of misreporting or failure to comply with legal obligations. Such non-compliance could negatively impact the Brand's reputation and erode our clients' and other stakeholders' trust. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Low	We aim to always act as a reliable business partner and wish to do business with partners who share in our commitment to the highest standards of integrity and responsible business conduct, and act in compliance with applicable laws and regulations. In line with our internal code of conduct, 'Our Ethics', we choose our partners with care, using a transparent selection and due diligence process, which includes financial and compliance screening tools to assess potential partners; financial health and reputation, and to help ensure there are no compliance concerns with potential partners. We are working to incorporate environmental and social pillars within our due diligence process, in line with CSRD and CSDDD. In addition, when signing a contract, relevant suppliers are asked to acknowledge their commitment to our Responsible Procurement Policy, which we also ask our partners to communicate to their own providers and subcontractors. We also encourage them to integrate the principles of our Responsible Procurement Policy into their own policies and practices and for their own providers and subcontractors to do the same. We aim to help our strategic partners improve their corporate social responsibility performance in accordance with our endeavours and expectations on these topics. This includes helping our partners develop their know-how and ability to innovate in this area, whilst setting up suitable management systems and operational procedures. Adhering to Chanel's policies also means that our partners agree to inspection visits by our teams or by appointed third parties. This enables us to ensure systematic compliance checks and to have informed discussions on any measures that could be taken to continuously improve.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

OPERATIONAL RESILIENCE	
RISK SUMMARY	MITIGATION
Major incidents due to natural disasters, terrorist activities, war, or global pandemics affecting one or more of our key locations could cause business disruptions and impact our operations. BUSINESS IMPACT A major incident at one or several key locations could significantly impact business operations and client patronage, with the impact varying depending on the location and its nature. Disruptions or inefficiencies in our supply chain could lead to delayed or suspended production, delayed deliveries, and limit the availability of the full product range at our boutiques. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Low	The Group's global operations, business continuity plans, and crisis management activities help mitigate the impact of a disruption or crisis but cannot eliminate the potential impact on sales and profits. We maintain a strong balance sheet position and target a net debt position of zero, which supports our ability to raise debt quickly in the event of a disruption or crisis. We mitigate the risk of disruption in the supply chain by working closely with our suppliers to ensure long-term relationships based on trust which secures good knowledge and reliability of supplies. We also monitor suppliers' production capacity to ensure that product lead times are minimised, and sufficient quantities are produced efficiently. We work continuously to ensure that products are in the right place, at the right time, to maximise sales and reduce inventory losses. The decision to move the risk appetite from Very Low to Low reflects a balanced approach to managing risk while optimising resources. This adjustment recognises that maintaining a Very Low risk appetite can be unnecessarily restrictive, particularly as the Group grows and operational complexity increases. Enhanced risk management capabilities, improved monitoring systems, and a mature resilience framework provide confidence that a Low risk appetite level is sufficient to safeguard critical operations without compromising compliance or stakeholder expectations.

STRATEGIC REPORT

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APPROACH TO RISK MANAGEMENT (CONTINUED)

RESPONSIBLE CONSUMPTION AND PRODUCTION	
RISK SUMMARY	MITIGATION
The overuse of natural resources, as well as the general use of materials which produce emissions and pollutants, compromises the ability of the Group to operate and jeopardises the needs of future generations. BUSINESS IMPACT The role of business in contributing to sustainable development is critical in terms of corporate social responsibility and aligns with the standards we have established in carrying out our related initiatives. Not adhering to emerging regulations or industry-wide standards in relation to the overuse of natural sources or the use of materials that harm the environment could cause reputational harm to the Brand or exposure to legal liabilities. This could have an adverse impact on the Group's performance. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Medium	'Restoring Nature and Climate' and 'Investing in Circularity' are two key pillars of our House Sustainability Ambition, which combines social and environmental areas where we can have the greatest positive impact. We continue to focus on initiatives to increase our sustainable consumption and production patterns to secure efficiency and productivity gains, ensuring that human activities remain within the carrying capacity of the planet, whilst respecting the rights of future generations. One example of this is the Net-Zero 2040 target and our commitment to RE100. We look towards innovation in materials, products, and circular systems that will accelerate our combined contribution to a more sustainable future.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

INTEGRITY AND BUSINESS ETHICS	
RISK SUMMARY	MITIGATION
Compliance issues, whether real or perceived, within the Group or with any of the Group's suppliers, agents, or business partners. BUSINESS IMPACT Laws and regulations are changing very rapidly in all parts of the world and across many areas. Staying on top of them and ensuring that all employees consistently understand the law, make informed decisions, and seek the right guidance when needed necessitates continuous investment in anticipating potential challenges, evaluating risks, providing comprehensive training, and raising awareness. In a large multi-national group with a myriad of partners, suppliers, and other third-party agents, a compliance issue such as a case of fraud, a violation of sanction laws, or corruption could significantly harm our reputation and impact our clients' trust in the Brand. 2024 RISK LEVEL Medium MOVEMENT No change RISK APPETITE Very Low	The Group is strongly committed to conducting its business in compliance with all applicable laws and regulations wherever it operates. Our core ethical values and standards are described in the Group's code of conduct, 'Our Ethics'. An updated version of Our Ethics was relaunched to all CHANEL Brand Entities in 2022 and has now also been implemented in a large number of non-CHANEL Brand Entities. In 2024, a global e-learning course was rolled out to all office-based employees working for CHANEL Brand Entities and some of our Integrated Suppliers to help build an understanding of our stance on the topic. This training will also be a part of all new employees' onboarding journey. We invest significant resources, in particular through our Legal, Business Ethics, and Public Affairs team, into monitoring and anticipating upcoming regulations across all parts of the world, translating them into appropriate internal guidelines and training for our employees to understand and observe, equipping them with the ability to act with integrity at all times. Third-parties with whom we conduct business, including suppliers, contractors, agents, representatives, distributors, and consultants, are invited to share our commitment to our values and standards of integrity and responsible business conduct by signing up to our Responsible Procurement Policy, which lays out the same principles, values, and obligations as we apply to ourselves in our 'Our Ethics'. See page 27 for more information. Key third-party suppliers are subject to rotational audits to ensure their practices are in line with our requirements and that there are constant improvement processes in place in the event of adverse audit findings.

STRATEGIC REPORT
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APPROACH TO RISK MANAGEMENT (CONTINUED)

TAX COMPLIANCE	
RISK SUMMARY	MITIGATION
As a global business in a constantly changing regulatory environment, the Group is subject to a number of significant tax compliance requirements. Complying with all of them extensively comprises risks such as late payments, miscalculations or interpretations that could differ from those of the tax authorities, the most significant of which are related to corporation taxes, sales taxes, and customs duties. BUSINESS IMPACT Erroneous interpretations of tax rules, incorrect payment of tax, or poor relations with tax authorities could result in tax audits, late payment interest, and other legal sanctions or fines that could damage our reputation. 2024 RISK LEVEL Medium MOVEMENT No change RISK APPETITE Very Low	The Group's Tax department, in collaboration with the Group's Legal department, focuses on ensuring that the Group's tax risks are understood, managed, minimised, and reported frequently to senior management. Our approach to taxation is set out in more detail in the Taxation section on pages 27 - 28.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

FINANCIAL MARKETS RISK	
RISK SUMMARY	MITIGATION
We operate internationally and are exposed to a variety of financial risks including foreign exchange risk, interest rate risk, and commodity price risk. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities, and net investments in foreign operations. We operate in many countries with high inflation and fluctuating interest rates, which could negatively impact client demand and profitability. Commodity price risk arises from the potential for an increase in the cost of raw materials which could negatively affect the Group's profitability. BUSINESS IMPACT Unpredictable movement in markets can lead to an inability to protect the Group from foreign exchange risk and unfavourable derivative movements which could reduce sales, gross profit, operating profit margins, and cash flows as well as impact the US Dollar value of the Group's assets. 2024 RISK LEVEL Medium MOVEMENT Increased RISK APPETITE Medium	We aim to address the unpredictability of financial markets by mitigating potential adverse effects on our financial performance. On foreign exchange risk, we take a long-term view and do not normally seek to mitigate this risk, unless there is a specific circumstance that causes elevated volatility in a particular currency. We use derivative financial instruments to mitigate our interest rate risk exposures and commodity price risk exposures. The increase in Financial Markets inherent risk from Low to Medium reflects the cumulative effects of a global economic slowdown, higher financing costs, increased market volatility, and growing credit risks. Uncertainty around geopolitical and regulatory factors further compounds the risk, leading to a more challenging environment for businesses and investors to navigate in 2025.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

SAFEGUARDING DATA	
RISK SUMMARY	MITIGATION
Data is a key asset for the Group. Safeguarding the data of the Group, employees, and clients is a critical element in our overall risk management and part of the value proposition to clients. Examples of sensitive or confidential information include intellectual property, financial plans, vendor and employee contracts, client lists, marketing plans, and personal data. BUSINESS IMPACT A cyberattack on our systems or on the systems of our key suppliers could severely disrupt operations and possibly lead to a loss of data resulting in damage to the Brand and/or financial loss. In addition, unauthorised sharing or leaking of data can lead to significant reputational damage, losing our competitive edge, and regulatory fines. Inadequate protection, processing, or transfer of confidential or personal data, or a data breach or cyberattack resulting in leaked confidential or personal data, could adversely affect our results, strategy, and reputation, especially if such information enters the public domain. This could also potentially subject the Group to damages claims and significant regulatory penalties. 2024 RISK LEVEL High MOVEMENT No change RISK APPETITE Very Low	We maintain our investment in our people, processes, and technologies for the protection of confidential and personal data within the Group. Cybersecurity domains enhance our systems and employees' defences to mitigate potential threats in conjunction with adequate information security and data privacy programmes, training, and tools. Data Management Policies addressing the security and classification of data were established to explicitly identify sensitive assets and apply sensitivity labels. These labels help guide the level of protection required for each type of data. A Records Retention Policy has also been defined and communicated. Appropriate contractual arrangements and security enhancement programmes are in place, both internally and with third parties processing personal data on our behalf, to avoid or mitigate potential security breaches and safeguard confidential and personal data. These contractual arrangements are regularly reviewed and adapted to align with changes in evolving privacy laws across the globe. Data privacy and information security programmes, policies, periodic awareness training, and audits are in place to educate staff on breach prevention and response, with a focus on international transfers where required by local law. Periodic penetration tests are carried out on internet-facing web applications and key infrastructure systems to identify vulnerabilities and exploitable weaknesses. Information security assessments are carried out on our most relevant external third-party suppliers who process confidential or personal data on behalf of the Group, with security risks identified for subsequent remediation.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

TECHNOLOGY RESILIENCE	
RISK SUMMARY	MITIGATION
Systems and technologies critical to our core business activities must be available and function as intended. The risk is that these systems do not operate as intended or that they become unavailable for continuing the Group's core business operations due to major technology infrastructure or cybersecurity incidents. BUSINESS IMPACT The inability to produce and distribute items, perform sales activities, and execute reporting requirements could arise if systems, which are relevant to each of the key activities within the supply chain, are either unavailable or operating at limited capacity. 2024 RISK LEVEL Medium MOVEMENT No change RISK APPETITE Low	We have implemented robust controls around the identification of key systems, detection of deviations from expected performance levels, and corrective measures to address the identified risks. In addition, we have an ongoing programme to improve and update our information technology security maturity across multiple domains including recovery capabilities, and asset inventory and control. We maintain a high level of security and vigilance in all of our sites to address potential security risks. Additional external threats and vulnerability monitoring tools and systems have been deployed to prevent and detect information security threats and weaknesses across our IT landscape, including cloud-hosted infrastructure and third-party suppliers. A Global Security Operations Centre monitors, manages, responds to, and corrects cybersecurity risks, incidents, and threats. Moreover, the continuous efforts to mitigate cyber risks through the ongoing enhancement of our cyber maturity across the Group contribute annually to strengthening the resilience of both our internal IT ecosystem and several key technology partners.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

TALENT ATTRACTION AND RETENTION	
RISK SUMMARY	MITIGATION
Whilst Chanel has remained an attractive employer, we recognise that vigilance and special attention are still required for acquiring and retaining high demand and specialised capabilities and skillsets across sectors. This requires a multi-pronged strategy across talent attraction and retention activities. BUSINESS IMPACT The inability to provide the ultimate client experience, quality products, innovation, differentiation and managing technological developments may tarnish the Brand and inhibit financial growth. 2023 RISK LEVEL High MOVEMENT No change RISK APPETITE Low	We invest in the individual development of leaders and future leaders and enhance the culture of Chanel, notably through the Leadership Collective and Imagine Chanel Leadership programmes. We also have other programmes that engage people at all levels in a way that fosters collaboration and a positive work environment. We strive to have competitive pay, career progression, the possibility to have exciting responsibilities, attractive benefits packages, and flexibility. We believe in promoting diversity and creating an inclusive culture, based on trust and psychological safety, which nurtures personal growth, contributing to collective progress. See more on pages 14-15. We have a global coherent framework around diversity and inclusion, which is executed at local levels to ensure a culture in which all individuals are treated fairly and with respect, and that all employees have equal access to opportunities and resources for optimised performance and retention. We apply an inclusiveness lens in our processes including recruitment, gender pay equity reviews, talent development, and our career pipeline. In 2024, we actively listened to our people around the world through CHANEL Voices, the results of which are being worked on in action and improvement plans tailored to each relevant level in 2025. In addition to continuing the progress on diversity and inclusion commitments, 2024 mitigation actions have also included new talent acquisition models, increasing compensation competitiveness, more intentional and accelerated career and talent development programmes for leaders, and targeted learning and upskilling programmes for enhanced performance management, flexible work arrangements, comparing existing staff benefits to external benchmarks and our ambition to be the best employer, allocating specific budget for back-filling long-term leave over three months.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

APPROACH TO RISK MANAGEMENT (CONTINUED)

Emerging risks

Identifying and assessing emerging risks continues to be an area of attention. As a global company, we are aware that emerging risks, by their nature, are highly uncertain and unpredictable. These risks can change rapidly, stressing the importance of ongoing horizon scanning to identify them as soon as possible and to swiftly respond to uncertainty and changes.

We are mindful of the following emerging risks in particular, and monitor the impact and likelihood as part of our risk management framework:

Evolving Environment, Social, and Governance (ESG) standards and regulations:

The regulatory landscape for ESG reporting is becoming more complex, with different jurisdictions imposing varying requirements on sustainability disclosures, due diligence, and corporate accountability. Key regulations such as the EU's CSRD and CSDDD are setting new expectations for transparency and responsible business practices. For global luxury brands, navigating these evolving regulations presents significant complexities and challenges. Divergent reporting frameworks can lead to increased operational complexity, higher compliance costs, and potential legal risks. Moreover, heightened scrutiny from regulators, investors, and consumers means that any misalignment in ESG commitments across markets could impact Brand reputation and client trust. Keeping pace with emerging trends and updates requires monitoring, adaptation, agility, and a strong focus on transformation and implementation efforts across the House.

Digital and AI-Driven Brand Equity threats:

The rapid evolution of digital technologies, particularly artificial intelligence (AI) and social media platforms, is reshaping the risk landscape for luxury brands. The ability of AI to perform complex tasks at scale and speed has significantly increased exposure across multiple risk categories, including data leaks, system availability, counterfeit production, and social media influence. One of the most pressing threats is the rise of AI-driven misinformation and disinformation campaigns. These can quickly erode client trust and damage brand reputation, particularly when false narratives target a brand's values, such as sustainability efforts, and product quality. Additionally, the sophistication of AI-generated content poses a threat to the creative integrity and narrative control of luxury brands. Deepfakes, unauthorised reproductions, unauthorised use of data and assets and culturally insensitive content can undermine a brand's artistic heritage, brand prestige and assets, and blur the lines of identity, potentially leading to confusion or reputational harm. Navigating this evolving digital landscape requires proactive strategies to safeguard brand authenticity, ensure responsible use of emerging technologies, and protect consumer trust in an increasingly AI-influenced world.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

SECTION 172 (1) STATEMENT

The Board is ultimately responsible for ensuring that the Group's business is sustainable in the long-term. The directors, in line with their duties under section 172(1) of the Companies Act 2006, act in a way they consider, in good faith, would be most likely to promote the success of the Company and the Group for the benefit of the Company's shareholder while considering the interests of other stakeholders.

The Board ensures that the right leadership, governance, and decision-making framework are in place within the Group. It delegates day-to-day operations and decisions to the Executive Committee, led by the Global CEO and supported by the Global Executive Chairman. The Corporate Governance Report on pages 49 - 57, details the Board's role further.

The Board ensures that the Executive Committee and senior leaders make decisions with integrity and consider long-term impacts. The annual bonus pool is determined by reference to our five performance drivers (see pages 9 - 13), aligning decision-making with financial incentives. Decisions adhere to 'Our Ethics', our code of conduct (see page 27), considering all relevant stakeholders. The Global CEO and Executive Committee members regularly report to the Board on strategy, progress against our performance drivers, and key decisions, ensuring stakeholder interests are considered. The Board ensures that proper consideration is given to stakeholder interests in the Group's decision-making process.

The directors gather information about stakeholder views through dialogue with the Executive Committee members and senior leaders, day-to-day interactions across the business and other channels established for engagement, such as onboarding and board education sessions, and through reviewing reports and survey results.

To help the Board focus on the Company's key priorities and oversee the Group's business, operations, and relationships with the various stakeholders, the Board adopts a purpose-driven agenda. Before each Board meeting and committee meeting, the directors receive comprehensive pre-reading materials. This allows the Board to have thorough discussions, make informed decisions, consider stakeholders and oversee the broader decision-making framework across the Group.

ENGAGEMENT WITH STAKEHOLDERS

Shareholder

The Group regularly briefs its shareholder on a wide range of topics, including risk management, financial performance, strategy, outlook, governance, and ethical practices.

People

The Board champions the development and growth of the Group's employees and is committed to ensuring their safety and wellbeing. As set out on page 12, 'Leadership and People Strength' is one of the five performance drivers which guide decision making across Chanel. The Board regularly engages with senior management to discuss strategic people matters, such as leadership development programmes, employee remuneration, and diversity and inclusion programmes.

STRATEGIC REPORT
YEAR ENDED 31 DECEMBER 2024

ENGAGEMENT WITH STAKEHOLDERS (CONTINUED)

People (continued)

The Board also regularly assesses employee experience. It receives employee feedback through surveys and internal focus groups, as well as external benchmarking exercises. In September 2024, Chanel consolidated its people-listening approach through the CHANEL Voices survey. The results of the CHANEL Voices survey are expected to be a constant touchstone for future decision-making affecting Chanel's employees. The Board received preliminary results at the end of 2024 and discussed those results during a focus session in March 2025. Further information on CHANEL Voices is detailed on page 13.

The Global CEO regularly briefs the Board about the collective priorities of the Executive Committee (as set out on page 53), which include shaping the workplace and developing people. The Board is also regularly updated about initiatives relating to the Leadership Collective (described in the Corporate Governance Report on page 49). In 2024, we arranged connection points and sessions for the non-executive directors to meet with some of the next generation of leaders, both in the boardroom setting and more informally as set out on page 50.

Additional information on how Chanel continuously strives to be a responsible employer is set out in the 'Our People' section on pages 13 - 16.

The Board's Remuneration Committee reports to the Board on salary, bonus budgets, and other remuneration matters. Details are on page 57 of the Corporate Governance Report.

Clients

The Board recognises that building and nurturing strong client relationships is essential for the Group's business, and clients are critical to the Group's decisions on investments and strategy. This is more important than ever in periods of sector slowdown and geopolitical uncertainty. The Board receives regular updates on client satisfaction levels, Brand equity reports, as well as new client attraction rates and retention rates of existing clients. The Presidents of the three business activities, Fashion, Fragrance & Beauty, and Watches & Fine Jewellery, and other senior leaders also regularly discuss client engagement initiatives and new product launches and campaigns with the Board.

The Global CEO and the Executive Committee members also regularly update the Board on emerging client trends at a macro level, such as changing generational client needs, allowing it to understand the needs of emerging and future clients. The Executive Committee reports to the Board using insights from the Global Insight and Foresight team which specialises in understanding the Group's clients, their environment and the macro-economic climate. As set out further on page 13, client engagement is one of the five performance drivers which guide decision making within the Group, including at the Board level.

Partners

Chanel upholds high ethical and professional standards and expects the same from its business partners, and this is championed at the Board level. In parallel to our own internal code of conduct, 'Our Ethics', we have put in place risk-based processes to ensure that our third parties, including suppliers, contractors, agents, representatives, distributors, and consultants adhere to our Responsible Procurement Policy, which embodies the principles of Our Ethics, as further described on page 27.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

ENGAGEMENT WITH STAKEHOLDERS (CONTINUED)

Partners (continued)

We have a Responsible Supplier Programme within our Global Finance function, supported by Legal, Business Ethics, Sustainability, and Procurement teams across the Group. This programme includes risk assessments, site visits and audits of our suppliers, on a rotational and risk-based basis.

In 2024, we conducted 648 on-site verification activities, including 504 full environmental, social and governance-related audits, covering 28 geographies. In addition, we track actions and support the procurement functions to drive the necessary improvements. The Responsible Supplier Programme reports to the Audit Committee on the Company's dealings with its partners, and the Audit Committee updates the Board on relevant developments in this space.

Governments and regulators

The Group engages with governments, regulators, and various industry associations through its Public Affairs function in the Legal department, as well as through representatives from the business activities, regions and, where necessary, other functions. In addition, the Global CEO occasionally has direct dialogues with government officials on business matters relevant to the Group. Through this engagement, the Group can communicate its view to relevant policymakers and provide industry insights to regulators and governments.

Environment and sustainability

The Board is committed to ensuring Chanel has a lasting positive impact on the environment, and sustainability is one of its five performance drivers. To enable proper oversight and informed decision-making, the Board receives regular reports on the Group's sustainability initiatives and their progress from all three business activities, the Global CSO, and other senior leaders in sustainability across the Group. The Board is responsible for considering the Group's direct and indirect environmental impact and engages with senior management to ensure it fully understands the opportunities and risks that sustainability efforts represent, as well as the governance required to manage those opportunities and risks.

In 2024, we provided training to Audit Committee members to upskill them on sustainability performance and initiatives. Also in 2024, the Board had oversight of our plan to achieve its net-zero ambition by 2040 as further set out on pages 58 - 61, as well as the initiatives and programmes being supported to help meet that ambition.

Society and communities

The Board seeks to promote a culture in which the Group and its people have a positive, lasting impact on society. This is viewed through the lens of how Chanel conducts business, interacts with its wider supply chain, engages with social commitment activities, contributes to arts and culture, and supports the Company's independent corporate charity, Fondation CHANEL.

In 2024, the Board was briefed on the mission, strategy, and expansion of Fondation CHANEL following the Company's decision to increase its donation. Case studies showcasing Fondation CHANEL's work were also shared with the Board to illustrate its impact on society and communities, particularly the support it provides to women and girls across the world. Further information can be found on pages 22-23.

STRATEGIC REPORT

YEAR ENDED 31 DECEMBER 2024

ENGAGEMENT WITH STAKEHOLDERS (CONTINUED)

Society and communities (continued)

Chanel is further committed to supporting society and communities through its interaction with the Arts, in line with the legacy of its founder. The Board is regularly briefed on Arts and Culture events and initiatives supported by the Group as well as local programmes and partnerships. Chanel supports its Arts and Culture partners and cultural institutions to drive innovative creative and cultural thinking. Further information on the Group's contribution to arts and culture is set out on pages 25 - 26.

As noted above, the Board oversaw the introduction of Chanel's House Sustainability Ambition which, in addition to nature and climate, also provides a framework for how the Company engages with society and supports the people in our value chain and affected communities.

ACTING WITH INTEGRITY

Business ethics

The Board and the Company's leadership are committed to ensuring that the Group's business complies with the law and is conducted ethically.

The Board is regularly briefed on new regulatory and legal developments by the Global CLO and engages with other senior leaders to ensure it fully understands regulatory developments and legal risks, and how those are managed by the Company.

The Audit Committee oversees the Company's business ethics and compliance activities. It receives regular reports from the Company's Chief Compliance Officer on the programmes, initiatives, and training as well as any major business ethics issues. The Audit Committee Chair regularly informs the Board about the effectiveness of the Company's internal controls and processes, including the business ethics programme, as detailed on page 54.

In 2024, the Board continued to oversee the further embedding of the Group's code of conduct, 'Our Ethics', throughout the organisation, notably through the introduction of a new e-learning initiative. The Company's Global Compliance Steering Committee oversees the development and implementation of the Group's business ethics programme and provides updates and recommendations to the Board either directly or via the Executive Committee and the Audit Committee.

Long-term thinking

The Board recognises that long-term commitments are critical to sustainably address multi-faceted issues such as talent retention, and how best to address climate change, and always considers any decisions with a view to their long-term impacts. This approach is embedded in the Company's DNA and is reiterated during director onboarding, both as a critical approach and through an emphasis of the history and patrimony of the Brand. Evidence of this thinking is seen in the Board's decision making in respect of all major transactions.

STRATEGIC REPORT

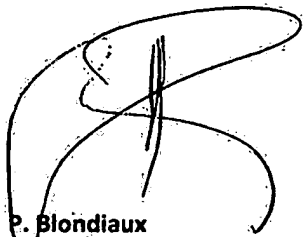
YEAR ENDED 31 DECEMBER 2024

ACTING WITH INTEGRITY (CONTINUED)

Long-term thinking (continued)

The directors of Chanel Limited have prepared this Strategic Report with the purpose of providing the Company's stakeholders with information to help them assess how the directors have performed their duty to promote the success of the Company and its subsidiaries, in compliance with section 414C of the Companies Act 2006.

Approved by the Board and signed on its behalf by

A handwritten signature in black ink, appearing to be 'P. Blondiaux', written over a faint, larger signature.

P. Blondiaux
Director
19 May 2025

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

CORPORATE GOVERNANCE REPORT

At Chanel, we believe that robust and effective corporate governance is fundamental to cultivating trust, transparency, and accountability. These principles are vital for making solid and prudent business decisions.

We are committed to implementing systems, controls, processes, and procedures that promote sustainable growth and balance the interests of all stakeholders: our shareholder, our employees, suppliers and clients, and the environment and communities we operate in. This approach will help us make well-informed decisions that advance our strategy in the long-term, honour our rich heritage, and provide value to and build trust with all stakeholders.

Consistent with previous years, in 2024 we applied our chosen corporate governance framework: the Wates Corporate Governance Principles for Large Private Companies (the 'Wates Principles', published by the Financial Reporting Council in December 2018).

The Wates Principles provide a solid framework to support the Board and the Company's executives in managing strategic and long-term decisions. A description of how we applied each of the Wates Principles over the past year is set out below. This Corporate Governance Report should be read in conjunction with our section 172(1) statement set out on page 44 and other sections of the Strategic Report, as indicated.

PRINCIPLE 1 - PURPOSE AND LEADERSHIP

Chanel's purpose, values, and culture

At Chanel, we value the freedom of creation. This spirit permeates our entire organisation, reflected in the design, highest quality and finest craftsmanship of our Fashion, Fragrance & Beauty, and Watches & Fine Jewellery products. We strive to preserve the Brand's heritage whilst shaping it for the future with integrity and responsibility.

Our commitment is to cultivate human potential, and throughout 2024 we continued to invest in our people, fostering both individual development and collective success. We always put people at the heart of our Company, which allows us to have a positive impact on our workforce, the environment, communities, and society.

We have achieved a 100% rate of CHANEL Brand Entity employees earning a living wage (based on two-income earner thresholds). We also undertook the CHANEL Voices survey, to monitor sentiment across a wide range of criteria, with a particular focus on workplace culture and employee engagement. More details on CHANEL Voices can be found in the people section on page 13.

Our purpose and values inform our strategy, decision-making and relationships with stakeholders, and help to shape the Company's culture. We believe it is critical to share and champion them at all levels to ensure global alignment.

Our Global CEO and Executive Committee regularly speak to our values and purpose, encouraging their adoption in all parts of the House. We held regular global townhalls in 2024, sharing and reinforcing our House purpose and values. We consider this especially important following a period of growth in which the Group hired a significant number of new people.

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 1 - PURPOSE AND LEADERSHIP (CONTINUED)

We also continued to harness the power of our Leadership Collective, a group of the most senior 220 leaders across Chanel from all business activities, regions, and functions, who are critical for spreading our purpose and role-modelling our values. Additionally, we created more opportunities outside of the boardroom for non-executive directors to interact with small groups of senior leaders to enable direct engagement with our employees and familiarity with our next generation of talent.

Our culture reflects our values with respect to our global impact. Our House Sustainability Ambition describes our environmental and social goals. We support women's autonomy and aim to improve dignity and opportunity for people and communities, as well as supporting and protecting the planet. More information about our House Sustainability Ambition is available on page 18.

Our Ethics

We care deeply about the decisions we make and the actions we take. Wherever we operate, we are committed to integrity and responsible conduct for the benefit of our clients, partners, employees, and local communities, and we comply with applicable laws and regulations. We view this as the foundation of being a sustainable and responsible company.

On page 27, we describe the Group's code of conduct, 'Our Ethics', as well as the different components, initiatives, and activities of our business ethics programme.

Chanel's leadership and decision-making

As a privately held Group, we have the freedom to shape our own future and make long-term, sustainable decisions which benefit the Brand and positively impact society and the environment. This autonomy empowers the Board, the Group's leadership, and our people, to think and act with agility as well as drive transformational change. This enables us to look beyond the near-term, considering long-term opportunities that add lasting value.

The Board of Directors

The Board is the highest level of governance of the Group and is ultimately responsible for ensuring that our business is sustainable in the long-term.

Together with the Executive Committee, the Board defines the long-term vision, strategic agenda, culture and values. The Board delegates daily operations and decision-making to the Executive Committee, which is led by the Global CEO and supported by the Global Executive Chairman, to ensure effective leadership and governance throughout the Group. Directors oversee significant risks and decisions, ensuring robust risk management, regulatory compliance and reporting. The Board provides checks and balances to ensure that shareholder and other stakeholder interests are considered in all decisions.

In 2024, the Board, on the initiative of its Chair and the Global CEO, engaged an independent third-party expert to assist with performing its first board evaluation. This review focused on the effectiveness of decision-making, governance best practices, and refreshing the Board's skills matrix. Following recommendations from the evaluation, the Board began work on updating its governing documents, including delegations of authority and the terms of reference of its committees. For example, the Audit Committee's remit now includes non-financial reporting.

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 1 - PURPOSE AND LEADERSHIP (CONTINUED)

Chanel's leadership and decision-making (continued)

On 1 January 2025, three new non-executive Board members were appointed, each enhancing the existing skills of the Board and ensuring strong governance expertise.

The Executive Committee

The Executive Committee is the central hub of the Group's governance structure, responsible for the day-to-day strategy, operation, and management of the Group. It also functions as the Group's operating risk committee. In this role, the Executive Committee prioritises risks identified by the Global Risk Matrix, an internal committee with members from the Company's various assurance functions. The Global Risk Matrix ensures that a proper risk management framework is implemented across the Group.

The Executive Committee plays a pivotal role in advising the Board on direction and strategy, educating it on the Group's activities and on how the Group identifies, assesses, and manages risks and opportunities. It ensures that strategic objectives are implemented throughout the organisation and provides the Board with high-quality information for oversight.

The Executive Committee consists of the Global CEO and the Global Executive Chairman, as well as the Global Chief Financial Officer ("Global CFO"), the Global CLO, the Global Chief People and Organisation Officer, the Global Chief Information Officer, the Global CSO, the Global Head of Arts, Culture and Communications, the Presidents of Fashion, Fragrance & Beauty, and Watches & Fine Jewellery, the Presidents of the 'Chanel Brand Owners' (the legal entities within the Group which together own the Brand), the Presidents of the two largest licensees of the Brand, and the other regional Presidents. In 2024, the Executive Committee met five times.

In making decisions, the Executive Committee is guided by the Group's five performance drivers and its key performance indicators as outlined on pages 9 - 13. These are designed to create long-term value. Decision-making is carried out using a governance matrix of operational committees and senior leadership throughout the Group's business areas, markets, and global functions, under the leadership of the Global CEO.

In 2024, we reviewed and streamlined operational committee activities and formalised governance structures to ensure clear decision-making and responsiveness to the needs of the Group. This work will continue in 2025. Different committees and forums prepare recommendations for the Executive Committee and, when appropriate, the Board, on topics such as manufacturing, sustainability, real estate, business conduct, technology, data governance, and business strategy.

PRINCIPLE 2 - BOARD COMPOSITION

At the end of 2024, before appointing three new non-executive directors, the Company's Board consisted of nine members: five non-executive and four executive directors. The executive directors are the Global Executive Chairman, the Global CEO, the Global CFO and the President of Fashion. The Board is supported by the Global CLO as the Company Secretary. The former President of the Asia-Pacific Region transitioned from executive to non-executive director on 1 July 2024, retiring from the Board in March 2025.

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 2 - BOARD COMPOSITION (CONTINUED)

The Chair of the Board, Bertrand Gros, a non-executive director, leads the Board and is responsible for its overall effectiveness, promoting constructive debate, meaningful discussion and ensuring all directors have appropriate information. Together with the Global Executive Chairman and the Global CEO, the Chair of the Board ensures that the balance of responsibilities, accountabilities and decision-making across the Group is effectively maintained.

All directors bring different and diverse skills and experience to the Board. Our non-executive directors bring valuable experience from both within the luxury industry as well as other sectors. On 1 January 2025, three new non-executive directors were appointed to the Board after a thorough recruitment process in 2024. Each new appointment brings additional expertise, insights and experience, contributing to a balanced and well-rounded Board. In accordance with the Group's conflicts of interest policy, the non-executive directors have no business or relationship with the Group that could compromise their objectivity.

Throughout the year, the non-executive directors played an important role in supporting and constructively challenging management on a wide range of issues. The non-executive directors met with the Group's senior executives and leaders throughout the year to gain a better understanding of business and operational matters and engage with the wider employee population.

Our Company is committed to the ongoing development of our Board. In 2024, we refreshed our onboarding programme for new non-executive directors, ensuring they could begin their journey with Chanel with the necessary knowledge and deep understanding needed to perform their duties. New directors visit operational and manufacturing facilities as well as local markets to meet with business, regional, and global function leaders. This onboarding programme exposes the new directors to our Brand, business activities, products, finances, Brand protection, business ethics, corporate governance and sustainability initiatives. The Board also regularly receives education on key strategic topics from senior management, enabling the directors to stay informed about the Group's activities and people, future plans and regulatory requirements impacting the business.

We believe that a balanced Board promotes effective decision-making and supports the Company in delivering its strategy. Currently, 42% of the directors are women and 18% have an ethnic minority background. For each new recruitment process, the Board actively considers gender and diversity in background, skills and expertise to ensure a balanced Board, with a collective high-level understanding relevant to the business needs and stakeholder interests. The Board is convinced that creating an environment with diverse perspectives enriches decision-making for the Group in the long-term and demonstrates a robust corporate governance framework.

PRINCIPLE 3 - DIRECTOR RESPONSIBILITIES

The Board, based on Executive Committee recommendations, sets the Group's strategic direction, reviews management frameworks and financial performance and approves budgets annually; it also makes decisions on significant initiatives and investments and oversees the executive leadership. As noted in the section 172(1) statement on page 44, the Board considers views from employees, partners, clients and society at large when making decisions, as well as the impact its decisions will have on these stakeholders.

CORPORATE GOVERNANCE REPORT
YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 3 - DIRECTOR RESPONSIBILITIES (CONTINUED)

As part of the Board evaluation in 2024, the Board, with the help of the Global CLO, reviewed its corporate governance practices. In the review, the Board considered how corporate governance practices could be strengthened, with clear lines of accountability and responsibility from the Board to the Executive Committee to support effective decision-making and oversight.

Appropriate financial reporting systems and processes are in place to enable the Board to evaluate the financial performance and position of the Group. Internal control systems ensure the financial information generated by the reporting system is reliable, consistent, timely and complete. At every Board meeting, the Global CFO briefs the Board on the financial position of the Group, including budgets, investments, and important areas of focus.

In 2024, the Board met six times. Ahead of each meeting, the directors receive detailed pre-reading materials to support thorough preparation and allow for meaningful discussion. The key areas of focus for the Board in 2024 are set out in the table below.

AREAS OF FOCUS IN 2024	
GOVERNANCE	▪ Recruitment of additional non-executive directors ▪ Board evaluation ▪ Review of Board committee terms of reference
STRATEGY	▪ Strategy deep dives into each of the three business activities ▪ Digital transformation and tech strategy ▪ Regional unit reorganisation ▪ Divisional manufacturing strategy
FINANCE	▪ Review and approval of 2023 financial and non-financial statements, as well as budget for 2024 ▪ Group financing transactions and cash management ▪ Control of costs in the context of luxury market slowdown
RISK AND OPPORTUNITY	▪ Major real estate transactions ▪ Regional resilience planning

Board Committees

The Board delegates certain responsibilities to Board committees that have the appropriate knowledge and experience to make recommendations to the Board on key matters. The Board retains responsibility for any final decisions. Each committee consists of non-executive directors as shown in the table below. After meetings, committee chairs brief the full Board, (except for highly confidential matters concerning individuals), allowing all directors to have visibility of different committees' dealings and ask questions as well as provide their point of view.

In 2024, the Board reviewed the terms of reference for all Board committees and clarified the roles, responsibilities and delegations of authority to them. These new terms of reference were adopted from 1 January 2025.

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 3 - DIRECTOR RESPONSIBILITIES (CONTINUED)

Board Committees (continued)

There are currently three Board committees with the following roles and responsibilities:

Audit Committee

The key duties of the Audit Committee with regard to the Company and the Group include:

- (i) assisting the Board in overseeing internal control and risk management systems;
- (ii) reviewing and monitoring the integrity of the financial and, from 2025 onwards, non-financial statements of the Company;
- (iii) overseeing and assessing the effectiveness of the internal audit function;
- (iv) overseeing relations with the external auditor;
- (v) oversight of the Group's cybersecurity; and
- (vi) ensuring the existence of robust processes for ensuring compliance with regulations, regulatory requests, and the reporting of compliance-related issues.

The Global CFO, Global CLO, Global Head of Internal Audit and Risk Management and the Company's external auditors, Ernst & Young LLP, all attended the Audit Committee meetings regularly in 2024. The Audit Committee also invites other senior executives (such as the Global Chief Compliance Officer or the Global Head of Financial Accounting and Reporting) to attend all or part of any meeting, when appropriate.

In 2024, the Audit Committee met five times.

Nomination Committee

The key duties of the Nomination Committee include:

- (i) identifying and nominating candidates (both executive and non-executive) to fill Board vacancies;
- (ii) reviewing and making recommendations to the Board in relation to the structure, size and composition (including the skills, knowledge, experience and diversity) of the Board;
- (iii) succession planning for Board positions, the Global CEO and other senior management positions; and
- (iv) reviewing the results of any Board evaluation processes.

In identifying suitable candidates, the Committee is required to consider a wide range of expertise and backgrounds and must consider these on merit and against objective criteria, having due regard to the benefits of diversity and the necessary time commitments.

The Nomination Committee may invite the Global CEO, the Global Chief People and Organisation Officer and other senior employees or other advisers to attend, for all or part of any meeting, as and when appropriate. The members and invitees do not participate in any discussions on matters relating to them personally.

In 2024, the Nomination Committee met five times, focusing on the recruitment and appointment of the three new non-executive directors as well as succession planning for the Group.

CORPORATE GOVERNANCE REPORT
YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 3 - DIRECTOR RESPONSIBILITIES (CONTINUED)

Board Committees (continued)

Remuneration Committee

The key duties of the Remuneration Committee include:

- (i) overseeing remuneration-related matters that require Board oversight or approval;
- (ii) reviewing the global salary budget;
- (iii) approving the annual global bonus pool funding percentage and approving any changes to the structure and scope of Group-level compensation plans;
- (iv) overseeing remuneration policies and practices to support strategy and promote long-term sustainable success and talent retention; and
- (v) approving the total individual remuneration package (including salary, bonuses and long-term incentive payments) of the Global CEO, each member of the Executive Committee and key leadership roles.

The Remuneration Committee may invite the Global CEO, the Global Chief People and Organisation Officer, the Global Head of Reward and other senior employees or advisers to attend, for all or part of any meeting, as and when appropriate. The members and invitees do not participate in discussions on matters relating to them personally.

In 2024, the Remuneration Committee met four times.

Below is a summary of the committee structures, members, and meeting attendance effective in 2024:

NAME	BOARD MEMBER	MEETINGS ATTENDED	AUDIT COMMITTEE	MEETINGS ATTENDED	NOMINATIONS COMMITTEE	MEETINGS ATTENDED	REMUNERATION COMMITTEE	MEETINGS ATTENDED
P. ABECASSIS ^	X	6/6	X	5/5	X	5/5	X	4/4
P.B. BLONDIAUX	X	6/6						
B. GROS ^ ~	X	6/6			X	5/5	X	4/4
M. LANE FOX ^	X	6/6			X	5/5		
A.R. MAHON ^	X	6/6						
L. NAIR	X	6/6						
B. PAVLOVSKY	X	6/6						
V. SHAW*	X	6/6	X	5/5				
A. WERTHEIMER	X	6/6						
^ NON-EXECUTIVE ~ CHAIR * V. SHAW RETIRED AS AN EMPLOYEE OF THE GROUP AND STEPPED DOWN AS AN EXECUTIVE DIRECTOR ON 30 JUNE 2024. HE WAS APPOINTED AS A NON-EXECUTIVE DIRECTOR EFFECTIVE 1 JULY 2024 AND RETIRED FROM THE BOARD ON 31 MARCH 2025.								

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 4 - OPPORTUNITY AND RISK

The Group's business strategy is based on a long-term vision to promote long-term sustainable success and to explore opportunities that create and preserve value in line with its purpose while establishing proper oversight for the identification and mitigation of risk. The Board relies on key members of the organisation to seek out synergies and create and innovate in new ways. Major new business opportunities and investments above certain monetary thresholds are reviewed and approved by the Board in accordance with the Company's articles of association. Strategic and significant initiatives are presented to the Board even if they do not exceed such thresholds.

Risk management is tied to the overall strategy of the Group. Pages 29 - 42 include an assessment of the Group's principal risks and how those risks are mitigated.

The Board delegates oversight for the Group's internal controls and risk management systems to its Audit Committee as discussed above under Principle 3.

The Audit Committee has a good understanding of how the Group identifies, assesses, manages, mitigates, and monitors risk and sets risk appetite and how it develops, operates, and monitors the system of internal controls. The Audit Committee provides regular reports to the Board on the Company's internal controls and risk management systems in a way that enables the Board to make informed and robust decisions.

The Audit Committee reviews and approves the role and mandate of the Internal Audit function and approves the annual internal audit plan. It also ensures that the audit plan is aligned with the principal risks of the business and that the Internal Audit function evaluates the effectiveness of the Risk, Compliance, and Finance functions. The audit plan is flexible and dynamic, enabling quick identification and response to new and emerging risks as part of the Group's risk management. As part of its work, the Audit Committee monitors and reviews the effectiveness of internal audit activities in the broader context of the Group's risk management system.

In 2024, the Audit Committee prioritised the Company's IRM programme. With the risk landscape rapidly evolving, the Company strives to have a strong risk management framework, led by the Executive Committee, supported by the Risk Management team, and overseen by the Audit Committee. Legal, Finance, and Technology assurance functions bolster this framework. The Company has also continued to refine its IRM framework regarding material ESG matters, such as climate change, workforce relationships, supply chains and business ethics and the growing governance around these matters. Pages 61 - 68 assess the Group's climate-related risks and how they are mitigated.

The Company aims to identify strategic risks that could materially impact the Group, build resilience to minimise the impact of these risks and find opportunities for competitive advantage. It also works on improving operational processes and fostering a risk-aware culture across the business to manage current and emerging risks.

The results of the risk management lifecycle activities are communicated to the Executive Committee to ensure it has a deep understanding of the Company's risk appetite, risk profile and risk tolerance. The Executive Committee is responsible for implementing appropriate mechanisms to manage key risks, monitor internal controls, and keep the Audit Committee informed of emerging risks for effective oversight.

CORPORATE GOVERNANCE REPORT

YEAR ENDED 31 DECEMBER 2024

PRINCIPLE 5 - REMUNERATION

The Group's remuneration policies are designed to ensure fair and meritocratic remuneration for all, including directors, senior leaders and the wider workforce. The Company monitors the structure and level of remuneration throughout the Group and focuses on pay competitiveness to attract and retain talent and motivate high performance, across all levels of the organisation.

The Board has delegated oversight of remuneration policies and practices to its Remuneration Committee. The key duties and the membership of the Remuneration Committee are discussed above under Principle 3.

The Remuneration Committee is supported in its oversight by the Executive Committee's Internal Remuneration Committee. The Internal Remuneration Committee follows an established annual compensation planning and review process in which it reviews global market conditions, Company performance, and competitive benchmark data.

The Executive Committee's Internal Remuneration Committee and the Board's Remuneration Committee also consider wider pay-related matters, including pay equity and living wage. Each year, we analyse pay equity in detail to ensure unbiased, fair and equitable compensation for similar work in the same location. We also compare pay levels to respected third-party "living wage" thresholds to ensure we meet these targets in each market globally. Based on these processes, the Internal Remuneration Committee makes recommendations to the Remuneration Committee with respect to the global salary and bonus pool, remuneration and long-term incentives for senior employees, as well as incentives for the Executive Committee, ensuring they are aligned to the long-term success of the Group.

PRINCIPLE 6 - STAKEHOLDER RELATIONSHIPS AND ENGAGEMENT

The Board believes robust governance and effective communication are key to meaningful engagement with stakeholders. This ensures the Group can fulfil its purpose, execute its strategy, protect its Brand and reputation, and support growth. Additionally, it helps build an inclusive society where the Group is a valued and responsible actor.

Engaging with stakeholders, including our shareholder, our employees, suppliers, clients, and the community, plays an important role in building an environment that promotes trust, accountability, and transparency in the organisation. It also allows the Group to learn from stakeholders so that Chanel continues to evolve and achieve its objectives.

The Board is committed to engaging with the Company's stakeholders, including its shareholder, in a way that is aligned with the Group's purpose, values and culture. Details of how the Group engages with stakeholders and uses engagement findings to inform long-term decisions are set out in the section 172(1) statement on page 44.

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

YEAR ENDED 31 DECEMBER 2024

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

Headline commitments

	COMMITMENT	TARGET*
CLIMATE	NET-ZERO	- Reduce absolute scope 1 and 2 GHG emissions 50% by 2030, from a 2021 base year; and reduce absolute scope 3 GHG emissions 42% by 2030, from a 2021 base year. - Reduce absolute scope 1 and 2, and also scope 3 GHG emissions 90% by 2040, from a 2021 base year. - Reduce absolute scope 3 GHG Forest, Land and Agriculture emissions 30.3% by 2030, from a 2021 base year, and 72% by 2040, from a 2021 base year.
	RENEWABLE ELECTRICITY	Shift to 100% renewable electricity in our own operations by 31 December 2025.

*Refer to pages 68 - 69 for further information on these targets.

Climate-related disclosures

The Group applies the UK's Companies (Strategic Report) (Climate-related Financial Disclosures) Regulations 2022 (CFDR 2022) as adapted from the Task Force on Climate-related Financial Disclosures (now disbanded) and taken over by the IFRS Foundation as well as incorporated into sections 414C, 414CA and 414CB of the Companies Act 2006. We continue to make progress on climate-related disclosures with an increased understanding of the impacts of the identified risks and opportunities.

Sustainability governance

Sustainability is integrated into decision-making at all levels of our organisation.

Setting our sustainability ambition and strategy

The Board oversees the Group's direct and indirect environmental, social and business conduct impacts and sets the high-level sustainability ambition and strategy, on recommendation by the Executive Committee.

Implementing our sustainability ambition and strategy

The Executive Committee is responsible for developing our global framework for identifying, assessing and monitoring sustainability-related risks and opportunities and setting global targets and action plans and the Board oversees this.

Each business activity, region, and corporate function develops its own sustainability initiatives within our global framework, ensuring relevant actions are taken to achieve our broader sustainability goals. Presidents of each business activity and region make decisions for their respective areas, supported by dedicated sustainability experts and relevant corporate functions.

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Sustainability governance (continued)

The Sustainability Leadership Team, made up of senior sustainability experts across the Group and led by the Global Chief Sustainability Officer ("Global CSO"), works on global strategy development and oversees advancement of our House Sustainability Ambition, including our progress against climate objectives.

The Executive Committee regularly discusses sustainability topics, both in plenary and in smaller groups, to ensure that sustainability considerations are aligned with the global framework and embedded into business activities.

Measuring our performance and making disclosures

In our commitment to enhance our ESG performance (including climate-related issues performance) more broadly, in 2024 we launched a strategic programme aimed at improving our ESG management practices. This initiative is a significant step towards assisting with ESG reporting, such as upcoming obligations under the CSRD. By integrating robust ESG metrics and transparent reporting, we aim to drive sustainable growth and create long-term value for all our stakeholders.

The Executive Committee reviews the Company's performance against climate-related and other sustainability-related goals. A sub-group of the Executive Committee, together with the Legal team, reviews sustainability-related disclosures before they go to the Audit Committee and the Board. The Board, through its Audit Committee, oversees climate, social and governance-related progress and performance.

Ensuring robust decision-making and Board oversight

In 2024, we worked on formalising the Group's governance structures and decision-making process relating to sustainability risks and opportunities, with this work continuing in 2025.

The Board receives regular reports on sustainability progress across the Group. Board members engage with the Presidents of all three business activities, the Global CSO and other senior management, such as the Global Chief Financial Officer and the Global Chief Legal Officer ("Global CLO") to understand the Group's environmental and societal impacts, risks and opportunities, ensure compliance with applicable regulations, and put in place the right governance and accountabilities. This ensures robust risk management, governance practices, and effective decision-making at all levels. See the corporate governance report on page 56 for more information on the oversight role of the Board and the Audit Committee in relation to climate-related risks and other risks.

The Board considers environmental, societal and other stakeholders when making decisions (refer to section 172(1) statement on page 44 for more details).

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Climate strategy

Both the Board and the Company recognise Chanel's responsibility and the role Chanel has in accelerating action to address the climate crisis. We remain committed to change as we continue to navigate challenges in an evolving external environment, decarbonise our value chain, and transform our business for the future.

Chanel's approach to climate change aims to address the following questions, supported by the adequate level of governance, upskilling and investment:

- How our business activities can contribute to climate change – **"Climate-related impacts"**
- How changes in the climate impact our activities – **"Climate-related risks"**
- How the transition to a low-carbon economy offers benefits – **"Opportunities"**

Climate-related impacts

In 2024, to meet the urgent call for action from scientists, governments and stakeholders to address the climate crisis, Chanel committed to set a target to reach net-zero GHG emissions by 2040, which was validated by the Science Based Targets initiative (SBTi) in April 2024. Details can be found in the metrics and targets section on page 68.

Net-zero planning and implementation

We design, implement, and refine our roadmaps to achieve our net-zero targets. We remain committed and agile as we invest, learn, and implement solutions.

The table on the next page outlines Chanel's high-level roadmap to achieving our net-zero targets. Behind this high-level summary, we are also working on more detailed roadmaps for each of our business activities, regions and hotspot areas, which have been modelled against different business growth scenarios. We are also working on more detailed transition plans.

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We are continuing to invest in the building blocks for transformative change to reduce our climate-related impacts. This includes increasing our core sustainability expert talent within the House, while further developing our Sustainability Academy, which provides learning opportunities for employees and is designed to equip everyone participating with a sustainability mindset and the relevant skills to be agents of change.

The Group continues to monitor and manage its carbon footprint in line with the net-zero targets outlined in the sustainability section on pages 18 - 19. As an example of managing our footprint, we have set an internal price on carbon (based on external market pricing) and are committed to increasing this price periodically. When reviewing capital investment, we use this internal carbon price.

This climate ambition is part of the Group's overall sustainability strategy, the House Sustainability Ambition, which aims to build a resilient and sustainable business.

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Climate-related risks and opportunities

Climate-related risk, as well as interlinked topics such as nature degradation and biodiversity loss, is recognised as a Group-wide risk for identification, monitoring and reporting. More information on Chanel's approach to risk management, including the identification of climate change as a principal risk, can be found on pages 29 - 43.

Climate-related risk is assessed annually as part of the IRM assessment process. An evaluation of the relevance of existing assessments of climate-related risks and opportunities is planned for every three years, unless specific events require more frequent analysis. The Sustainability team coordinates the identification and definition of climate-related risks, working with the Finance teams on the quantification and disclosure of climate-related risks and opportunities.

We expect the costs of responding to many of the climate-related risks facing the Group to be absorbed into business operating costs. At this time, no significant incremental cost has been identified that would alter the reading and comprehension of our financial performance. There are, however, rising concerns regarding water availability for production. The appropriate assessments and measures are being put in place to mitigate such risk. See further information on climate-related physical risks on pages 65 - 66.

Our approach to climate-related risk identification, assessment and management

Our approach to managing climate-related risks involves prioritising actions based on a thorough understanding of both the physical and transition impacts of climate change on our business. We also evaluate opportunities from the transition to a low-carbon economy at the Group level.

Chanel's approach to understanding, identifying and assessing climate-related risks and opportunities is detailed in the Group's Climate Risks and Opportunities Procedure, which was drafted in 2024. This technical document will be updated as we evolve our understanding of the topic, remaining in line with the latest climate science.

The deep-dive assessment of climate-related risks is guided by the IRM assessment methodology as a reference. For climate-related risks, the likelihood of an event cannot be guaranteed or fully predicted. Even with a low likelihood, the consequences of a single event can be devastating.

The findings from the deep-dive climate-related risk assessments are intended to inform the Group's annual IRM process, supporting the inclusion of climate-related risk as a material risk of the Group. See more on page 32.

Basis of Chanel's Climate-related Risks and Opportunities Assessment

1. Types of Climate-related risk

We look at both physical and transition risks to have a balanced view of the priorities for action, whether by increasing resilience in our own operations or supply chain, monitoring future legislative trends, or the evolution of client expectations and behaviours.

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Our approach to climate-related risk identification, assessment and management (continued)

Physical climate-related risk screening involves assessing the potential impacts of climate-related physical events – both acute and chronic – on Chanel's operations, assets, and supply chains. This screening provides insights into the current and future levels of exposure to different climate-related perils. The information gathered from the screening helps to identify and prioritise Chanel's real estate sites that are potentially at higher risk from extreme weather events, for which adaptation needs could be more urgent.

Transition climate-related risk screening focuses on evaluating the risks associated with Chanel's transition to a low-carbon economy. This includes assessing regulatory changes (e.g. carbon pricing, emissions regulations), market shifts (e.g. changing consumer preferences), technological advancements (e.g. renewable energy adoption), and reputational impacts. The goal is to understand how these factors could affect Chanel's business model, financial stability, and strategic positioning in a rapidly evolving market.

2. Scope of the assessments

Chanel prioritises the focus of the assessments based on business criticality, visibility of the value chain and the ability to make effective positive impacts.

Examples:

- The Sustainability team has conducted a physical risk assessment of the Group's own assets as well as the transition risks and opportunities for the CHANEL Brand Entities and Integrated Suppliers.
- The Fashion business has conducted an assessment covering raw materials sourcing, as well as tier 1 suppliers and their suppliers and subcontractors. In their assessment, Fashion teams look at transition risks and opportunities relevant to their specific activities which are not covered in the higher-level assessment at the Group level.
- The Fragrance & Beauty business is finalising an assessment on climate-related risks for raw materials for Fragrance, which are of key strategic importance, as well as tier 1 and 2 suppliers of cosmetic products and packaging.
- The Watches & Fine Jewellery business is undergoing an assessment of the exposure of its tier 1 and 2 suppliers to the effects of climate change.

3. Scenario

Each business activity selects a minimum of two scenarios for climate-related physical risk modelling from the following sixth assessment report (AR6) scenarios of the UN Intergovernmental Panel on Climate Change:

- SSP5-8.5: A pessimistic scenario with high emissions with maximum variability in climate extremes. This scenario is included in all assessments in compliance with CFDR 2022 and those which will be required when the Company reports under the CSRD, which both require a high emissions scenario.
- SSP2-4.5: A 'middle-of-the-road' scenario with moderate emissions reductions aligned with the countries' commitments under the Nationally Determined Contributions (NDCs). This scenario features CO2 emissions hovering near current levels before declining mid-century without reaching net-zero by 2100.

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Our approach to climate-related risk identification, assessment and management (continued)

- SSP1-2.6: An optimistic scenario envisions global CO2 emissions reaching net-zero after 2050 (1.8°C by 2100).

For transition risks, we use the scenarios by the Network for Greening the Financial System. Within those, we use net-zero and NDC-aligned scenarios with different levels of global warming. These are considered to be good science-based reference scenarios to use globally.

Through this analysis, we can simulate diverse future scenarios, each representing different levels of climate change severity.

4. Perils

Climate perils refer to the potential occurrence of climate-related physical events or trends that may cause damage and loss. Business activities conduct their assessments in accordance with the classification of climate perils under the EU Taxonomy Regulation and are expected to focus on the most relevant hazards to their activities.

5. Timeframes

For climate-related physical risks, all assessments align with:

- **Baseline** (average between 1985 and 2014): Present day risk, also used for comparison against future projections.
- **Medium-term** - 2030 (average between 2015 and 2044): Focuses on immediate risks commonly used for defining climate adaptation planning and budgets.
- **Long-term** - 2050 (average between 2035 and 2064): Evaluates the potential long-term consequences of climate change and is crucial for taking strategic decisions such as changing the business model or geographic presence and long-term investments e.g. acquisitions or divestments.

For assessments of transition risks and opportunities, timeframes are defined over the short-term (two to three years) and medium-term (five to seven years). Long-term implications may be considered if, for example, there is upcoming regulation which will be implemented in the long-term, but the focus is on actions in the near-term to address immediate risks and seize opportunities.

As the Group evolves its climate risk and opportunity assessments, including financial evaluation of risks and potential opportunities, the processes across the Group are harmonising gradually in line with the principles defined in our Climate Risks and Opportunities Procedure.

In 2024, we focused on further evolving our understanding of climate-related risks and opportunities and started to implement appropriate risk mitigation initiatives, with a focus on areas of the value chain at high physical risk, and transition risks related to regulations, market obstacles and lack of decarbonisation alternatives.

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Financial materiality of climate-related risks and opportunities

We have undertaken a high-level financial materiality assessment to estimate the potential value at risk across the Group, using the financial materiality thresholds defined in our IRM framework.

The estimation methodology overlays the financial metrics (such as total asset value, product values and/or average annual revenue generated) onto the peril or multi-peril climate-related risk scores. This enables us to determine the 'risk evolution' by weighing the climate-related risks for each potential impact against the financial values. Based on this assessment, we can understand the 'most-at-financial-risk' assets to allocate resources to implement resiliency measures and secure them against potential climate change impacts. We will keep undertaking asset and climate peril-specific assessments to quantify the impact of climate change, and design and implement climate resiliency measures.

Adaptation

With the support of our Climate Risks and Opportunities Procedure, areas of the business will identify and deploy responses to physical and transition risks. Adaptation is key to evaluating the consequences of climate-related risks and to refining our approach to financial valuation.

As next steps, we prioritise actions, applying a series of criteria:

- **Criterion 1 – Multi-peril (climate score) risk:** By considering various climate perils simultaneously per site, we can better understand the cumulative impact of all perils on assets. For example, we prioritise sites exposed to drought and sudden rainfall, as several perils increase the chances of higher damage.
- **Criterion 2 – The financial value at risk:** Understanding the financial impact of physical climate-related risks identified at each site, alongside the climate score, in the case of certain raw materials or activities, and our dependency implies extreme business criticality.
- **Criterion 3 – Historical events/occurrences:** Understanding historical occurrences of climate-related events at sites where Chanel and its supply chain operates (e.g. floods, storms, heatwaves) helps identify patterns and trends like frequency, severity and impact.
- **Criterion 4 – Current level of preparedness:** Sites with low levels of preparedness are more vulnerable to climate-related physical impacts. Identifying these sites helps prioritise actions to build resilience where it is most lacking.

Alongside these criteria, we continue to prioritise our commitment to long-term supplier partnerships. For example, Fragrance & Beauty has started the prioritisation of sites for tier 1 and 2 suppliers, factoring in the potential for decarbonisation, with a view to defining adaptation plans together.

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Physical Risks

The tables below summarise the status and findings of the work conducted until year-end 2024 on physical and transition risks as well as opportunities.

PHYSICAL RISKS		
For this table, the following have been applied:		
SCENARIOS USED: SSP1-2.6 1.8C* SSP2-4.5 2.7C SSP5-8.5 4.4C	SCENARIO TIMESCALES: Baseline 2030 2050	MAIN PERILS: Heat stress (acute) Flooding (acute) Water scarcity (chronic)
PHYSICAL RISK TYPE	PHYSICAL RISK DESCRIPTION	STRATEGIC RESPONSE
Health and safety of employees	Risk to Chanel of employees' health and safety being compromised, which could impact productivity, create unworkable conditions and endanger employee comfort, leading to business continuity disruptions.	In markets prone to extreme weather events, health and safety teams are rolling out workplace activity risk assessments. These risk assessments may cover employees who are at risk of exposure to hazards due to extreme weather events during their work activities. These hazards would be evaluated, and control measures would then be introduced to minimise the risk. Additionally, emails advising employees not to come to the workplace are issued in such circumstances. The locations of offices, boutiques, and warehouses are decided based on a hazard map that highlights areas prone to flooding. In those high-risk cases, a business continuity plan will be established, with regular evacuation training drills conducted. Resilient air conditioning systems will be implemented in areas that are at extreme risk of heat waves.
Assets and infrastructure	Risk to Chanel of weather events causing material damage to buildings and surrounding areas, assets and finished products, leading to business interruptions.	The first measure taken is an in-depth assessment of Chanel's assets, shared with the relevant business activity, region or corporate function to raise awareness and prioritise actions. Examples of actions taken include: - Undertaking natural catastrophe modelling/analytics, through risk management and proactive planning, prior to our annual insurance policy renewal. - Conducting risk engineering site visits: our property insurance company visits and assesses 15 key sites per year and provides recommendations. These assessments include reviewing natural hazard exposures. Manufacturing sites are visited once every three years, with other key sites visited annually. A varied selection of other types of locations (boutiques, offices, etc.) are also visited periodically. We share best practice learnings and common recommendations with regional and business activity teams. Following an assessment, the site must respond within 60 days to the key recommendations outlining a plan on how the recommendations will be addressed. - Ensuring we have comprehensive insurance tailored to our business activities helps protect us financially from property damage and business interruptions caused by extreme weather events. - Developing business continuity plans to minimise disruptions, having agreed on alternative options.

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Physical Risks (continued)

Operational continuity for sites	Risk to Chanel of weather events causing business interruption through increased cooling-related demand, raising operational costs, reduced production efficiency from water stress, and extreme conditions halting supplier production thereby affecting supply chains and operations.	The first measure taken is the inclusion of tier 1 and 2 suppliers together with Chanel's assets (boutiques, distribution centres, offices) in the climate-related risk assessments. Examples of actions taken include: ▪ Sharing the results of climate-related risk assessments with tier 1 prioritised suppliers to discuss the appropriate adaptation plans. ▪ Deep dives on production sites particularly affected by water stress, with a predicted high impact of climate change, including target setting for reduction and operational measures, such as closed loop water cycles.
Raw material supply	Risk to Chanel of reduced availability and quality of raw materials, along with increased costs due to climate hazards in breeding, cultivation, and extraction areas, particularly affecting cotton, animal leather, and cashmere.	As part of the transformation strategy, the business activities are strengthening the environmental resilience of key supply chains through context-specific programmes in sourcing locations around the world. Examples of actions taken include: ▪ Increasing the percentage of certified materials through credible standards, such as the Global Organic Textile Standard or Responsible Wool Standard. ▪ Implementing specific measures on the ground, such as plant fibre tarp covers, run-off ditches and irrigation systems. These are enabled by increasing work on traceability to material origin.
Logistics	Risk to Chanel of disruption of logistics flows or closure of trade routes, leading to loss of sales due to business stoppage and increasing operating costs due to necessary reallocation of logistics flows.	Examples of actions taken include: ▪ Ensuring we have comprehensive marine cargo (transit) insurance to mitigate the financial impact of loss/damage caused by extreme weather events. ▪ Systematically planning alternative routes. ▪ Ensuring adequate inventory levels at boutiques, warehouses, and distribution centres for each region/market to allow for delays or disruption of deliveries.

NOTE –

The scope of the assessment reflects the strategic priorities of the entities in the Group, including their respective ability to act and influence. Pre-existing assessments are gradually evolving into the recommended scenarios of SSP2-4.5 and SSP5-8.5.

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Transition Risks

TRANSITION RISKS		
For this table, the following have been applied:		
SCENARIOS USED: Qualitative assessment on impact areas: legal/reputational, health and safety and operational, (financial quantification ongoing using NGFS Net-Zero and NDC scenarios)		SCENARIO TIMESCALES: Short-term (2-3 years) Medium-term (5-7 years)
TRANSITION RISK TYPE	TRANSITION RISK DESCRIPTION	STRATEGIC RESPONSE
Policy, Legal & Reputation	Risk to Chanel of failing to comply with current and emerging sustainability laws and regulations and regulatory changes imposing carbon taxes. (Medium-term)	The Legal, Business Ethics and Public Affairs teams monitor and coordinate anticipation of changes in regulatory and legislative shifts (such as for sustainability and climate change) on a global and country-by-country level. They advise on business impacts and work closely with the relevant teams to adapt business strategy. In addition, Chanel engages with suppliers to ensure compliance with changing regulations. In particular, carbon taxes are monitored, with budgets as needed. Taxes are considered in Chanel's short- and long-term financial planning.
Market and Technology	Risk to Chanel of being unable to embed carbon impact with business strategy leading to delayed action and failure to meet its net-zero targets. (Medium-term)	Net-zero roadmaps are in development for each business activity, focusing on the key areas driving emissions across the value chain. Key actions to support this work include: • We are continuing to invest in the building blocks for transformative change. This includes further developing our Sustainability Academy, which provides learning opportunities for employees and is designed to equip everyone participating with a sustainability mindset and the relevant skills to be agents of change. • The design of net-zero roadmaps and their deployment is orchestrated through Sustainability teams in business activity, market and corporate function teams. • The Group continues to refine carbon methodologies per area of impact, to be able to make decisions based on accurate results.
Market and Technology	Risk to Chanel of being unable to substitute certain activities with low-carbon alternatives of similar quality, insufficient investment to decarbonise the supply chain and hindering net-zero targets. (Medium-term)	Chanel is transitioning away from conventional fossil fuel-based solutions to low-carbon sources and increasing energy efficiency through LEED certification and Energy Management Systems. Key actions to support this work include: • Chanel set a target to achieve 100% renewable electricity in our own operations by 31 December 2025, with a hierarchy in place to favour on-site renewables or power purchase agreements (PPAs) where feasible, followed by green tariffs and, finally, the purchasing of unbundled energy attribute certificates. • Chanel is also piloting the use of sustainable aviation fuels. This is done in partnership with carriers to supplement freight emission reduction efforts, which are the priority for routes which currently do not offer agile or safe freight alternatives. • Where infrastructure allows it, Chanel is switching to electric vehicles for operations and delivery. • Chanel is also studying new technologies to reduce energy consumption. For example, the Fragrance & Beauty teams conducted a study on low-carbon opportunities to replace natural gas consumption for its industrial sites.

NOTE – Transition risks are prioritised by selecting those with an impact rating of “major” and a likelihood ranging from “possible” to “almost certain.”

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Opportunities

OPPORTUNITIES		
For this table, the following have been applied:		
SCENARIOS USED: Qualitative assessment on impact areas: legal/reputational, health and safety and operational, (financial quantification ongoing using NGFS Net-Zero and NDC scenarios)		SCENARIO TIMESCALES: Short-term (2-3 years) Medium-term (5-7 years)
OPPORTUNITY TYPE	OPPORTUNITY DESCRIPTION	STRATEGIC RESPONSE
Market and Technology	Opportunity for Chanel to improve the circularity of materials and products through sourcing lower-impact raw materials and offering repairability services, leading to improved brand value. (Medium-term)	The business has embedded responsible sourcing as well as circular thinking into product and packaging strategies. This ranges from using certified materials to providing services dedicated to care, repair and alteration, to accelerating recharge and refill solutions for Fragrance & Beauty packaging.
Market and Technology	Opportunity for Chanel to improve access to renewable electricity for suppliers leading to a reduction in scope 3 emissions (amongst other identified opportunities to increase supplier resilience, such as risk mapping, sustainable sourcing and resilient systems). (Medium-term)	Integrated Suppliers are included in Chanel's switch to renewable electricity strategy. This action, however, is part of a wider supplier resilience approach. This includes transitioning to responsible sourcing practices, accessing energy efficiency solutions, such as energy management systems or innovation projects for tier 1, conducting climate-related physical risk mapping for closer tiers and, where feasible, all tiers upstream back to raw materials.
Reputation	Opportunity for Chanel to use effective climate communications to drive a systemic change in the luxury industry. (Medium-term)	Chanel has several external partnerships for collective impact. Examples include: - The Fashion Pact - As a member of The Fashion Pact, Chanel is part of a global coalition of companies focused on forging a nature-positive, net-zero future for the fashion industry. - Watch & Jewellery Initiative 2030 (WJI 2030) - As a member of the WJI 2030, our Watches & Fine Jewellery business activity continued to collaborate with the wider industry to address challenges. For more information on our engagement with the WJI 2030 see page 22.

NOTE – Transition opportunities are prioritised by selecting those with an impact rating of “major” and a likelihood ranging from “possible” to “almost certain.”

Climate-related metrics and targets

As outlined in the Climate Strategy section (pages 58-61), the Company has set the following net-zero targets:

- Chanel commits to reduce from a 2021 base year: absolute scope 1 and 2 GHG emissions 50% by 2030, from a 2021 base year, and reduce absolute scope 3 GHG emissions 42% by 2030, from a 2021 base year.
- Chanel commits to reduce absolute scope 1 and 2, and also scope 3 GHG emissions 90% by 2040, from a 2021 base year.

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- Chanel commits to reduce absolute scope 3 GHG Forest, Land and Agriculture emissions 30.3% by 2030, and 72% by 2040, from a 2021 base year.

In alignment with the SBTi, our net-zero targets take into account the following factors:

- To align with global reduction trajectories for Energy and Industry GHG emissions, once a 90% reduction of absolute scope 1 and 2 and scope 3 GHG emissions is achieved, companies are permitted to tackle the remaining 10% of GHG emissions through carbon removals.
- Forest, Land and Agriculture targets are defined separately from Energy and Industry targets, acknowledging that the strategies to reduce emissions in these sectors are very different to reducing in other categories (such as freight).

A description of the scope for our climate-related metrics and targets is included in Chanel's 2024 Basis of Reporting available in the Sustainability section of [chanel.com](https://www.chanel.com)

These targets are an evolution of the commitments that were first outlined in CHANEL Mission 1.5°, our original climate action plan which also included science-based targets, which was published in 2020. The GHG emissions data for both our Net-Zero 2040 and CHANEL Mission 1.5° targets have been calculated in accordance with The Greenhouse Gas Protocol Corporate Standard.

Sustainability-linked bonds

In October 2020, the Company's subsidiary, Chanel Ceres plc, issued sustainability-linked bonds (SLBs), in an aggregate amount of EUR 600 million with notes maturing in 2026 and 2031 respectively, in accordance with the ICMA's Sustainability Linked Bond Principles (SLBP) on the Luxembourg Stock Exchange. The SLBs are guaranteed by the Company, and the terms of the SLBs are directly linked to the objectives of the Company's original climate action plan, CHANEL Mission 1.5°. Three key performance indicators were selected for the SLBs to measure sustainability improvements, including:

- scope 1 and 2 GHG emissions;
- scope 3 GHG emissions; and
- percentage of renewable electricity in own operations.

Previously, CHANEL Mission 1.5° included all three scopes for CHANEL Brand Entities and scope 1 and 2 GHG emissions only for the Integrated Suppliers, but now our Net-Zero 2040 target also includes the relevant GHG protocol categories of scope 3 for all Integrated Suppliers, as well as CHANEL Brand Entities. In our net-zero reporting, we do not include scope 3 GHG emissions from network media and the use of sold products, as these are areas over which Chanel does not have much control, and these are optional to include in scope 3 according to the GHG protocol.

In 2024, the CHANEL Mission 1.5° scope 1 and 2 emissions amounted to 24,071 tonnes CO₂e and scope 3 emissions amounted to 925,972 tonnes CO₂e. By the end of 2024, we shifted to 99% renewable electricity in our own operations, calculated in accordance with the RE100 technical criteria. The progress reports for CHANEL Mission 1.5° are available in the Sustainability section on [chanel.com](https://www.chanel.com).

The Company's global carbon footprint disclosures for the UK are detailed in the Streamlined Energy and Carbon Reporting (SECR) table below. This table includes the net-zero scope of reporting for 2023 and the

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baseline year 2021, in comparison to 2024. There is no change in the UK SECR table due to the transition to the Net-Zero 2040 target.

2024 Climate-related performance

As a result of our multi-year climate strategy, Chanel's carbon footprint decreased in 2024 across scope 1 and 2 and scope 3 emissions. Chanel's total carbon footprint in 2024 was 1,123,249 tonnes CO₂e. 2% of our carbon footprint comes from scope 1 and 2 emissions, while 98% stems from scope 3.

Due to our continued efforts to advance decarbonisation initiatives in our own operations, scope 1 and 2 emissions have decreased by 22% in comparison to the 2021 base year and 1% in comparison to 2023. The main driving force of the reduction is the continued transition towards renewable electricity. By the end of 2024, we shifted to 99% renewable electricity in our own operation and now have 33 sites generating their own renewable electricity. Scope 1 increased by 1% due to the addition of new site openings, as well as streamlining some waste management on-site in one facility.

Chanel favours the inclusion of on-site renewables or power purchase agreements where feasible, followed by green tariffs, and finally the purchasing of unbundled energy attribute certificates (such as the Renewable Energy Guarantee of Origin in the UK). Chanel obtains all renewable electricity from sources permitted under the RE100 technical criteria, aiming for innovative solutions to deliver additional positive environmental and social impacts where possible, and calculates its renewable electricity percentage in accordance with the RE100 technical criteria.

Emissions from our value chain (scope 3 GHG emissions) decreased by 10% in comparison to the 2021 base year and 9% in comparison to 2023. Work remains ongoing to improve data quality and methodologies that help us understand our impacts and areas for action.

Raw materials within our supply chain continued to be an area of focus and remain the largest part of our scope 3 GHG emissions footprint. The emissions from raw materials reduced by 20% in 2024 largely coming from cashmere, leather and gold, all of which are part of our strategic transformation programmes.

We continued our work on capital goods and events to integrate more activity data. While both methodologies are still using spend, we have integrated more life cycle assessments of our boutiques to understand their real footprints, as well as real data from our events. As a result, our events footprint decreased by 27%, while spend on events decreased by 13%. Capital goods increased by 17%, against a backdrop of a 24% increase in relevant capital goods expenditure.

Freight emissions fell by 9%, driven by factors such as the ongoing efforts of the Fragrance & Beauty business to transition to sea freight, particularly across the Americas and Asia. Emissions also declined in other business areas, supported by initiatives including the improved use of regional warehouses for Watches & Fine Jewellery, and the switch to road transport for intra-European boutique shipments.

Other significant category movements include business travel, decreasing by 15% following a reduction in travel, as we prioritise shifting to more sustainable travel. Employee commuting increased by 53% following updates to the emission factors and assumptions used, an increase in the number of employees and an increase in the number of employees working from our office spaces.

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

YEAR ENDED 31 DECEMBER 2024

Streamlined Energy and Carbon Reporting (SECR) Table

ENERGY USE (KWH)	2024	2023	2021
	UNITED KINGDOM	UNITED KINGDOM	UNITED KINGDOM
FUEL (INCLUDING VEHICLES)	590,407	477,024	593,344
NATURAL GAS	5,421,434	5,078,434	5,023,404
ELECTRICITY	4,004,134	3,575,969	2,838,073
TOTAL	10,015,975	9,131,428	8,454,821
% ELECTRICITY FROM RENEWABLE SOURCES	100%	99%	98%

CARBON EMISSIONS (TCO2E)	2024	2023	2021
	UNITED KINGDOM	UNITED KINGDOM	UNITED KINGDOM
SCOPE 1 - EMISSIONS FROM FUEL FOR VEHICLES AND HEATING OF FACILITIES	1,193	963	924
SCOPE 2 - EMISSIONS FROM PURCHASE OF ELECTRICITY, HEAT, STEAM AND COOLING (LOCATION-BASED)	792	665	608
SCOPE 2 - EMISSIONS FROM PURCHASE OF ELECTRICITY, HEAT, STEAM AND COOLING (MARKET-BASED)	0	2	19
TOTAL SCOPE 1 AND 2 (LOCATION-BASED)	1,986	1,628	1,532
SCOPE 1 AND 2 (LOCATION-BASED) INTENSITY RATE (KG CO2E PER UNIT SOLD)	0.36	0.30	0.35

Energy consumption in the UK increased in 2024 due to a number of factors, including the opening and first full year of operation of new sites. Increases in scope 1 are driven by increased accuracy of vehicle reporting, as well as an increase in natural gas consumption which is used to heat buildings and produce steam for machinery.

Scope 2 location-based emissions increased due to higher electricity consumption, impacted by new sites opened, and sites operating for the first full year in 2024. Market-based emissions have decreased to zero due to achieving 100% renewable electricity across our UK sites through renewable energy certificates, renewable electricity contracts as well as on-site generation.

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

YEAR ENDED 31 DECEMBER 2024

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT (CONTINUED)

2024 Climate-related performance (continued)

ENERGY USE (KWH)	2024	2023	2021
	GLOBAL	GLOBAL	GLOBAL
FUEL (INCLUDING VEHICLES)	17,039,583	17,201,145	15,610,047
NATURAL GAS	70,670,472	72,217,121	82,070,196
ELECTRICITY	164,662,932	154,035,439	144,378,288
TOTAL	252,372,987	243,453,705	242,058,531
% ELECTRICITY FROM RENEWABLE SOURCES	99% "	98%	92%

CARBON EMISSIONS (TCO2E)	2024	2023	2021
	GLOBAL	GLOBAL	GLOBAL
SCOPES 1 AND 2			
SCOPE 1 - EMISSIONS FROM FUEL FOR VEHICLES AND HEATING OF FACILITIES	21,619 "	21,317	23,039
SCOPE 2 - EMISSIONS FROM PURCHASE OF ELECTRICITY, HEAT, STEAM, AND COOLING (LOCATION-BASED)	44,202	39,859	40,030
SCOPE 2 - EMISSIONS FROM PURCHASE OF ELECTRICITY, HEAT, STEAM, AND COOLING (MARKET-BASED)	2,451 "	3,047	7,865
TOTAL SCOPE 1 AND 2 (LOCATION-BASED)	65,821	61,177	63,069
SCOPE 1 AND 2 INTENSITY RATIO (MARKET-BASED KG CO2E PER UNIT SOLD)	0.27	0.25	0.37
SCOPE 3 *			
PURCHASED GOODS AND SERVICES (CATEGORY 1)	626,797	759,301	760,095
CAPITAL GOODS (CATEGORY 2)	222,061	189,324	158,786
FUEL- AND ENERGY-RELATED ACTIVITIES NOT INCLUDED IN SCOPE 1 AND 2 (CATEGORY 3)	16,288	14,874	14,142
UPSTREAM AND DOWNSTREAM TRANSPORTATION AND DISTRIBUTION (CATEGORIES 4 AND 9)	115,831	125,306	189,922
UPSTREAM AND DOWNSTREAM TRANSPORTATION AND DISTRIBUTION (CATEGORIES 4 AND 9) WITH SUSTAINABLE AVIATION FUEL (SAF)	114,239	125,064	N/A
WASTE GENERATED IN OPERATIONS (CATEGORY 5)	5,557	8,052	6,490

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT

YEAR ENDED 31 DECEMBER 2024

NON-FINANCIAL AND SUSTAINABILITY INFORMATION STATEMENT (CONTINUED)

2024 Climate-related performance (continued)

SCOPE 3 * (CONTINUED)			
BUSINESS TRAVEL (CATEGORY 6)	53,292	62,562	56,362
EMPLOYEE COMMUTING (CATEGORY 7)	27,622	18,084	10,471
END OF LIFE OF SOLD PRODUCTS (CATEGORY 12)	10,392	12,104	9,155
FRANCHISES (CATEGORY 14)	22,930	21,931	14,961
TOTAL SCOPE 3 (WITH SAF)	1,099,178 #	1,211,296	1,220,384
SCOPE 3 INTENSITY RATIO (MARKET-BASED KG CO2E PER UNIT SOLD)*	12.37	12.60	14.62
TOTAL SCOPE 1, 2 (MARKET-BASED) AND 3 (WITH SAF)	1,123,249	1,235,661	1,251,288

**Intensity ratio is calculated using individual units manufactured in the year for Fragrance & Beauty and individual units sold to end customers in the year for Fashion and Watches & Fine Jewellery.*

The data was subject to external limited or reasonable assurance. For the results of this assurance, please see EY's assurance statement on pages 175-179.

DIRECTORS' REPORT
YEAR ENDED 31 DECEMBER 2024

DIRECTORS' REPORT

DIVIDENDS AND RESULTS

The financial results of the Group are set out in the Consolidated Income Statement. The dividends paid by the Company are disclosed in Note 23.

GOING CONCERN

The directors have considered whether the Company and the Group have adequate resources to continue operationally for at least twelve months from the date of signing the Annual Report and Accounts, up to 30 June 2026. In their assessment, the directors have considered the business activities and the principal risks and uncertainties of the Company and the Group. They have also considered their financial position, their cash flows, liquidity position, borrowing facilities and related financial covenants.

Management have prepared a detailed analysis of various scenarios and stress tested them. Based on the analyses done to assess the impact of the different possible scenarios, the Board concluded that there are no material uncertainties, and the Company and the Group will continue to adopt the going concern basis in preparing the 2024 Financial Statements. Further details on the analyses performed are disclosed in Note 2.2.

EMPLOYEE CONSULTATION

The core values of the Group are grounded in creating the conditions for employees to perform at their best and feel fulfilled and confident in their work. The Group strives to empower its people to realise their full potential and achieve their ambitions through a culture of development, focused on increasing their capacity to learn, grow, and innovate. The Group maintains a close relationship with its employees by regularly informing them of relevant events and the state of the business through discussions, meetings, townhalls, internal communication, and consultations.

EMPLOYEES WITH DISABILITIES

The Group regularly reviews policies and practices that pertain to fair treatment and support for employees (and applicants) who have disabilities or develop disabilities (visible or non-visible) during employment. This includes areas such as recruitment, working environment, training, career development and promotion.

The teams at Chanel work closely with external partners such as Tilting The Lens and the Business Disability Forum on accessibility, to champion inclusive workplace design on existing and new physical spaces, people experiences and more.

Further information on Chanel's commitments to its people is available on pages 13 - 16.

POLITICAL CONTRIBUTIONS

The Group did not make any political donations during the year (2023: \$nil).

RESEARCH AND DEVELOPMENT

The Group's research and development activities are disclosed in the Strategic Report on pages 23 - 24.

DIRECTORS' REPORT
YEAR ENDED 31 DECEMBER 2024

STREAMLINED ENERGY AND CARBON REPORT

The Group's streamlined energy and carbon reporting requirements are disclosed in the Strategic Report on pages 69 - 74.

SUBSEQUENT EVENTS

The Group's subsequent events are disclosed in Note 30.

FUTURE DEVELOPMENTS

Future developments for the Group are disclosed in the Strategic Report on page 6 - 7.

FINANCIAL INSTRUMENTS

The Group's financial instruments are disclosed in Note P.

BRANCHES OUTSIDE UK

The Company did not have any branches outside of the UK during 2024.

STAKEHOLDER ENGAGEMENT

A description of how the directors have taken into consideration the Company's business relationships with suppliers, customers and other stakeholders during 2024 can be found in the Strategic Report on pages 44 - 48.

DIRECTORS

The following directors held office in 2024:

P. Abecassis
P. Blondiaux
B. Gros
M. Lane Fox
A. Mahon
L. Nair
B. Pavlovsky
V. Shaw (resigned 31 March 2025)
A. Wertheimer

Company secretary: M. Nitsch

The following directors were appointed on 1 January 2025:

S Bagel-Trah
T. Ko
W. Touche

DIRECTORS' REPORT
YEAR ENDED 31 DECEMBER 2024

DIRECTORS' INSURANCE AND INDEMNITIES

The Group maintains directors' and officers' liability insurance which gives cover for legal actions brought against its directors and officers. In accordance with section 236 of the Companies Act 2006, qualifying third-party indemnity provisions are in place for the directors in respect of liabilities incurred because of their office, to the extent permitted by law. Both the insurance and indemnities applied throughout the financial year ended 31 December 2024 and through to the date of this report.

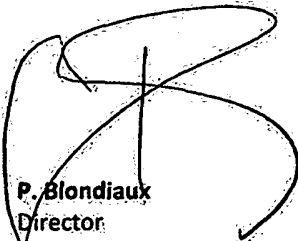
AUDITOR

In the case of each of the persons who are directors of the Company at the date when this report was approved:

- So far as the director is aware, there is no relevant audit information of which the Group's auditor is unaware; and
- The director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of section 418 of the Companies Act 2006.

Approved by the Board and signed on its behalf by



P. Blondiaux
Director
19 May 2025

GLOSSARY OF TERMS
YEAR ENDED 31 DECEMBER 2024

GLOSSARY OF TERMS

Audit Committee: the audit committee of the board as described in the Corporate Governance Report on page 54.

Board: the board of directors of Chanel Limited as described in the Corporate Governance Report on page 50.

Brand: the brand 'CHANEL' and its associated marks and images that are used in the creation, manufacture and distribution of products and services (in particular the broad range of high-end creations, including Haute Couture, Ready-to-Wear, Leather Goods, Fashion Accessories and Eyewear; Fragrances, Makeup and Skincare; as well as Watches and Fine Jewellery), sold worldwide through Group-owned boutiques and at wholesale through select channels of distribution.

CHANEL & moi: a set of tailor-made services for clients designed to provide care and support the longevity of CHANEL creations (see more on page 20).

CHANEL Brand Entity: a Group legal entity that carries out business under the Brand.

Chanel Limited: a private company incorporated under the laws of England and Wales with company registration number 00203669 and with its registered office at 5 Barlow Place, London, W1J 6DG.

Chanel: the same meaning as Group.

Company: Chanel Limited.

CSRD: the European Union Corporate Sustainability Reporting Directive, being Directive (EU) 2022/246.

CSDDD: the European Union Corporate Sustainability Due Diligence Directive, being Directive (EU) 2024/1760.

Executive Committee: the executive committee of the Group as described in the Corporate Governance Report on page 51.

Fondation: Fondation CHANEL, which is the Company's corporate foundation and a company limited by guarantee incorporated under the laws of England and Wales with company registration number 12786875 and an independent charity registered with the Charity Commission in England and Wales with charity number 1195353.

GHG: greenhouse gas.

Group: Chanel Limited and any legal entity directly or indirectly controlled by Chanel Limited.

House: the same meaning as Group.

House Sustainability Ambition: the Group's sustainability ambition, described on page 18.

GLOSSARY OF TERMS
YEAR ENDED 31 DECEMBER 2024

GLOSSARY OF TERMS (CONTINUED)

Integrated Supplier: a Group legal entity which is part of the supply chain for CHANEL Brand products but does not carry out business under the Brand.

IRM: integrated risk management.

KPIs: the Group's key performance indicators, as described on pages 9 - 13.

Net-Zero 2040: Chanel's climate ambition. Further information on our targets and our climate strategy can be found on [chanel.com](https://www.chanel.com), and as described on pages 18 - 19.

Our Ethics: Chanel's internal code of conduct, as described on page 27.

Savoir-faire: our creativity is a direct result of a continuous dialogue between our in-house creators and highly skilled experts in craftsmanship, as mentioned on pages 2 - 4, and 6 - 7.

SLBs: our sustainability-linked bonds, described on page 69.

DIRECTORS' RESPONSIBILITY STATEMENT

YEAR ENDED 31 DECEMBER 2024

DIRECTORS' RESPONSIBILITY STATEMENT

UK company law requires the directors to prepare an annual report and financial statements for each financial year in accordance with applicable law and regulation. The directors have elected to prepare the Financial Statements for the year ended 31 December 2024 in accordance with UK adopted International Accounting Standards (IFRS).

Under Companies Act 2006, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group for the year. In preparing these Financial Statements, International Accounting Standard 1 requires that the directors:

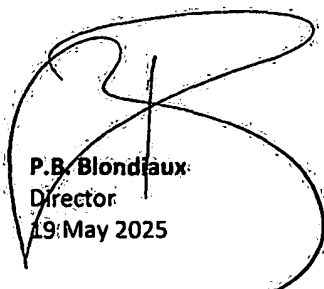
- properly select and apply accounting policies;
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- provide additional disclosures when compliance with the specific requirements in IFRS are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group's and the Company's financial position and financial performance; and
- make an assessment of the Group's and the Company's ability to continue as a going concern.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's and the Group's transactions, and disclose with reasonable accuracy at any time the financial position of the Company and the Group, and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

We confirm to the best of our knowledge:

- The Financial Statements, prepared in accordance with the relevant financial reporting framework, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group and the undertakings included in the consolidation taken as a whole;
- The Strategic Report includes a fair review of the development and performance of the business and the position of the Group, and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face; and
- The Annual Report and Financial Statements, taken as a whole, are fair, balanced, and understandable and provide the information necessary for shareholders to assess the Group's and the Company's performance, business model and strategy.

Approved by the Board and signed on its behalf by



P.B. Blondiaux
Director
19 May 2025

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

YEAR ENDED 31 DECEMBER 2024

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

Opinion

We have audited the financial statements of Chanel Limited ('the Parent Company') and its subsidiaries (the 'Group') for the year ended 31 December 2024 which comprise the Consolidated statement of income, the Consolidated statement of comprehensive income, the Consolidated and Company statement of financial position, the Consolidated and Company statement of changes in shareholder's equity and the Consolidated and Company statement of cash flows and the related notes 1 to 30 and A to V, including material accounting policy information. The financial reporting framework that has been applied in their preparation is applicable law and UK adopted International Accounting Standards and, as regards the Parent Company financial statements, as applied in accordance with section 408 of the Companies Act 2006.

In our opinion:

- the financial statements give a true and fair view of the Group's and of the Parent Company's affairs as at 31 December 2024 and of the Group's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK adopted International Accounting Standards;
- the Parent Company financial statements have been properly prepared in accordance with UK adopted International Accounting Standards as applied in accordance with section 408 of the Companies Act 2006; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the Directors' assessment of the Group and Parent Company's ability to continue to adopt the going concern basis of accounting included:

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

YEAR ENDED 31 DECEMBER 2024

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED (CONTINUED)

- In conjunction with our walkthrough of the Group's financial close process, we confirmed our understanding of management's going concern assessment process;
- We considered the appropriateness of the methods used to calculate the cash forecasts and tested the integrity and clerical accuracy of the model used to prepare the Group's going concern assessment which covers the period to 30 June 2026;
- We confirmed the net cash position as at 31 December 2024 and obtained evidence of the revolving credit facility which is available through to May 2028. The facility is undrawn as at 19 May 2025;
- We verified the debt maturities by examination of executed documentation and concluded that all debt repayments due in the period of going concern assessment were included in the forecasts;
- We assessed the reasonableness of management's cashflow forecasts by analysing the historical accuracy of forecasts; and
- We considered the plausibility of the downside scenarios modelled by management by challenging the key underlying assumptions and assessed the amount of resulting headroom in terms of liquidity and covenants by performing sensitivity analysis on management's forecasts and mitigation actions available;
- We reviewed the going concern disclosures included in Note 2.2 to the financial statements to assess the disclosures were appropriate and in conformity with the reporting standards.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group and Parent Company's ability to continue as a going concern for a period to 30 June 2026.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report. However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the Group's ability to continue as a going concern.

Other information

The other information comprises the information included in the Annual Report, other than the financial statements and our auditor's report thereon. The Directors are responsible for the other information contained within the Annual Report.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of the other information, we are required to report that fact.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED
YEAR ENDED 31 DECEMBER 2024

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED (CONTINUED)

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Group and the Parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' responsibilities statement set out on page 80, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

YEAR ENDED 31 DECEMBER 2024

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED (CONTINUED)

aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Explanation as to what extent the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect irregularities, including fraud. The risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below. However, the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management.

- We obtained an understanding of the legal and regulatory frameworks that are applicable to the Group and determined that the most significant frameworks which are directly relevant to specific assertions in the financial statements are those that relate to the reporting frameworks (UK adopted International Accounting Standards and the Companies Act 2006) and the relevant tax laws and regulations in the jurisdictions in which the Group operates.
- We understood how the Group is complying with those frameworks by making enquiries of management, Internal Audit and those responsible for legal and compliance procedures. We corroborated our enquires through our inspection of the board minutes, attendance at the Audit Committee meetings, as well as consideration of the results of our audit procedures across the Group.
- We assessed the susceptibility of the Company's financial statements to material misstatement, including how fraud might occur by meeting management from various parts of the business to understand where it considered there was susceptibility to fraud. We also considered performance incentives and their influence on effort made by management to manage earnings. In addition, we inspected the board minutes, assessed the non-compliance matters reported to the Audit Committee and evaluated the whistleblowing incidents with a potential financial reporting impact. We considered the programmes and controls that the Group has established to prevent, deter and detect fraud, and how senior management monitors those areas which have been considered to be at higher risk, and we performed audit procedures to address this fraud risk. These procedures included understanding related party transactions and significant transactions occurring in the year and testing manual journal entries, in particular those affecting revenue. These procedures were designed to provide reasonable assurance that the financial statements were free from fraud or error.
- Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Our procedures involved enquiries of Group management, those charged with governance, legal counsel and Internal Audit, review of the Audit Committee and Board minutes as well as journal entries testing, with a focus on manual consolidation journal entries and journal entries indicating significant or unusual transactions based on the

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED

YEAR ENDED 31 DECEMBER 2024

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHANEL LIMITED (CONTINUED)

- understanding of the business. Through our testing we challenged the assumptions and judgements made by management in respect of significant accounting estimates. At a component level, our full and specific scope audit team's procedures included enquiries of component management and journal entries testing with a focus on manual revenue journal entries.
- In addition, we completed procedures to conclude on the compliance of the disclosures in the Annual Report and financial statements with all applicable requirements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Ernst & Young LLP

Sarah Kokot (Senior Statutory Auditor)
for and on behalf of Ernst & Young LLP, Statutory Auditor
London, United Kingdom
20 May 2025

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF INCOME FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of U.S. dollars)

	Notes	<u>2024</u>	<u>2023</u>
Revenue	3	18,699.3	19,743.9
Cost of sales		<u>(3,734.3)</u>	<u>(3,693.3)</u>
Gross profit		<u>14,965.0</u>	<u>16,050.6</u>
Distribution		(229.3)	(223.6)
Advertising, promotion and demonstration		(2,444.8)	(2,462.6)
Selling, general and administrative		<u>(7,812.3)</u>	<u>(6,957.4)</u>
Operating profit	4	4,478.6	6,407.0
Finance income	5	426.1	491.6
Finance costs	5	(290.1)	(605.3)
Equity income on investments, net	12	<u>89.4</u>	<u>89.7</u>
Profit before income tax		4,704.0	6,383.0
Income tax expense	13	<u>(1,305.2)</u>	<u>(1,650.8)</u>
Profit before non-controlling interest		3,398.8	4,732.2
Non-controlling interests		(5.6)	(8.1)
Profit for the year		<u><u>3,393.2</u></u>	<u><u>4,724.1</u></u>

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of U.S. dollars)

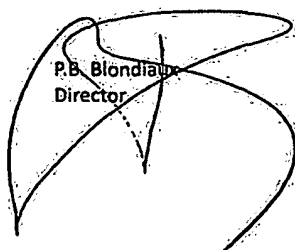
	2024	2023
Profit before non-controlling interest	3,398.8	4,732.2
Other comprehensive income / (loss)		
Items that will not be reclassified subsequently to Statement of Income:		
Actuarial gain / (loss) on defined benefit pension plans, net		
of tax expense of \$2.9 million (2023: \$12.0 million tax income)	0.9	(42.4)
Net loss on equity instruments designated at fair value through		
other comprehensive income, net of tax income \$0.1 million (2023:		
\$0.4 million tax expense)	(6.8)	(14.5)
Items that may be reclassified subsequently to Statement of Income:		
Cash flow hedge, net of tax income of \$3.5 million (2023: \$7.4 million tax		
expense)	(14.0)	22.2
Hedge discontinuation gain transferred to Statement of Income	-	(66.4)
Exchange differences on translating foreign operations	(505.3)	498.0
Other comprehensive (loss) / income for the year, net of tax	(525.2)	396.9
Total comprehensive income for the year	2,873.6	5,129.1
Attributable to:		
Shareholder of the Group	2,868.0	5,119.5
Non-controlling interest	5.6	9.6
	2,873.6	5,129.1

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2024 (In millions of U.S. dollars)

	Notes	2024	2023
ASSETS			
Non-current assets:			
Intangible assets	8	611.1	572.7
Property, plant and equipment	9	6,476.1	5,651.2
Investment property	10	59.6	62.6
Right-of-use assets	11	2,475.6	2,136.2
Investments in associates and joint ventures	12	721.6	710.5
Deferred income tax assets	13	832.1	782.0
Retirement benefit assets	18	116.6	91.9
Non-current financial investments	21	128.5	159.6
Other assets	14	458.2	578.6
Total non-current assets		11,879.4	10,745.3
Current assets:			
Inventories	15	2,309.7	2,383.7
Trade receivables and other assets	14	2,210.8	2,243.5
Income taxes receivable	13	149.7	122.0
Short-term financial investments	21	3,221.5	3,867.0
Cash and cash equivalents	22	2,291.2	5,462.5
Assets classified as held for sale	16	75.5	6.4
Total current assets		10,258.4	14,085.1
TOTAL ASSETS		22,137.8	24,830.4
SHAREHOLDER'S EQUITY AND LIABILITIES			
SHAREHOLDER'S EQUITY			
Share capital	24	-	-
Reserves		(856.7)	(319.0)
Retained earnings		11,525.5	13,841.1
Non-controlling interest		40.0	41.2
TOTAL SHAREHOLDER'S EQUITY		10,708.8	13,563.3
LIABILITIES			
Non-current liabilities:			
Borrowings	17	3,237.9	2,327.8
Lease liabilities	11	2,348.7	1,997.7
Retirement benefit obligations	18	290.4	267.0
Provisions	19	173.0	182.3
Deferred income tax liabilities	13	137.3	140.3
Other liabilities	20	477.5	489.0
Total non-current liabilities		6,664.8	5,404.1
Current liabilities:			
Trade payables and other liabilities	20	3,182.4	3,395.2
Income tax liabilities	13	432.8	576.0
Borrowings	17	527.6	1,364.1
Lease liabilities	11	355.8	330.8
Provisions	19	265.6	196.9
Total current liabilities		4,764.2	5,863.0
TOTAL LIABILITIES		11,429.0	11,267.1
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES		22,137.8	24,830.4

The Consolidated Financial Statements of Chanel Limited (registered number 00203669) on pages 86 through 146 were approved by the board of directors and authorised for issue on 19 May 2025. They were signed on its behalf by:


P.B. Blondiaux
Director

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDER'S EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of U.S. dollars)

	Notes	Attributable to the Shareholder of the Group						
		Share capital	Foreign currency translation reserve	Cash flow hedge reserve	Equity investment revaluation reserve	Other reserves	Retained earnings	Non-controlling interest
Balances as of 1 January 2023		-	(597.7)	44.2	(6.9)	(167.5)	9,160.1	37.2
Profit for the period		-	-	-	-	-	4,724.1	8.1
Other comprehensive income for the period		-	496.5	(44.2)	(14.5)	-	(42.4)	1.5
Total comprehensive income for the period		-	496.5	(44.2)	(14.5)	-	4,681.7	9.6
Commitments to purchase non-controlling interest shares		-	-	-	-	(3.6)	-	-
Acquisitions / Divestitures		-	-	-	-	(25.3)	(0.7)	(1.6)
Payment of dividends	23	-	-	-	-	-	-	(4.0)
Balances as of 31 December 2023		-	(101.2)	-	(21.4)	(196.4)	13,841.1	41.2
Profit for the period		-	-	-	-	-	3,393.2	5.6
Other comprehensive income for the period		-	(505.3)	(14.0)	(6.8)	-	0.9	-
Total comprehensive income for the period		-	(505.3)	(14.0)	(6.8)	-	3,394.1	5.6
Commitments to purchase non-controlling interest shares		-	-	-	-	(3.9)	-	-
Acquisitions / Divestitures		-	-	-	-	(7.7)	0.6	3.4
Payment of dividends	23	-	-	-	-	-	(5,710.3)	(10.2)
Balances as of 31 December 2024		-	(606.5)	(14.0)	(28.2)	(208.0)	11,525.5	40.0

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of U.S. dollars)

	Notes	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES:			
Operating profit	4	4,478.6	6,407.0
Adjustments to reconcile operating profit to net cash provided by operating activities:			
Depreciation and amortisation of PPE, investment property and intangibles		572.1	495.0
Depreciation of right-of-use assets		417.7	377.8
Net impairment of PPE, intangibles, and right-of-use assets		88.8	36.0
Loss / (gain) on disposal of PPE, investment property and intangibles		10.2	(106.3)
Other adjustments (including charitable commitments)		35.3	16.2
Cash flows from operations before changes in working capital		5,602.7	7,225.7
Changes in working capital	25	(271.4)	(742.1)
Cash flows from operations		5,331.3	6,483.6
Interest received		413.9	422.7
Interest paid on financial borrowings		(167.3)	(172.5)
Interest paid on lease liabilities		(84.4)	(75.1)
Income taxes paid		(1,529.4)	(1,556.5)
NET CASH PROVIDED BY OPERATING ACTIVITIES		3,964.1	5,102.2
CASH FLOWS FROM INVESTING ACTIVITIES:			
Purchase of property, plant, and equipment		(1,624.1)	(1,093.3)
Purchase of intangibles		(127.9)	(126.7)
Proceeds on sale of property, plant, and equipment		16.8	54.0
Proceeds from sale of investment property		-	178.5
Acquisitions, net of cash acquired	27	(96.6)	(90.3)
Purchase of associates		(79.0)	(270.9)
Purchase of financial instruments		(197.3)	(666.4)
Proceeds on sale of financial instruments		237.6	-
Net investment in short-term time deposits		635.0	(2,340.0)
Dividends from joint ventures and associates		25.1	9.1
Other		4.4	3.3
NET CASH USED IN INVESTING ACTIVITIES		(1,206.0)	(4,342.7)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Proceeds from bank borrowings		1,348.1	1,041.7
Repayment of borrowings		(1,109.8)	(430.0)
Payment of lease liabilities		(383.9)	(353.4)
Settlement of derivatives		4.3	68.6
Transactions with non-controlling interests	27	(8.1)	(38.3)
Dividends paid to non-controlling interests	23	(10.2)	(4.0)
Dividends paid to parent	23	(5,710.3)	-
NET CASH (USED IN) / PROVIDED BY FINANCING ACTIVITIES		(5,869.9)	284.6
EFFECT OF EXCHANGE ON CASH AND CASH EQUIVALENTS AND TRANSLATION ADJUSTMENTS		(59.5)	85.3
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		(3,171.3)	1,129.4
CASH AND CASH EQUIVALENTS, Beginning of year		5,462.5	4,333.1
CASH AND CASH EQUIVALENTS, End of year	22	2,291.2	5,462.5

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Chanel Limited is a private company limited by shares, incorporated and registered in England and Wales under the Companies Act 2006. The address of the registered office is 5 Barlow Place, London, W1J 6DG. The nature of the operations and principal activities of Chanel Limited and its subsidiaries are set out in the Strategic Report on pages 2 - 48.

2. MATERIAL ACCOUNTING POLICIES

2.1 Basis of preparation

The Consolidated Financial Statements have been prepared in accordance with UK-adopted International Accounting Standards (IFRS). These Consolidated Financial Statements have been prepared on a going concern basis (as set out in the Directors' Report) and on a historical cost basis, except for the financial assets and liabilities (including derivative instruments) measured at fair value.

The presentation currency of the Consolidated Financial Statements is U.S. dollars, which is the common currency used in the organisation to evaluate the business worldwide. The results of foreign subsidiaries are translated into millions of U.S. dollars in accordance with the policy set out in Note 2.7. The Company only Financial Statements are presented in Sterling, which is the Company's functional currency.

Impact of climate change

The Group looks at climate related risks defined by physical and transition risks. The physical risks identified include chronic and acute weather changes which may cause disruption in the production of raw materials or affect the Group's assets around the world. The Group reviews transition risks such as (inter alia) changes in policies, energy security and geo-political issues. At this time, the Group has not identified any specific climate related risks that would have a material financial effect on its business model and strategy in the next 12 to 18 months.

The Group will continue to monitor and manage its climate related risks and carbon footprint in line with the ambition of Net-Zero 2040 outlined in the Sustainability section on chanel.com. The climate ambition is part of the Group's overall sustainability strategy, the House Sustainability Ambition, to build a resilient and sustainable business.

2.2 Going concern

The directors are satisfied that the Group and Parent Company have sufficient resources to continue in operation for a period of at least 12 months from the date of approval of these Financial Statements, up to 30 June 2026. Accordingly, the Financial Statements continue to be prepared on a going concern basis.

In their assessment, the directors have considered: the financial and cash position of the Group and Parent Company; the forecast cash requirements and cash generation of the Group and Parent Company; and forecast compliance with loan covenants.

The Group's approach to minimising liquidity risk is described further in Note 21 and involves structuring its borrowings with long-term maturities, as well as maintaining sufficient levels of standby liquidity through revolving credit facilities. Further details of the Group's borrowings can be found in Note 17. The Group continues to maintain its policy of zero net debt at each reporting period, with net cash of \$1.9 billion reported as at 31 December 2024. The Group has access to \$864.9 million of undrawn revolving credit facilities that are forecast to remain undrawn for the foreseeable future as a result of the liquidity available to the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Various downside scenarios have been tested to assess the level of headroom, both in terms of available liquidity and compliance with financial covenants. The mitigating actions within the Group's control, should they be required, have also been considered, including the reduction of non-essential operating and capital expenditures and the reduction of planned dividends to the Group's controlling entity. The likelihood of these scenarios occurring is remote and the sensitivity analysis performed has shown sufficient headroom in terms of available liquidity to the Group and potential breach of covenants.

Following their analyses, the directors considered it appropriate to continue to adopt the going concern basis in preparing the Financial Statements with no material uncertainties to disclose.

2.3 Accounting framework

New Standards, Amendments and Interpretations affecting amounts, presentation or disclosure reported in the current year

The following applicable amendments have been adopted in the current year:

- Amendments to IAS 1: Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants
- Amendments to IFRS 16: Lease liability in a Sale and Leaseback
- Amendments to IAS 7 and IFRS 7: Supplier Finance

The application of the amendments listed above did not have any significant impact on the Group's Financial Statements.

New Standards, Amendments and Interpretations in issue but not yet effective

At 31 December 2024, the following Standards, Amendments and Interpretations were in issue but not yet effective:

- IFRS 18: Presentation and Disclosure in Financial Statements

IFRS 18 Presentation and Disclosure in Financial Statements becomes effective from 1 January 2027 and will replace IAS 1 Presentation of Financial Statements. IFRS 18 introduces newly defined categories for classifying income and expenses and subtotals presented in the Statement of Income. It also introduces disclosure requirements in respect of management-defined performance measures, specified expenses by nature and aggregation and disaggregation of financial information. The Group is assessing the impact of IFRS 18 on the Group's Financial Statements.

The application of other standards, amendments and interpretations that are issued but not yet effective are not expected to have a significant impact on the Group's Financial Statements in future periods.

2.4 Basis of consolidation

These Consolidated Financial Statements include the Financial Statements of the Group together with the Group's share of the results and retained post-acquisition reserves of Associates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Subsidiaries

Subsidiaries included in the consolidation are all entities over which the Group exercises control. The Group controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The concept of control generally implies owning more than half of the voting rights of an entity, although that is not a requirement to demonstrate power over an entity. The existence and effect of potential voting rights that are exercisable or convertible are taken into account in the assessment of control.

The results of subsidiaries acquired or disposed of during the year are included in the Consolidated Statement of Income from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Where necessary, adjustments are made to the Financial Statements of subsidiaries to bring the accounting policies used in line with those of the Group.

All intercompany transactions, balances, income, and expenses are eliminated upon consolidation.

Investments in Associates and Joint Ventures

Associates are all entities in which the Group exercises a significant influence over the entity's management and financial policy without exercising control. Significant influence generally implies holding 20% to 50% of the voting rights. Significant influence may still exist in the absence of at least 20% of the voting rights if it can be clearly demonstrated. Joint Ventures represent arrangements where the Group has joint control of an entity with a third party.

Associates and Joint Ventures are recognised using the equity method and initially measured at cost. Subsequently, the share in profits or losses of the Associate or Joint Venture attributable to equity holders of the Parent is recognised in the Statement of Income and the change in equity attributable to equity holders of the Parent is recognised in equity. If the Group's share in the losses of an Associate or Joint Venture equals or exceeds its Investment in the Associate or Joint Venture, the Group no longer recognises its share of losses, unless it has legal or constructive obligations to make payments on behalf of the Associate or Joint Venture.

The Group may write a put option or enter into a forward to purchase the underlying interest from the majority shareholder. For each such transaction, the Group evaluates the characteristic of the arrangement to determine whether it may constitute a derivative. In making this assessment, the Group considers whether the put or forward is fair value settled or is based on non-financial underlying variables specific to the investee, which fall outside the definition of a derivative per IFRS 9 (Financial Instruments).

2.5 Business combinations

The acquisition method of accounting is used to account for the acquisition of Subsidiaries by the Group. At the acquisition date, the Group recognises, separately from goodwill, the identifiable assets acquired, the liabilities assumed, and any non-controlling interest in the acquired entity. The consideration transferred in a business combination is measured at fair value. This fair value is calculated as the sum of the acquisition-date fair values of the assets transferred by the acquirer, the liabilities incurred by the acquirer to former owners of the acquired entity and the equity interests issued by the acquirer. The cost of an acquisition is the total fair value of the consideration given. All direct incremental costs incurred in connection with the acquisition are excluded from the cost of the acquisition and are expensed as incurred. Goodwill is measured at the acquisition date as the excess of the aggregate of the fair value of the consideration transferred and the amount of any non-controlling interest recognised, over the assets and liabilities recognised.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

In a step acquisition, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value, any gain or loss arising is recognised in profit or loss. The pre-existing interest is included in the determination of goodwill, together with the fair value of consideration given.

The Group considers the optional concentration test, which permits a simplified assessment of whether an acquired set of activities and assets is not a business, which can be applied on a transaction-by-transaction basis. The concentration test is met if substantially all the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets. If the test is met, the set of activities and assets is determined not to be a business and no further assessment is needed.

Purchase commitments for non-controlling interests

The Group may write a put option or enter into a forward with the non-controlling shareholders in an acquiree as part of the acquisition of a subsidiary. Where such agreements are in place in respect of shares held by non-controlling shareholders, the liability is stated at the present value of the expected future payments and reported in financial liabilities in the Statement of Financial Position. For each transaction, an assessment is made to determine whether the non-controlling shareholders have a present access to the returns associated with the underlying ownership interest. Where it is concluded that the non-controlling shareholders do not have a present access to the returns, the Group adopts the 'anticipated acquisition' method and recognises an adjustment to goodwill. Where it is concluded that the non-controlling shareholders have a present access to the returns, the Group adopts the 'present access' method and recognises an adjustment to equity. The change in the value of such options in the year is recognised in other reserves within shareholder's equity.

The non-controlling interests in the Group's Statement of Financial Position represent the share of net assets of subsidiary undertakings held outside the Group. The movement in the year comprises the profit attributable to such interests together with any dividends paid, as well as adjustments resulting from acquisitions and divestitures. The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group.

Common control transactions

Business combinations that involve entities under common control are excluded from the scope of IFRS 3. The Group's policy is to apply book value accounting to common control transactions, when the legal or regulatory requirements of a particular jurisdiction permit.

In applying book value accounting, it is the Group's accounting policy to recognise the assets acquired and liabilities assumed using the carrying value in the Financial Statements of the entity transferred. The difference between the consideration paid and the carrying value of the assets and liabilities transferred is recognised as other reserves within shareholder's equity. The financial results of the transferred Company are included in the Group's Consolidated Financial Statements from the date of the combination.

2.6 Critical accounting judgements and key sources of estimation uncertainty

In the application of the Group's accounting policies, which are described further in Note 2, the directors are required to make judgements (other than those involving estimations) that may have a significant impact on the amounts recognised and to make estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Critical judgements in applying the Group's accounting policies

The preparation of Financial Statements in conformity with IFRS requires the directors to exercise their judgement, apart from those involving estimations (which are dealt with separately below), in the process of applying the Group's accounting policies.

The Group holds certain investments in manufacturing operations that require a judgment in determining the level of influence over the underlying investees (Note 12).

The judgment in making this assessment includes consideration of the key factors, such as the ownership interest, participation in investee's operational decisions, material transactions with the Group, proportion of business, potential voting rights, and whether a combination of these considerations may empower the Group to direct the relevant activities of these investees.

The Group has determined that these investments provide the ability to exercise significant influence over the operating and financial policies of these entities but do not control them. Therefore, these investments are treated as Associates and accounted for using the equity method of accounting, in line with the Group's Accounting Policy described in Note 2.3.

Key sources of estimation uncertainty

The Group deems the key sources of estimation uncertainty that could cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year as follows:

- **Inventory provisions** – The Group manufactures and sells luxury goods and is subject to changing consumer demands and industry trends. As a result, it is necessary to consider the recoverability of the cost of inventories and the associated provisioning. When calculating inventory provisions, management considers each category of inventory, if the products concerned are damaged or obsolete due to seasonality, end of shelf life or end of life of the collection utilising an expected sell through methodology. An impairment provision is booked to reduce inventories to net realisable value if this is lower than the carrying value. Refer to Note 15 for further details of the carrying value of inventory and associated provisioning.
- **Uncertain tax positions** – The calculation of the Group's tax liabilities involves uncertainties in the application of complex tax laws. Our estimate of the potential outcome of any uncertain tax position is judgmental but considers whether it is probable that the tax treatment would be accepted by the relevant tax authority that has full knowledge of all the pertinent information that supports the tax position. Settlement of these uncertainties in a manner inconsistent with our expectations could have a material impact on our results of operations, financial position and cash flows. The Group recognises a liability for uncertain tax positions when it is probable that an outflow of economic resources will occur. Measurement of the liability for uncertain tax positions is based on management's best estimate of the amount of tax expense that will be realised upon settlement, in accordance with the criteria of IFRIC 23. Management have not performed a sensitivity analysis on uncertain tax positions as it is not practical to do so. Refer to Note 13 for further details.
- **Defined benefit plans** – The cost of the defined benefit pension plan and other post-employment medical benefits and the present value of the pension obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation, the volatility in financial markets and the provision's long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Refer to Note 18 for further details on pension obligations.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Other sources of estimation uncertainty

Other sources of estimation uncertainty are as follows:

- **Impairment of goodwill** – Goodwill arising from the acquisition of a business is the only intangible asset with an indefinite useful life and is tested for impairment annually. For the purposes of impairment testing, the recoverable amount of goodwill is primarily determined based on the value-in-use of the cash-generating unit (“CGU”) to which the goodwill is allocated. In certain instances, the recoverable amount is determined through a third-party valuation using appropriate valuation techniques relevant to that CGU. Where value-in-use is used, following a discounted cash flow (“DCF”) approach, key assumptions are used to determine estimated future cash flows which are based on budgets, medium-term plans and management’s assessment of future trends. The recoverable amount is sensitive to the discount rate used in the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount, are disclosed and further explained in Note 8.
- **Impairment of Property, Plant and Equipment (“PPE”), Right-of-use (“ROU”) assets and Investments in Associates** – PPE, ROU assets and Investments in Associates are assessed for indicators of impairment. If indicators are identified, assets are assessed for impairment by determining the recoverable amount of an asset or a CGU based on the higher of the value-in-use and fair value less costs of disposal. Value-in-use is calculated using estimated future cash flows applying key assumptions. The value-in-use is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. For certain properties, third-party valuations are used to support the fair value of the asset in determining the recoverable amount. Refer to Note 9 for further details.

2.7 Foreign currency translation and transactions

The results and Financial Statements of consolidated entities with a functional currency that differs from the presentation currency are translated into U.S. dollars as follows:

- Statement of Financial Position items, other than equity, are translated at the year-end exchange rate;
- Equity is translated at historical exchange rates;
- Statement of Income and Statement of Cash Flow items are translated at the average rate for the year; and
- Differences are recognised in other comprehensive income (“OCI”) under foreign currency translation reserve.

Changes in the carrying amount relating to translation are recognised in other comprehensive income. Gains or losses resulting from foreign currency transactions are included in the Statement of Income.

At the individual entity level, foreign currency transactions are translated into the entity’s functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in currencies other than functional currencies at year-end exchange rates are recognised in the Consolidated Statement of Income.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.8 Revenue recognition

Sale of goods

Revenue mainly comprises direct sales to end-customers and the sale of goods to authorised third parties for resale. The Group recognises revenue when it transfers control over a product to a customer, excluding taxes, net of discounts and after elimination of intercompany sales.

Direct sales to end-customers are made through boutiques for fashion goods, certain fragrance and beauty products, and certain watches and fine jewellery items. These sales are recognised at the time of purchase by the retail end-customers. Sales made in stores owned by third parties are treated as retail transactions if control of the inventories is retained by the Group. E-commerce sales of beauty products and elements of eyewear sales to end-customers are recognised when control of the products has transferred to the customer.

Wholesale sales to third parties are recognised when control of the products has transferred to the third-party customer/authorised retail partner. In the Americas region, revenue is generally recognised upon shipment to such customer, whereas in the Europe and Asia Pacific regions, revenue is generally recognised upon the customer's receipt of goods.

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to such customer, a contract liability is recognised when the payment is made, or the payment is due (whichever is earlier). The contract liability for customer deposits is reported in trade payables and other liabilities (Note 20). Revenue from customer deposits is recognised when the Group performs under the contract.

Product returns and other variable consideration

For direct sales to customers, when the customer has a right to return the product within a given period, the Group is obliged to refund the purchase price. Following the sale of goods to its customers and depending on any contractual clauses attached to these sales, the Group may accept the return of unsold or outdated products.

A refund liability for the expected refunds to customers is recognised as an adjustment to revenue and included in provisions. At the same time, the Group has a right to recover the goods from the customer where the customer exercises their right of return, and therefore recognises an asset, with a corresponding adjustment to cost of sales. The asset is reported net of potential decreases in the value of the returned product. Accumulated experience is used to estimate such returns at the time of sale at a portfolio level (expected value method). Because the number of products returned has been steady for a number of years, it is highly probable that a significant reversal in the cumulative revenue recognised will not occur. The validity of this assumption and the estimated amount of returns are reassessed at each reporting date.

The Group considers other forms of variable consideration in measuring revenue, such as volume rebates, and performance bonuses, based on estimates of the variable consideration using the most likely amount method and includes the liability in trade payables and other liabilities.

The Group also enters into certain cooperative arrangements with customers and makes payments related to advertising, demonstration and promotion, for which the Group does not receive a distinct good or service or for which the fair value of the good or service cannot be reasonably estimated. For these types of arrangements, the reduction of revenue is recorded at the later of when (i) the Group recognises revenue for the transfer of the related goods or services to the customer, or (ii) the Group pays or promises to pay the consideration. There are no material judgements in determining if a distinct good or service is received given the nature of the arrangements entered into.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

To the extent the Group receives a distinct good or service in exchange for consideration and the fair value of the benefit can be reasonably estimated based on the stand-alone selling price, the Group's consideration payable to the customer is reported in advertising, promotion and demonstration expense.

Licensing income

Licensing income is recognised over time in accordance with the substance of the relevant agreements and presented in revenue in the Consolidated Statement of Income.

2.9 Income tax

The Group computes taxes in accordance with prevailing tax legislation in the locations where income is taxable. Taxes on income are provided in the same period as the revenue and expenses to which they relate. The income tax charge for the period comprises both the current and deferred tax charge (Note 13).

Deferred income tax is provided using the liability method on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the Consolidated Financial Statements. No deferred taxes are recognised for temporary differences arising from goodwill for which impairment losses are not deductible for tax purposes or from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting, nor taxable profit or loss. The measurement of deferred tax amounts depends on the way in which the Group intends to recover or settle the carrying amount of assets and liabilities and is determined using tax rates (and laws) that have been enacted, or substantially enacted, by the Statement of Financial Position date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets and liabilities are not discounted and are classified in the Consolidated Statement of Financial Position under non-current assets and liabilities.

Deferred income tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences and the carry-forward of unused tax losses, and of unused tax credits, can be utilised. The Group reviews its deferred tax balances at each Statement of Financial Position date to consider factors such as the impact of changes in tax laws and the prospects of recovering deferred tax assets from deductible temporary differences and from the carry-forward of unused tax losses and of unused tax credits.

Deferred income tax is provided on temporary differences arising on Investments in Subsidiaries, Joint Ventures, and Associates, except where the Group controls the timing of the reversal of the temporary difference, and it is probable that the temporary difference will not reverse in the foreseeable future.

Net balances of deferred tax are calculated based on the tax position of each subsidiary or on the total positions of subsidiaries included within the same consolidated tax group and are presented in assets or liabilities for the net amount per tax entity.

Deferred tax assets and liabilities are offset where there is a legally enforceable right of offset, and the intention is to settle the balances on a net basis.

The Group applies the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes, as provided in the amendments to IAS 12 issued in May 2023.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.10 Property, plant and equipment

Property, plant and equipment is recognised at cost less accumulated depreciation and impairment. The various components of property, plant and equipment are recognised separately based on their estimated useful lives and, therefore, their depreciation periods are significantly different. The cost of an asset includes the expenses that are directly attributable to its acquisition. Where the Group has made payments under development agreement to construct PPE, the payment amounts are classified as Construction in progress, if the group has control over the asset as it is being constructed.

Vineyards include the vines associated with the Group's wine businesses. Vines are considered bearer plants and are included within the scope of IAS 16, Property, Plant & Equipment ("IAS 16"). The Group accounts for vines at their historical cost, which is consistent with all other items of property, plant and equipment. The harvested grapes from the vines are included in inventory, as described in Note 2.15.

Property, plant and equipment is depreciated on a straight-line basis, commencing when the asset is available for use, over the shorter of the expected useful life of the asset or its lease term, if applicable:

Type of asset	Expected useful life
Land	not depreciated
Land improvements	up to 50 years
Buildings and buildings improvements	up to 50 years
Machinery, furniture, and equipment	up to 10 years
Leasehold improvements	up to 10 years
Vineyards	up to 35 years
Construction in progress	not depreciated

The assets' residual values and useful lives are reviewed and adjusted, if appropriate, annually with the effects of any change in estimate being accounted for on a prospective basis.

Gains and losses on disposals are determined by comparing proceeds with carrying amounts and are included in the Consolidated Statement of Income. Borrowing costs directly incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use. Other borrowing costs are expensed as incurred.

2.11 Investment property

Investment properties are properties held to earn rentals or for capital appreciation.

Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, the Group has elected to measure investment property at cost, less accumulated depreciation and accumulated impairment losses applying the same accounting policies as for property, plant and equipment (Note 2.10).

An investment property is derecognised upon disposal, when reclassified as held for sale or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property is calculated as the difference between the net disposal proceeds and the carrying amount of the asset and is included in the Consolidated Statement of Income in the period in which the property is derecognised.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Transfers are made to (or from) investment property only when there is a change in use.

2.12 Leases

The Group as lessee

The Group assesses whether a contract is or contains a lease at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less), leases of low-value assets (defined as an asset purchased when new is less than \$5,000), and for variable payments which are not dependent on an index or a rate. For the short-term and low-value leases, the Group recognises the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed. Variable payment leases are recognised based on actual payments.

Lease liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the rate implicit in the lease. If this rate cannot be readily determined, which is generally the case for leases in the Group, the lease payments are discounted using the Incremental Borrowing Rate ("IBR") as appropriate for each lease based on factors such as the lessee legal entity credit risk and the lease term.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- Amounts expected to be payable under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options;
- Payments in an optional renewal period for which the Group is reasonably certain to exercise a renewal option; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Group remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate;

- The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the revised lease payments using the initial discount rate; or

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

- A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in the Statement of Income if the carrying amount of the right-of-use asset has been reduced to zero.

Right-of-use assets

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement date and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. Depreciation starts at the date when the Group gains control of the underlying asset.

The Group applies IAS 36 Impairment of Assets to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the property, plant and equipment policy.

In the situation of a sale and leaseback transaction where the Group sells an asset to a buyer and leases that asset back immediately on the sale date, the Group applies IFRS 15 Revenue from contracts with customers to determine whether the transfer of the asset is a sale. If the transfer of the asset is a sale, the Group measures the right-of-use asset arising from the leaseback at the proportion of the previous carrying amount of the asset that is retained for use by the Group. The Group recognises the gain or loss limited to the portion of rights transferred to the buyer.

The Group as lessor

The Group determines at lease inception whether the lease is a finance or operating lease. If the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset, then the lease is a finance lease. If not, then the lease is an operating lease.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease.

2.13 Cash, cash equivalents and short-term investments

Cash and cash equivalents consist of cash on hand and demand deposits as well as other short-term highly liquid investments with original maturities of three months or less that are subject to an insignificant risk of change in value.

Time deposits with a maturity of greater than three months are shown separately in the Statement of Financial Position as Short-term investments.

Bank overdrafts are mainly related to the Group's notional cash pooling arrangement and are shown within borrowings in current liabilities in the Consolidated Statement of Financial Position (Note 17).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.14 Provisions

Provisions for asset retirement obligations, litigation including product liability, restructuring costs, product return and other product-related obligations, and other contingencies and losses are recognised when the Group has a present legal or constructive obligation resulting from past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount of the obligation can be reliably estimated (Note 19).

Restructuring provision and costs

A restructuring provision is recognised when a formal and detailed restructuring plan exists and the Group has raised a valid expectation that it will carry out the restructuring by having begun to implement the plan, or its main features have been announced before the Statement of Financial Position date. Restructuring costs for which a provision is made essentially represent employee costs (severance pay, early retirement plans, other termination benefits, etc.), and the recognition of onerous components of contractual obligations with third parties.

2.15 Inventories

Inventories are recorded at the lower of cost and net realisable value. Net realisable value is the estimated sales price in the normal course of business, net of costs to be incurred to complete the sale (Note 15). Inventories are valued using the weighted average cost or first-in-first-out (FIFO) basis, depending on the type of business.

Grapes used to produce wine by the Group are considered agricultural produce as defined in IAS 41, Agriculture ("IAS 41"). The fair value of these assets cannot be measured reliably due to the lack of an active market for such unique assets and the volatility of wine prices which vary with global demand and the quality of each season's crop. Therefore, the Group accounts for these assets at their historical cost. Subsequent to their initial recognition, the Group accounts for grapes at the lower of cost and net realisable value. Due to the length of the aging process required for wine, the holding period for these inventories generally exceeds one year. However, in accordance with industry practices, these inventories are nevertheless classified as current assets.

Write-downs of inventories are primarily recognised if inventory items are damaged, or if they have become wholly or partially obsolete.

2.16 Exceptional items

Exceptional items are typically material amounts related to costs, gains or losses arising from events that are not considered part of the core operations of the business. These include, but are not limited to, costs related to restructuring programmes, significant impairments and reversals of non-current assets, investment gains and losses on corporate-owned life insurance, and any other items that are considered to be exceptional by virtue of their size, nature or incidence. A further breakdown of the exceptional items is included in Note 4.

2.17 Goodwill

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. Goodwill is not amortised but is tested annually for impairment and is carried at cost less accumulated impairment losses. The impairment expense is recognised in selling, general and administrative expenses in the Consolidated Statement of Income (Note 8). Gains and losses on the disposal of a subsidiary include the carrying amount of goodwill relating to the entity sold.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.18 Other intangible assets

Intangible assets acquired as part of a business combination, which are controlled by the Group and can be measured reliably, and which are separate or arise from contractual or other legal rights, are recognised separately from goodwill. Intangible assets with finite lives are amortised over their estimated useful lives. If it is determined that their recoverable amounts are less than their net carrying amount, they are written down to their recoverable amounts (Note 8).

Capitalised software and related licenses

Costs that are directly associated with developing, purchasing, implementing or improving identifiable software that is under the Group's control and have expected benefits beyond one year are recognised as intangible assets and are amortised using the straight-line method over their estimated useful lives, typically up to seven years. Licenses are amortised over their contractual lives, if longer than one year. Costs associated with evaluating or maintaining computer software are expensed as incurred. Website costs are capitalised as intangible assets only if certain criteria are met, most importantly the ability of the website to generate probable future economic benefits. Once the Group determines that an internally generated website meets the necessary criteria, specific costs related to the website's development phase are capitalised as other intangible assets. Website costs are amortised over a maximum useful life of three years.

Type of asset	Expected useful life
Goodwill	not amortised
Licenses	over contractual life
Capitalised Software	up to 7 years
Website	up to 3 years

2.19 Impairment of assets

Finite-lived intangible assets, property, plant, and equipment, and right-of-use assets are subject to impairment testing whenever there is any indication that an asset may be impaired, and at least annually in the case of goodwill and indefinite-lived intangible assets. Impairment tests seek to determine whether the recoverable amount of an asset, a CGU or a group of CGUs is less than its net carrying amount. For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows. When the carrying amount of such assets is greater than the recoverable amount, which is the higher of their value-in-use or fair value less cost of disposal, the resulting impairment loss is recognised within the Consolidated Statement of Income.

Impairment losses recognised other than goodwill may be reversed at a later date up to the amount of the losses initially recognised, when the recoverable amount becomes greater than the net carrying amount. Impairment losses pertaining to goodwill may not be reversed.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.20 Government grants

Government grants are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. All government grants are claimed only if their objective is in line with the Group's business purpose and in accordance with its global tax principles. These grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to them and that the grants will be received. Government grants are recognised in the Statement of Income on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate.

The Group recognised \$38.4 million (2023: \$85.0 million) related to government grants in operating profit as a reduction to selling, general and administrative expenses. These incentives are aimed at providing long-term support for companies undertaking business activities in specific markets.

2.21 Financial assets

Initial recognition and measurement

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under IFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in three categories:

- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments); or
- Financial assets at amortised cost (debt instruments);
- Financial assets at fair value through profit or loss.

Financial assets at amortised cost (debt instruments)

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and;
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest method and are subject to impairment. Gains and losses are recognised in the Statement of Income when the asset is derecognised, modified or impaired.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Group's financial assets at amortised cost include trade receivables and other financial assets.

Financial assets designated at fair value through OCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under International Accounting Standard 32 Financial Instruments. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to the Statement of Income. Dividends are recognised as Finance income in the Statement of Income when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

The Group has elected to classify irrevocably its listed and non-listed equity investments as financial assets at fair value through OCI. These are strategic investments, and the Group considers this classification to be more relevant.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. All derivatives are accounted for at fair value through profit and loss.

Financial assets at fair value through profit or loss are carried in the Statement of Financial Position at fair value with net changes in fair value recognised in the Statement of Income.

Derecognition

A financial asset is primarily derecognised when the rights to receive cash flows from the asset have expired.

Impairment of financial assets

The Group recognises an allowance for expected credit losses ("ECLs") for all financial assets not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment. The ECL risk on the Group's trade

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

receivables is low and, therefore, there is limited impact on applying this approach to the Consolidated Financial Statements. Details of the loss allowance are included in Note 14.

2.22 Assets Held for Sale

The Group classifies non-current assets and disposal groups as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset or disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such asset or disposal group and its sale is highly probable. For the sale to be highly probable, management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. It is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. Events or circumstances beyond the Group's control may extend the period to complete the sale beyond one year. An extension of the period required to complete the sale does not preclude an asset or disposal group from being classified as held for sale.

The Group measures non-current assets and disposal groups classified as held for sale at the lower of their carrying amount and fair value less costs to sell (Note 16).

The Group recognises all impairment losses for any initial or subsequent write down of the asset or disposal group to fair value less costs to sell.

There is no depreciation or amortisation recognised while an asset or disposal group is classified as held for sale. The interest and other expenses attributable to the liabilities of the disposal group classified as held for sale will continue to be recognised.

2.23 Financial liabilities

With the exception of derivative liabilities, which are accounted for at fair value through profit or loss, the Group recognises all financial liabilities initially at fair value and subsequently at amortised cost, using the effective interest method. Financial liabilities are classified as current liabilities unless the Group does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

2.24 Derivative instruments and hedging activities

Derivatives designated as cash flow hedges

At the inception of designated hedge relationships, the Group documents its risk management objectives and strategy for undertaking various hedging transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in cash flows of hedged items in line with the criteria set out in IFRS 9.

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised as a "cash flow hedge reserve" within shareholder's equity. Any gain or loss relating to the ineffective portion is recognised immediately in the Consolidated Statement of Income. Amounts accumulated within shareholder's equity are reclassified to the Consolidated Statement of Income when the hedge instrument is realised.

If the hedge no longer meets the criteria for hedge accounting or the hedging instrument is sold, expires, is terminated, or is exercised, then hedge accounting is discontinued prospectively. When highly probable forecast exposures are no longer expected to occur, these previously hedged amounts no longer qualify for hedge accounting, consequently, the gains/losses related to these discontinued derivatives held in the cash flow hedge reserve are immediately recorded in the Statement of Income.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Non-hedging derivatives

Changes in the fair value of derivative instruments used to manage exposures, that are not designated as hedges, are recognised immediately in the Consolidated Statement of Income.

2.25 Employee benefits

Retirement benefits

The Group has both defined benefit and defined contribution plans (Note 18). With respect to defined contribution plans, the Group is not obliged to make additional payments beyond contributions already made. Contributions to these plans are expensed as incurred as part of operating profit in the Consolidated Statement of Income.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive post-employment, dependent on one or more factors such as age, years of service, and compensation. These plans and the termination benefits are valued by independent actuaries. The valuation takes into account the level of future compensation, service period, life expectancy, and staff turnover. Actuarial gains and losses are primarily due to changes in demographic and financial assumptions and the difference between estimated results based on actuarial assumptions and actual results. All actuarial differences with respect to defined benefit plans are recognised immediately in the Consolidated Statement of Comprehensive Income. Past service costs, which typically increase a retirement benefit obligation following the introduction of a new plan or change to an existing plan, are recognised immediately in the Consolidated Statement of Income. Retirement expenses are recognised in operating profit in the Consolidated Statement of Income. The interest cost, which represents the interest accumulated on the unpaid balance of the projected benefit obligation and the interest earned on the performance of the plan assets are recognised in finance income (costs), net.

Executive deferred compensation plan

The Group has a non-qualified executive deferred compensation plan ("EDCP") that provides certain eligible employees with the opportunity to defer elements of their base compensation and bonuses. Deferred amounts are further increased or decreased based on the results of investment choices selected by the plan participants. Benefits are payable to the employees or their designated beneficiaries at specified future dates, upon retirement, or death. The EDCP and its benefits are valued by an independent actuary on an annual basis. The valuation takes into account such factors as the participants' investment selections, and years until scheduled distributions. Compensation amounts deferred by plan participants during the year, as well as changes in actuarially determined amounts, are recognised in operating profit in the Consolidated Statement of Income. The liability associated with the Group's EDCP is recorded in other liabilities in the Consolidated Statement of Financial Position.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Corporate-owned life insurance

The Group has several corporate-owned life insurance ("COLI") policies that indirectly finance the executive deferred compensation plans and other defined benefit plans. COLI cash values are managed on an aggregate basis and unlike defined benefit pension plan assets, COLI assets are not specifically identified or accounted for as being related to any particular benefit liability. The dual construct of COLI results in the payment of premiums that cover insurance costs on the life of participating employees, but the majority of the funds are directed to the actual investments embedded in the COLI asset structure. The cash surrender value ("CSV") is a combination of the market value of the underlying investments, in addition to the traditional cash surrender value of a life insurance policy. The asset recognised by the Group is equal to the CSV of the policies and the market value of the money market funds at the reporting date. The CSV of the policies and market value of the money market funds consist of deposits (premiums), investment earnings/losses, trust expenses, benefit payments/withdrawals and death benefit proceeds.

2.26 Finance income and finance costs

Finance income and finance costs are comprised of borrowings costs, interest income from cash and cash equivalents, foreign exchange gains and losses, cost of foreign exchange and interest rate derivatives and fair value adjustments on financial assets. These activities support the Group's operations, but they are not part of the Group's core operating business activities. A further breakdown is provided in Note 5.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

3. REVENUE

Set out below is the disaggregation of the Group's revenue from contracts with customers. The Group disaggregates revenue by geographical region and sales channel as this best depicts how the nature, timing and amount of revenue and cash flows are affected by economic factors.

	2024	2023
	\$ millions	\$ millions
Type of sales		
Sales of goods	18,687.3	19,734.0
License income	12.0	9.9
	<u>18,699.3</u>	<u>19,743.9</u>
Geographical markets		
Asia Pacific	9,232.8	10,177.8
Europe	5,676.6	5,606.3
Americas	3,789.9	3,959.8
	<u>18,699.3</u>	<u>19,743.9</u>
Sales channel		
Retail	14,407.3	15,359.7
Wholesale	4,280.0	4,373.2
Other	12.0	11.0
	<u>18,699.3</u>	<u>19,743.9</u>

4. OPERATING PROFIT

	2024	2023
	\$ millions	\$ millions
Profit before tax is stated after charging / (crediting):		
Research and development expenditure	<u>213.1</u>	<u>195.3</u>
Impairment of PPE, intangibles and other assets, excluding ROU assets	86.5	33.0
Restructuring costs expenditure	96.8	65.5
Net investment gains on corporate-owned life insurance	(19.1)	(10.1)
Loss / (gain) on disposal of assets*	10.2	(106.4)
Other	0.9	6.0
Exceptional items	<u>175.3</u>	<u>(12.0)</u>

Research and development ("R&D") costs are expensed as incurred, unless the criteria for capitalisation has been met. The Group did not meet the capitalisation criteria for these costs in 2024 or 2023.

*On 23 January 2023, the Group sold a property in London for \$178.5 million. On the same date, immediately upon completion of the sale of the property, it entered into a 10-year lease contract with the buyer to lease back certain floors of the building. The total gain from this transaction amounted to \$101.8 million.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

5. FINANCE INCOME / (COSTS)

	2024	2023
	\$ millions	\$ millions
Finance income:		
Foreign exchange gains, net	25.7	-
Interest income on cash and investments	398.7	418.7
Derivatives gains, net	-	69.5
Interest income on finance lease receivables	0.8	0.9
Other finance income	0.9	2.5
	<u>426.1</u>	<u>491.6</u>
Finance costs:		
Interest costs on financial borrowings	(165.9)	(175.1)
Interest costs on lease liabilities	(97.4)	(85.4)
Foreign exchange losses, net	-	(339.7)
Derivatives losses, net	(9.0)	-
Other finance costs	(17.8)	(5.1)
	<u>(290.1)</u>	<u>(605.3)</u>
	<u>136.0</u>	<u>(113.7)</u>

The Group recognised net foreign exchange gains of \$25.7 million in 2024 (2023: \$339.7 million loss), which is mainly attributable to the strengthening of the U.S. dollar in relation to U.S. dollar denominated cash and time deposits held by Chanel Limited and its non-USD functional currency subsidiaries.

Derivatives net gains in 2023 includes \$64.0 million from the discontinuation of a cash flow hedge in October 2023, being the release of pre-tax cash flow hedge reserve of \$88.6 million offset by fair value losses from interest rate swaps after hedge discontinuation of \$24.6 million.

6. AUDITOR'S REMUNERATION

	2024	2023
	\$ millions	\$ millions
Fees payable to the Group's auditor for the audit of the Group's Annual Financial Statements	1.9	1.3
Fees payable to the Group's auditor and its associates for the audit of the Group's subsidiaries pursuant to legislation	7.1	7.1
	<u>9.0</u>	<u>8.4</u>
Fees payable to the Group's auditor and its associates for other services	0.4	0.3

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

7. INFORMATION REGARDING EMPLOYEES

	<u>2024</u>	<u>2023</u>
	No.	No.
Average monthly number of persons employed		
Sales and distribution	20,841	19,748
Administration	8,737	8,019
Production	7,914	6,562
	<u>37,492</u>	<u>34,329</u>
	<u>2024</u>	<u>2023</u>
	\$ millions	\$ millions
Staff costs during the year		
Wages and salaries	2,837.3	2,445.7
Social security costs	597.9	505.3
Pensions costs	149.9	118.6
Other personnel costs	476.7	416.8
	<u>4,061.8</u>	<u>3,486.4</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

8. INTANGIBLE ASSETS

	Capitalised software and related licenses	Goodwill	Other	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Cost:				
Balance at 1 January 2023	509.5	288.3	122.7	920.5
Additions	119.2	150.7	3.9	273.8
Disposals	(1.3)	-	(0.5)	(1.8)
Transfer to ROU Assets	-	-	(29.3)	(29.3)
Exchange differences	10.7	14.1	4.1	28.9
Balances at 31 December 2023	638.1	453.1	100.9	1,192.1
 Additions	125.6	77.7	6.1	209.4
Disposals	(23.3)	-	(0.5)	(23.8)
Transfer to ROU Assets	-	-	(32.5)	(32.5)
Exchange differences	(33.2)	(27.8)	(2.0)	(63.0)
Balances at 31 December 2024	707.2	503.0	72.0	1,282.2
 Accumulated amortisation and impairment:				
Balance at 1 January 2023	332.2	105.3	51.2	488.7
Amortisation expense	80.6	-	3.2	83.8
Disposals	(1.1)	-	(0.3)	(1.4)
Impairment losses	-	31.1	-	31.1
Exchange differences	8.0	7.2	2.0	17.2
Balances at 31 December 2023	419.7	143.6	56.1	619.4
 Amortisation expense	88.2	-	4.1	92.3
Disposals	(23.0)	-	(0.2)	(23.2)
Impairment losses	8.6	31.8	0.1	40.5
Transfer to ROU Assets	-	-	(25.7)	(25.7)
Exchange differences	(23.1)	(8.1)	(1.0)	(32.2)
Balances at 31 December 2024	470.4	167.3	33.4	671.1
 Carrying amount at 31 December 2023	218.4	309.5	44.8	572.7
 Carrying amount at 31 December 2024	236.8	335.7	38.6	611.1

Goodwill impairment analysis

The Group tests for impairment annually in accordance with IAS 36 "Impairment of Assets." The Group's most significant goodwill balances are related to its manufacturing companies that support the fashion business activities. To assess for impairment, the Group primarily applies a value-in-use approach. However, certain assets are assessed for impairment using a fair value approach. The carrying amount of those assets is \$33.2 million at 31 December 2024 (2023: \$34.1 million).

The key assumptions made in the value-in-use calculations includes future revenues, margins achieved and discount rates applied. The discount rate is a post-tax rate applied to post-tax cash flows and does not result in impairment conclusions differing from those obtained by applying pre-tax rates to pre-tax cash flows. The analyses performed were based on our CGUs' medium-term business plans, with time frames of five years that have been reviewed and approved by management. Cash flows beyond five years are calculated to perpetuity using long-term growth rates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Group estimates discount rates using post-tax rates that reflect a market assessment of the time value of money and the risks specific to the CGUs. The discount rates are derived from the Group's weighted average cost of capital. Inputs into the discount rate calculation include the risk-free rate, country risk premium and equity risk premium. The discount, medium-term and long-term growth rates applied in the value-in-use model are as follows:

Goodwill				
2024				
\$ millions				
	Value of the goodwill tested via DCF	Discount rate	Annual growth rate for revenue during the plan period	Growth rate for the period after the plan
Manufacturing CGUs	222.9	9.7%	2.5% - 6.7%	2.5%
2023				
\$ millions				
	Value of the goodwill tested via DCF	Discount rate	Annual growth rate for revenue during the plan period	Growth rate for the period after the plan
Manufacturing CGUs	120.3	9.5%	1.0% - 14.9%	1.0% - 2.5%

2024 Impairment

Based on these assessments using the value-in-use and fair value approach, the Group recognised impairment losses of \$31.8 million in 2024 (2023: \$31.1 million) on Goodwill due to the impact of the slowdown in the luxury market.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9. PROPERTY, PLANT AND EQUIPMENT

	Land and land improvements	Buildings and building improvements	Machinery, furniture, and equipment	Leasehold improvements	Construction in progress	Vineyards	Total
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Cost:							
Balances at 1 January 2023	1,644.6	2,384.7	1,654.9	1,774.5	300.5	30.0	7,789.2
Additions	158.0	155.4	137.3	106.6	571.2	3.9	1,132.4
Acquisitions through business combinations	4.4	15.5	4.0	0.4	-	-	24.3
Disposals	(2.3)	(30.9)	(57.8)	(49.9)	(7.3)	(0.8)	(149.0)
Transfers within PPE	4.5	107.0	99.2	192.0	(403.0)	0.3	-
Transfers to assets held for sale (Note 16)	(1.2)	-	-	-	-	-	(1.2)
Exchange differences	41.3	82.7	41.3	27.5	8.5	0.2	201.5
Balances at 31 December 2023	1,849.3	2,714.4	1,878.9	2,051.1	469.9	33.6	8,997.2
Additions	347.6	153.0	209.1	305.1	667.3	1.1	1,683.2
Acquisitions through business combinations	3.1	6.5	3.6	0.7	-	-	13.9
Disposals	(0.8)	(13.6)	(50.2)	(74.5)	(1.7)	(0.2)	(141.0)
Transfers to investment property (Note 10)	-	(2.8)	-	-	-	-	(2.8)
Transfers within PPE	78.2	35.0	59.2	118.2	(291.2)	0.6	-
Exchange differences	(99.8)	(166.3)	(111.0)	(97.2)	(35.9)	(0.5)	(510.7)
Balances at 31 December 2024	2,177.6	2,726.2	1,989.6	2,303.4	808.4	34.6	10,039.8
Accumulated depreciation and impairment:							
Balances at 1 January 2023	4.4	860.7	1,087.7	1,037.0	2.9	13.8	3,006.5
Disposals	(0.1)	(29.4)	(53.3)	(44.2)	-	(0.6)	(127.6)
Depreciation expense	0.5	90.2	133.4	180.8	-	1.6	406.5
Impairment losses	-	-	1.1	0.3	-	-	1.4
Exchange differences	0.1	28.0	22.4	9.2	(0.6)	0.1	59.2
Balances at 31 December 2023	4.9	949.5	1,191.3	1,183.1	2.3	14.9	3,346.0
Disposals	-	(12.6)	(44.5)	(59.9)	-	(0.1)	(117.1)
Depreciation expense	0.5	97.8	154.9	219.1	-	1.9	474.2
Impairment losses	-	0.5	0.2	45.3	-	-	46.0
Exchange differences	(0.2)	(53.0)	(74.0)	(57.7)	(0.4)	(0.1)	(185.4)
Balances at 31 December 2024	5.2	982.2	1,227.9	1,329.9	1.9	16.6	3,563.7
Carrying amount at 31 December 2023	1,844.4	1,764.9	687.6	868.0	467.6	18.7	5,651.2
Carrying amount at 31 December 2024	2,172.4	1,744.0	761.7	973.5	806.5	18.0	6,476.1

In 2024, the Group recognised \$46.0 million of impairment losses (2023: \$1.4 million) across Fashion Retail boutiques that have been impacted by the luxury market slowdown.

	2024 \$ millions	2023 \$ millions
Contractual commitments related to Property, plant and equipment	830.7	453.5
Borrowings secured by Property, plant and equipment	274.9	337.1

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

10. INVESTMENT PROPERTY

	2024	2023
	\$ millions	\$ millions
Cost:		
Balance at 1 January	102.3	100.2
Transfers from PPE (Note 9)	2.8	-
Exchange differences	(4.3)	2.1
Balance at 31 December	<u>100.8</u>	<u>102.3</u>
Accumulated depreciation and impairment:		
Balance at 1 January	39.7	36.8
Depreciation expense	3.1	2.6
Exchange differences	(1.6)	0.3
Balance at 31 December	<u>41.2</u>	<u>39.7</u>
Carrying amount at 31 December	<u>59.6</u>	<u>62.6</u>
Fair value at 31 December	<u>197.0</u>	<u>209.4</u>

As of 31 December 2024 and 2023, investment property consisted of land and buildings in Europe and the United States. Portions of these properties are leased to third parties as operating leases (Note 11) and rental income received is fixed under the contracts.

There were no capitalised borrowing costs recognised in 2024 and 2023 related to investment property. As of 31 December 2024, no borrowings were secured by investment properties (2023: \$nil).

Amounts recognised in the Consolidated Statement of Income:

	2024	2023
	\$ millions	\$ millions
Rental income	<u>7.0</u>	<u>6.4</u>
Direct operating expenses	<u>4.0</u>	<u>5.5</u>

There were no impairment losses recognised related to investment properties in 2024 or 2023.

Fair value

The Group periodically obtains third-party valuations related to its investment properties. The valuations consider transaction prices for similar properties in the surrounding area as well as other factors relevant to the location of the buildings. Fair value was based on a market approach and considered observable factors such as existing rents, lease term of the property, and current market prices for similar properties. In accordance with IFRS 13, the fair value of the buildings is within Level 2 of the fair value hierarchy. There were no changes to the methods and assumptions in determining fair value from the prior year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

11. LEASES

The Group as lessee

Right-of-use assets

The Group's real estate leases are composed primarily of land and buildings for its boutiques and offices.

Machinery and equipment leases include vehicles, IT, office, manufacturing and distribution equipment. Changes in right-of-use assets by underlying asset type during the period are as follows:

	Real Estate	Machinery and Equipment	Total
	\$ millions	\$ millions	\$ millions
Gross:			
Balance at 1 January 2023	3,076.3	19.4	3,095.7
New leases	376.7	9.9	386.6
Remeasurements	194.5	0.8	195.3
Leases terminated	(65.9)	(5.9)	(71.8)
Acquired through business combinations	1.7	0.2	1.9
Transfers from intangible assets (Note 8)	29.3	-	29.3
Lease properties acquired	(26.1)	-	(26.1)
Exchange differences	24.2	0.8	25.0
Balance at 31 December 2023	3,610.7	25.2	3,635.9
 New leases	593.8	10.9	604.7
Remeasurements	263.2	1.2	264.4
Leases terminated	(146.3)	(6.5)	(152.8)
Acquired through business combinations	6.4	0.1	6.5
Transfers from intangible assets (Note 8)	32.5	-	32.5
Lease properties acquired	(36.2)	-	(36.2)
Exchange differences	(147.8)	(1.6)	(149.4)
Balance at 31 December 2024	4,176.3	29.3	4,205.6
 Accumulated depreciation and impairment:			
Balance at 1 January 2023	1,182.6	10.8	1,193.4
Depreciation expense	371.1	6.7	377.8
Impairment losses	3.1	-	3.1
Leases terminated	(63.3)	(5.8)	(69.1)
Lease properties acquired	(4.3)	-	(4.3)
Exchange differences	(1.5)	0.3	(1.2)
Balance at 31 December 2023	1,487.7	12.0	1,499.7
 Depreciation expense	409.8	7.9	417.7
Impairment losses	2.3	-	2.3
Leases terminated	(118.5)	(6.1)	(124.6)
Transfers from intangible assets (Note 8)	25.7	-	25.7
Lease properties acquired	(28.7)	-	(28.7)
Exchange differences	(61.3)	(0.8)	(62.1)
Balance at 31 December 2024	1,717.0	13.0	1,730.0
 Carrying amount at 31 December 2023	2,123.0	13.2	2,136.2
 Carrying amount at 31 December 2024	2,459.3	16.3	2,475.6

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Right-of-use assets impairment

As a part of the Group's impairment review, \$2.3 million of impairment losses were recognised in 2024 (2023: \$3.1 million). In estimating the value for calculating impairment charges, potential alternative uses for property, such as subletting a leasehold or surrendering the property to the landlord at a cost were considered.

Lease liabilities

Changes in lease liabilities during the period are as follows:

	Current \$ millions	Non-current \$ millions	Total \$ millions
Balance at 1 January 2023	316.1	1,799.8	2,115.9
New leases	24.7	362.5	387.2
Landlord contributions	9.1	-	9.1
Lease payments	(428.3)	-	(428.3)
Accrued interest	85.3	-	85.3
Leases terminated	(2.1)	(0.7)	(2.8)
Lease properties acquired	(0.5)	(21.2)	(21.7)
Acquired through business combinations	0.5	1.5	2.0
Remeasurements	28.5	129.8	158.3
Transfers	295.5	(295.5)	-
Exchange differences	2.0	21.5	23.5
Balance at 31 December 2023	330.8	1,997.7	2,328.5
 New leases	 36.4	 563.6	 600.0
Landlord contributions	3.2	-	3.2
Lease payments	(468.2)	-	(468.2)
Accrued interest	97.2	-	97.2
Leases terminated	(0.5)	(25.7)	(26.2)
Lease properties acquired	(2.8)	(5.4)	(8.2)
Acquired through business combinations	1.3	5.2	6.5
Remeasurements	22.1	232.7	254.8
Transfers	348.5	(348.5)	-
Exchange differences	(12.2)	(70.9)	(83.1)
Balance at 31 December 2024	355.8	2,348.7	2,704.5

In 2024, the Group purchased two of its leased boutiques, resulting in a lease liability reduction of \$8.2 million.

In 2023, the Group purchased one of its leased manufacturing plants, one of its leased fashion boutiques and one of its leased offices, resulting in a lease liability reduction of \$21.7 million.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Maturity analysis of lease liabilities, showing the undiscounted lease payments to be paid after the reporting date:

	2024	2023
	\$ millions	\$ millions
Less than one year	446.4	414.2
One to two year	437.1	387.8
Two to three year	406.9	360.2
Three to four year	353.6	322.2
Four to five year	291.4	266.0
More than five years	1,551.2	1,050.6
	<u>3,486.6</u>	<u>2,801.0</u>

The Group does not face a significant liquidity risk with regard to its lease liabilities.

Lease payments not recognised as a liability

The Group has elected not to recognise a lease liability for short-term leases or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis. The expenses relating to payments not included in the measurement of the lease liability and for variable lease payments which are not dependent on an index or a rate, are as follows:

	2024	2023
	\$ millions	\$ millions
Expenses relating to short-term leases	14.6	15.9
Expenses relating to low value assets	5.4	6.1
Expenses relating to variable lease payments	705.6	737.1
	<u>725.6</u>	<u>759.1</u>

Variable lease payments based on sales

Some leases contain variable lease payments that are based on sales made within a particular store. Total fixed and variable lease payments were \$468.2 million (2023: \$428.3 million) and \$705.6 million (2023: \$737.1 million), respectively, as of 31 December 2024. Overall, the variable payments constitute 59.1% (2023: 62.1%) of the Group's entire lease payments. The variable payments are dependent on sales and are expected to represent a similar proportion of total lease payments in future years.

Extension options

Some real estate leases contain extension options. The Group assesses whether it is reasonably certain to exercise the options at lease commencement and subsequently, if there is a change in circumstances within its control. Such assessment involves management judgement and estimate based on information at the time the assessments are made. Extension options are included in the lease term when the group has an economic incentive to exercise the option. The Group considers available evidence at the time of the assessment, including potential favourable terms upon extension, potential termination penalties, the relative costs associated with potential relocation or termination of the lease and the extent of leasehold improvements undertaken. The total amount of undiscounted potential future lease payments not included in the lease liability is \$853.7 million (2023: \$788.7 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Leases not yet commenced to which the Group is committed

Future cash flows of leases not yet commenced at the reporting date and, therefore, not included in the lease liability at the reporting date are \$122.7 million (2023: \$297.9 million).

2023 lease commitments included an agreement for the lease of 38 Berkeley Square as part of the expansion of the Group's global headquarters in London with a lease term of 20 years and a renewal option period of 10 years. The lease has commenced in the fourth quarter of 2024 and is included under New leases within ROU assets and Lease liabilities.

The Group as lessor

Leases receivables

Lease income from lease contracts in which the Group acts as a lessor:

	2024	2023
	\$ millions	\$ millions
Finance lease		
Finance income on the net investment in the lease	0.8	0.9
Operating lease		
Lease income	16.3	22.0
	17.1	22.9

The income recognised during the year from subletting right-of-use assets was \$9.0 million (2023: \$8.3 million).

Operating leases

The Group leases its investment property and some leased properties to third parties that are considered operating leases since they do not transfer substantially all of the risks and rewards incidental to the ownership of the assets. Refer to Note 10 for additional information regarding investment property operating leases.

Maturity analysis of operating lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2024	2023
	\$ millions	\$ millions
Less than one year	14.2	13.2
One to two years	10.6	8.7
Two to three years	6.3	4.4
Three to four years	4.9	3.9
Four to five years	4.3	3.7
More than five years	8.0	8.7
Total undiscounted lease payments	48.3	42.6

Finance leases

The Group sublets some office and boutique space that are considered finance leases, since the sublease is for a significant portion of the remaining term of the head lease.

	2024	2023
	\$ millions	\$ millions
Non-current finance lease receivables	11.1	15.9
Current finance lease receivables	4.8	4.4
	15.9	20.3

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Maturity analysis of finance lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2024	2023
	\$ millions	\$ millions
Less than one year	5.3	5.2
One to two years	5.5	5.3
Two to three years	5.7	5.5
Three to four years	0.5	5.6
Four to five years	-	0.5
Total undiscounted lease payments receivable	17.0	22.1
Unearned finance income	(1.1)	(1.8)
Net investment in lease	15.9	20.3

12. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

	2024	2023
	\$ millions	\$ millions
As at 1 January	710.5	454.6
Additions	80.7	270.9
Transfers to Assets held for sale (Note 16)	(71.4)	-
Transfers to Investment in subsidiaries	-	(92.4)
Dividends received	(24.2)	(9.1)
Share of profit*	89.4	55.3
Impairment	(12.0)	-
Adjustments and exchange differences	(51.4)	31.2
As at 31 December	721.6	710.5

*In 2023, Equity Income on Investments in the Consolidated Statement of Income consisted of Share of profit of \$55.3 million and \$34.4 million gain on fair value of Investments in Associates during step acquisition.

In general, the Group holds ordinary shares in its Investments in Associates and Joint Ventures. A list of the Associates and Joint Ventures is disclosed in Note V.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Aggregate financial information of associates and joint ventures is as follows:

	2024			2023		
	\$ millions			\$ millions		
	Key associates ¹	Other	Total	Key associates ¹	Other	Total
Total assets	984.2	888.9	1,873.1	1,022.6	609.4	1,632.0
Total liabilities	196.9	585.0	781.9	337.8	451.0	788.8
Net assets	787.3	303.9	1,091.2	684.8	158.4	843.2
Total revenue	863.6	452.0	1,315.6	648.5	543.5	1,192.0
Total profit for the period, net	142.7	81.1	223.8	95.2	76.3	171.5
Group's share of profit from associates and joint ventures, net	67.5	21.9	89.4	40.3	49.4	89.7

¹ Key associates that are individually significant to the Group are denoted in Note V.

As of 31 December 2024, the Group's aggregate off balance sheet commitment to purchase additional shares in Associates is \$873.8 million (2023: \$1,056.9 million). The values disclosed are based on the Group's best estimate and are subject to variances that may occur to the underlying business and the ultimate timing of cash flows. The expected maturity schedule of these commitments is as follows:

2024	Less than 1 year	1-5 years	5+ years	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Aggregate contractual commitments related to investments in associates	559.3	255.7	58.8	873.8
	559.3	255.7	58.8	873.8
2023	Less than 1 year	1-5 years	5+ years	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Aggregate contractual commitments related to investments in associates	-	895.8	161.1	1,056.9
	-	895.8	161.1	1,056.9

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

13. INCOME TAXES

The major components of income tax expense were as follows:

	2024	2023
	\$ millions	\$ millions
Consolidated Statement of Income:		
Current income tax expense	1,390.9	1,808.0
Deferred income tax benefit	(85.7)	(157.2)
Income tax expense recognised in the Consolidated Statement of Income	<u>1,305.2</u>	<u>1,650.8</u>
Consolidated Statement of Comprehensive Income:		
Effect of actuarial losses / (gains) on defined benefit pension plans	2.9	(12.0)
Cash flow hedge	(3.5)	(14.8)
Unrealised (gains) / losses on FVOCI assets	(0.1)	0.4
Tax income recognised in OCI	<u>(0.7)</u>	<u>(26.4)</u>

A reconciliation between income tax expense and the Group's accounting profit before income tax multiplied by the blended statutory tax rate of the Group is as follows:

	2024	2023
	<i>as a % of pre-tax income</i>	
Blended statutory rate amongst tax jurisdictions	23.0%	22.6%
Effect of permanent differences	0.7%	-0.1%
Change in tax rates	-0.1%	0.0%
Taxes on distributions and unremitted earnings	0.8%	1.6%
Withholding tax on the intercompany sale of a subsidiary	3.4%	0.0%
Adjustments in respect of prior years	-0.3%	0.0%
Other	0.2%	1.8%
Effective tax rate	<u>27.7%</u>	<u>25.9%</u>

The blended statutory rate represents the aggregation of the tax imposed on the taxable income contributed to the Group at the applicable corporate tax rate in each jurisdiction.

The components of current income tax receivables were as follows:

	2024	2023
	\$ millions	\$ millions
Tax refund receivable	146.8	115.2
Other	2.9	6.8
Income taxes receivable	<u>149.7</u>	<u>122.0</u>

As of 31 December 2024, the Group had \$432.8 million (2023: \$576.0 million) current income tax liabilities.

The Group operates in a complex and evolving international tax environment and therefore, is subject to tax and intercompany pricing laws and regulations in multiple jurisdictions. In particular, international transfer pricing and

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

the application of the Organization for Economic Co-operation and Development ("OECD") policies are areas of taxation that depend heavily on detailed understanding of the underlying facts, flows and circumstances and generally involves a significant degree of judgement. Accordingly, within current income tax liabilities, \$143.6 million is allocated to uncertain tax positions (2023: \$153.2 million), with \$129.5 million (2023: \$134.9 million) specifically related to transfer pricing.

With the dynamic nature of international tax regulations and increased scrutiny surrounding transfer pricing practices, the Group has taken a proactive approach to account for potential liabilities arising from these uncertainties. This provision underscores our commitment to transparency and responsible financial reporting, ensuring that we address potential tax risks with prudence and foresight.

A subsidiary of the group is subject to a material tax assessment which it is rigorously defending. No provision has been made for this assessment which is considered remote and to have no technical merit.

The following is a roll-forward of net deferred tax assets:

2024 \$ millions	Opening balance	Recognised in Statement of Income	Recognised in OCI	Acquisitions	Exchange differences	Closing balance
Product-related provisions	407.9	60.5	-	-	(22.8)	445.6
Promotional inventory provisions	48.6	6.8	-	-	(2.5)	52.9
Other provisions	145.0	10.7	-	0.1	(2.4)	153.4
Retirement benefit obligations	43.6	2.3	(2.9)	0.1	(0.5)	42.6
Undistributed foreign earnings	(80.3)	(10.6)	-	-	-	(90.9)
PPE, intangibles and software as a service	(17.9)	9.1	-	-	(0.6)	(9.4)
Other	94.8	6.9	3.6	0.3	(5.0)	100.6
	<u>641.7</u>	<u>85.7</u>	<u>0.7</u>	<u>0.5</u>	<u>(33.8)</u>	<u>694.8</u>
Deferred income tax assets						832.1
Deferred income tax liabilities						<u>(137.3)</u>
						<u>694.8</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2023 \$ millions	Opening balance	Recognised in Statement of Income	Recognised in OCI	Acquisitions	Exchange differences	Closing balance
Product-related provisions	296.3	114.6	-	-	(3.0)	407.9
Promotional inventory provisions	39.5	8.7	-	-	0.4	48.6
Other provisions	112.5	30.6	-	(2.8)	4.7	145.0
Retirement benefit obligations	27.4	5.5	12.0	0.3	(1.6)	43.6
Undistributed foreign earnings	(84.6)	4.3	-	-	-	(80.3)
PPE, intangibles and software as a service	(11.0)	(6.8)	-	1.1	(1.2)	(17.9)
Other	74.0	0.3	14.4	4.1	2.0	94.8
	<u>454.1</u>	<u>157.2</u>	<u>26.4</u>	<u>2.7</u>	<u>1.3</u>	<u>641.7</u>
Deferred income tax assets						782.0
Deferred income tax liabilities						<u>(140.3)</u>
						<u>641.7</u>

As of 31 December 2024, the Group had unused tax losses of \$332.3 million (2023: \$351.2 million) for which no deferred tax asset is recognised in the Statement of Financial Position. The majority of these tax losses and deductible temporary differences may be carried forward for an indefinite period of time. The Group did not utilise any unrecognised tax loss carry-forwards during 2024 or 2023.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

14. TRADE RECEIVABLES AND OTHER ASSETS

	2024		2023	
	Current	Non-current	Current	Non-current
	\$ millions	\$ millions	\$ millions	\$ millions
Financial ^(a)				
Trade receivables	1,359.8	-	1,428.8	-
Derivatives	3.6	-	8.9	-
Other assets	218.4	227.9	152.0	355.4
Prepayments and accrued credit notes	25.7	10.7	31.0	132.6
Interest receivable	10.3	-	25.0	-
Deposits	2.2	49.5	9.1	52.2
Finance lease receivables	4.8	11.1	4.4	15.9
Equity investments	0.1	84.9	1.0	91.4
Other	175.3	71.7	81.5	63.3
	<u>1,581.8</u>	<u>227.9</u>	<u>1,589.7</u>	<u>355.4</u>
Non-financial				
Other taxes receivable	288.2	-	355.0	-
Cash surrender value of corporate-owned life insurance	-	197.8	-	199.1
Prepaid expenses	171.1	-	144.2	-
Advances to suppliers	149.5	-	138.7	-
Software as a service prepaid assets	5.5	6.3	3.2	6.3
Other	14.7	26.2	12.7	17.8
	<u>629.0</u>	<u>230.3</u>	<u>653.8</u>	<u>223.2</u>
Total trade receivables and other assets	<u>2,210.8</u>	<u>458.2</u>	<u>2,243.5</u>	<u>578.6</u>

^(a) See Note 21

Trade receivables consisted of the following:

	2024	2023
	\$ millions	\$ millions
Gross trade receivables	1,386.8	1,440.9
Provision for expected credit losses	(27.0)	(12.1)
Net carrying amount	<u>1,359.8</u>	<u>1,428.8</u>
Ageing of trade receivables:		
Not past due	1,157.0	1,222.8
Less than one month past due	157.2	148.7
Greater than one month past due	72.6	69.4
	<u>1,386.8</u>	<u>1,440.9</u>

Trade receivables relating to the Group's wholesale activities have payment terms that are generally less than three months.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Ageing of provision for expected credit loss:

Not past due	(1.6)	(1.9)
Past due	(25.4)	(10.2)
	<u>(27.0)</u>	<u>(12.1)</u>

Movement in the provision for expected credit losses is as follows:

	2024	2023
	\$ millions	\$ millions
Balance at 1 January	(12.1)	(11.3)
Expected credit losses	(17.6)	(2.4)
Amounts recovered during the year	0.9	0.9
Amounts written off as uncollectible	0.5	0.8
Reversals of impairment losses charged to profit or loss	0.2	0.4
Exchange differences	1.1	(0.5)
Balance at 31 December	<u>(27.0)</u>	<u>(12.1)</u>

15. INVENTORIES

	2024	2023
	\$ millions	\$ millions
Finished goods	2,066.1	1,967.1
Raw materials	545.6	556.0
Work in process	227.3	237.3
Component inventory	241.7	248.2
Reserves	(771.0)	(624.9)
	<u>2,309.7</u>	<u>2,383.7</u>

The cost of inventories recognised in the Group's Consolidated Statement of Income was \$3,019.6 million (2023: \$3,184.3 million). In addition, the Group recognised \$463.3 million (2023: \$274.6 million) of provisions in cost of sales, which represents the write-down, net of reversals, of inventory to net realisable value. Reversals occur in the event that stock previously provided for has been sold in the current year. Total reversals of provisions for finished goods inventory sold above cost was \$55.8 million (2023: \$72.2 million). Management considers that a 1% variation on an estimate of sell-through of previous collections would have an impact on the inventory provision of \$22.3 million (2023: \$20.6 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16. ASSETS HELD FOR SALE

	2024 \$ millions	2023 \$ millions
As at 1 January	6.4	101.6
Transfers from Investments in associates (Note 12)	71.4	-
Transfers from PPE	-	1.2
Disposals	(2.0)	(96.2)
Exchange differences	(0.3)	(0.2)
As at 31 December	<u>75.5</u>	<u>6.4</u>

In 2024, the Group transferred an Investment in Associate to Assets held for sale due to a Letter of Intent that was signed during 2024. The sale is expected to close within 12 months of the reporting date. There is a balance of \$118.1 million within Other Current Financial Assets (refer to Note 14) which is associated with this Asset held for sale. The remaining Assets held for sale balance is comprised of real estate assets held by the Group in various markets.

17. BORROWINGS

Borrowings consisted of the following:

2024							
	Current	2026	2027	2028	2029	Beyond	Unamortised debt issuance cost
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	Balance at 31 Dec
Senior notes	-	387.3	-	196.8	100.0	1,662.3	(3.8)
Sustainability-linked guaranteed notes	-	310.7	-	-	-	310.7	(2.8)
Bank debt	97.0	2.8	1.6	271.3	1.1	1.9	(2.0)
Bank overdrafts	430.6	-	-	-	-	-	-
	<u>527.6</u>	<u>700.8</u>	<u>1.6</u>	<u>468.1</u>	<u>101.1</u>	<u>1,974.9</u>	<u>(8.6)</u>
							<u>3,765.5</u>
2023							
	Current	2025	2026	2027	2028	Beyond	Unamortised debt issuance cost
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	Balance at 31 Dec
Senior notes	200.0	-	401.4	-	209.8	1,051.4	(2.3)
Sustainability-linked guaranteed notes	-	-	331.3	-	-	331.3	(3.8)
Bank debt	409.8	1.8	1.3	0.6	0.6	4.7	(0.3)
Bank overdrafts	754.3	-	-	-	-	-	-
	<u>1,364.1</u>	<u>1.8</u>	<u>734.0</u>	<u>0.6</u>	<u>210.4</u>	<u>1,387.4</u>	<u>(6.4)</u>
							<u>3,691.9</u>

Of the total borrowings, \$3,053.3 million is unsecured (2023: \$2,526.8 million), \$430.6 million relates to overdrafts secured against the positive cash balance in the notional cash pool (2023: \$754.3 million) and \$281.6 million is secured against assets of the Group (2023: \$410.8 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Senior Notes issued through a Private Placement

Nominal amount (in local currency)	Date of issuance	Maturity	Interest rate (%)	2024 \$ millions	2023 \$ millions
USD 200 million	2014	2024	3.77%	-	200.0
USD 175 million	2014	2026	3.92%	175.0	175.0
USD 100 million	2014	2029	4.07%	100.0	100.0
USD 125 million	2014	2034	4.59%	125.0	125.0
EUR 205 million	2016	2026	1.84%	212.3	226.4
EUR 190 million	2016	2028	2.04%	196.8	209.8
EUR 115 million	2016	2031	2.28%	119.1	127.0
EUR 90 million	2016	2036	2.75%	93.2	99.4
USD 75 million	2020	2030	2.45%	75.0	75.0
USD 175 million	2020	2032	2.55%	175.0	175.0
USD 175 million	2020	2035	2.70%	175.0	175.0
USD 175 million	2020	2040	3.20%	175.0	175.0
EUR 400 million	2024	2034	4.00%	414.3	-
EUR 300 million	2024	2036	4.10%	310.7	-
				<u>2,346.4</u>	<u>1,862.6</u>

The fair value of the Senior notes and Bank debt is materially the same as the carrying value.

The Group is required to comply with certain covenants contained within the four individual Note Purchase Agreements (the "Agreements"). These covenants are aligned across all four Agreements and contain customary representations and warranties as well as customary affirmative and negative covenants, including but not limited to, restrictions on incurrence of additional debt, liens, asset sales, investments, mergers, acquisitions, and affiliate transactions. Events of default permitting acceleration under the agreements include, among others, non-payment of principal or interest, covenant defaults, material breaches of representations and warranties, bankruptcy and insolvency events, and certain other defaults. Financial covenants defined in the Agreements and listed below are required to be tested semi-annually at 30 June and annually at the reporting date of 31 December.

- **Indebtedness Ratio** – consolidated total net debt to adjusted consolidated Earnings Before Interest, Taxes, Depreciation, and Amortisation ("EBITDA") to be less than 3.25 to 1.0 for the applicable 12-month period.
- **Fixed Charges Coverage Ratio** – consolidated Earnings Before Interest, Taxes, Depreciation, Amortisation, and Rent ("EBITDAR") to consolidated fixed charges to be greater than 2.0 to 1.0 for the applicable 12-month period.
- **Consolidated Priority Indebtedness** – not to exceed 15% of consolidated total assets.

The Group was in compliance with these covenants throughout the year and as of 31 December 2024.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Sustainability-Linked Guaranteed Notes issued on the Luxembourg Stock Exchange

The terms and carrying amounts are as follows:

Issue type	Currency	Principal amount	Maturity year	Interest rate	Issue price	Carrying amount at 31 December 2024 \$ millions	Carrying amount at 31 December 2023 \$ millions
Bond, Fixed rate	Euro	300.0m	2026	0.50%	99.726%	310.1	330.1
Bond, Fixed rate	Euro	300.0m	2031	1.00%	99.400%	308.5	328.7
						<u>618.6</u>	<u>658.8</u>

The Notes bear interest beginning with the issuance date of 1 October 2020 that is payable annually in arrears on 31 July in each year. A premium of 50bps and 75bps would be payable on the principal amounts of the Notes upon maturity in 2026 and 2031, respectively, if specific sustainability targets are not met.

The quoted fair value of the Sustainability-Linked Guaranteed Notes are as follows:

Issue type	Currency	Principal amount	Maturity year	Fair value at 31 December 2024 \$ millions	Fair Value at 31 December 2023 \$ millions
Bond, Fixed rate	Euro	300.0m	2026	300.4	308.9
Bond, Fixed rate	Euro	300.0m	2031	267.0	279.3
				<u>567.4</u>	<u>588.2</u>

Bank Overdrafts

Bank overdrafts of \$430.6 million (2023: \$754.3 million) are predominantly balances held in the Group's notional cash pooling arrangements.

Reconciliation of borrowings arising from financing activities:

	1 January 2024 \$ millions	Cash flows \$ millions	Non-cash changes		31 December 2024 \$ millions
			Reclassifications from long-term to short-term and other \$ millions	Foreign exchange movements \$ millions	
Long-term borrowings	2,327.8	1,045.2	(1.5)	(133.6)	3,237.9
Short-term borrowings	1,364.1	(806.9)	1.5	(31.1)	527.6
Total third-party borrowings	<u>3,691.9</u>	<u>238.3</u>	<u>-</u>	<u>(164.7)</u>	<u>3,765.5</u>

	1 January 2023 \$ millions	Cash flows \$ millions	Non-cash changes		31 December 2023 \$ millions
			Reclassifications from long-term to short-term and other \$ millions	Foreign exchange movements \$ millions	
Long-term borrowings	2,803.0	(319.6)	(200.9)	45.3	2,327.8
Short-term borrowings	195.5	936.2	200.9	31.5	1,364.1
Total third-party borrowings	<u>2,998.5</u>	<u>616.6</u>	<u>-</u>	<u>76.8</u>	<u>3,691.9</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Refer to Note 11 Leases for reconciliation on movements of lease liabilities.

The Group's borrowings are denominated in the following currencies:

	2024	2023
	\$ millions	\$ millions
Euro	2,617.9	2,326.7
US dollar	1,011.8	1,202.8
Swiss franc	104.1	111.4
Sterling	17.2	31.9
Japanese yen	7.3	5.9
Other	7.2	13.2
	3,765.5	3,691.9

The Group's borrowings are subject to fixed and floating interest rates as follows:

	2024	2023
	\$ millions	\$ millions
Fixed rate borrowings	3,056.9	2,598.4
Floating rate borrowings	278.0	339.2
	3,334.9	2,937.6

The Group has fixed rate borrowings ranging from 0.5% to 4.59% and maturing through to 2040. The majority of floating rate borrowings have a 3-month Euribor + 0.95%.

\$430.6 million of borrowings relates to balances held in the Group's notional cash pooling arrangements. This does not bear any interest costs, given that the notional cash pool is in a net positive position.

Lines of Credit

As of 31 December 2024, the Group had confirmed lines of credit totalling \$1,608.9 million (2023: \$1,362.3 million). The most significant line of credit relates to a syndicated revolving credit facility totalling \$864.9 million (2023: \$922.1 million). The terms of the facility include: an arrangement and participation fee; a commitment fee; a utilisation fee; an extension fee; an agency fee; and a margin and will result in an all-in financing cost between 0.66% and 1.21% plus the appropriate reference rate. The Group is subject to the same covenants on this line of credit as its Private Placement arrangements. The facility has not been utilised to date. The facility expires in May 2028. Other lines of credit are held by Group entities, including a partially drawn down facility used to acquire real estate.

As of 31 December 2024, total outstanding borrowings against other lines of credit were \$357.3 million (2023: \$72.8 million).

Letters of Credit

As of 31 December 2024, the Group had letters of credit of \$32.5 million (2023: \$24.4 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

18. RETIREMENT BENEFIT OBLIGATIONS

Defined Contribution Plans

The Group operates a number of defined contribution retirement benefit plans for all qualifying employees. The assets of the plan are held separately from those of the Group in funds under administration by trustees. The Group recognised an expense of \$92.0 million (2023: \$76.1 million) related to its defined contribution plans in 2024. The Group is required to contribute a specified percentage of payroll costs to the retirement benefit plan to fund the benefits. The only obligation of the Group with respect to the retirement benefit plan is to make the specified contributions.

Defined Benefit Plans

The Group operates defined benefit retirement plans in various locations, with its most significant plans in the U.S., France and the U.K. Disclosures presented below for defined benefit plans include the executive retiree medical plans.

The defined benefit plans expose the Group to certain risks, such as interest rate risk, mortality risk, and salary risk.

- Interest rate risk – A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plans' debt investments.
- Mortality risk – The present value of the defined benefit plan liability is calculated using the best estimate of the mortality of plan participants during and after their employment. An increase in the life expectancy of the plan participants will increase the plans' liability.
- Salary risk – The present value of the defined benefit plan liability is calculated using the future salaries of plan participants. An increase in the salary of the plan participants will increase the plans' liability.

The most recent valuation was performed by the Group's actuaries as of 31 December 2024. The present value of the defined benefit obligation and all of its related components were measured using the projected unit credit method.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The principal assumptions used for the valuations of the defined benefit plans that are presented below based on a weighted average of the applicable locations were as follows:

	<u>2024</u>	<u>2023</u>
Discount rate		
- US	5.4%	4.8%
- France	3.4%	3.2%
- UK	5.5%	4.5%
- Other	5.8%	5.7%
Expected rate of salary increase		
- US	3.6%	4.1%
- France	3.6%	3.6%
- UK	4.0%	3.0%
- Other	5.0%	5.0%
The average life expectancy in years of pensioner retiring at age 65:		
Male	21.9	22.0
Female	23.5	23.9

Amounts recognised in the Consolidated Statement of Income and Consolidated Statement of Comprehensive Income with respect to the defined benefit plans were as follows:

	<u>Defined Benefit Plans</u>	
	<u>2024</u>	<u>2023</u>
	<u>\$ millions</u>	<u>\$ millions</u>
Service cost:		
Current service cost, including administrative expenses	62.9	57.8
Settlements	(5.0)	(5.3)
Total service cost, including administrative expenses	57.9	52.5
Past service cost due to pension reform	-	(10.0)
Net interest cost	7.8	5.3
Components of defined benefit costs recognised in Consolidated Statement of Income	65.7	47.8
Remeasurements on the net defined benefit liability:		
Return on plan assets, excluding amounts included in net interest	8.9	(19.0)
Actuarial gains due to changes in demographic assumptions	(7.0)	(2.7)
Actuarial (gains) / losses due to changes in financial assumptions	(71.3)	35.7
Actuarial losses due to experience adjustments	65.6	40.4
Components of defined benefit costs recognised in other comprehensive income	(3.8)	54.4
Components of defined benefit costs recognised in Consolidated Statement of Comprehensive Income	61.9	102.2

Accumulated actuarial losses recognised in shareholder's equity were \$159.9 million as of 31 December 2024 (2023: \$163.7 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The amounts included in the Consolidated Statement of Financial Position with respect to the defined benefit plans were as follows:

	Defined Benefit Plans	
	2024	2023
	\$ millions	\$ millions
Present value of funded defined benefit obligation	(908.0)	(918.6)
Fair value of plan assets	972.8	981.4
Funded surplus	64.8	62.8
Present value of unfunded defined benefit obligation	(238.6)	(237.9)
Net liability on Consolidated Statement of Financial Position	(173.8)	(175.1)
Net retirement benefit assets	116.6	91.9
Net retirement benefit obligations	(290.4)	(267.0)
	(173.8)	(175.1)

Movements in the present value of the defined benefit obligation were as follows:

	Defined Benefit Plans	
	2024	2023
	\$ millions	\$ millions
Defined benefit obligation, at 1 January	1,156.5	1,021.9
Current service cost	60.6	56.1
Interest cost	43.8	42.4
Contributions from plan participants	3.8	3.3
Past service cost due to pension reform	-	(10.0)
Reclassifications	2.6	2.4
Actuarial gains due to changes in demographic assumptions	(7.0)	(2.7)
Actuarial (gains) / losses due to changes in financial assumptions	(71.3)	35.7
Actuarial losses due to experience adjustments	65.6	40.4
Benefits paid	(59.0)	(45.8)
Settlements	(5.0)	(5.3)
Exchange differences	(44.0)	18.1
Defined benefit obligation, at 31 December	1,146.6	1,156.5

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Movements in the fair value of the plan assets were as follows:

	Defined Benefit Plans	
	2024	2023
	\$ millions	\$ millions
Fair value of plan assets, at 1 January	981.4	921.6
Interest income	36.0	37.1
Return on plan assets, excluding amounts in interest income	(8.9)	19.0
Contributions from the employer	63.1	28.3
Contributions from plan participants	3.8	3.3
Benefits paid	(59.0)	(45.8)
Administrative expenses paid	(2.3)	(1.7)
Exchange differences	(41.3)	19.6
Fair value of plan assets, at 31 December	<u>972.8</u>	<u>981.4</u>

The fair value of the plan assets at 31 December 2024 and 31 December 2023 for each category is as follows:

	2024			2023		
	Quoted	Unquoted	Total	Quoted	Unquoted	Total
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Insurance contracts	190.2	7.1	197.3	220.0	6.1	226.1
Equity securities	227.7	-	227.7	223.9	-	223.9
Corporate bonds	266.9	-	266.9	188.0	-	188.0
Government bonds	98.5	-	98.5	96.4	-	96.4
Cash	3.7	69.6	73.3	81.6	62.8	144.4
Property	36.3	19.8	56.1	36.6	20.4	57.0
Other	48.2	4.8	53.0	41.8	3.8	45.6
	<u>871.5</u>	<u>101.3</u>	<u>972.8</u>	<u>888.3</u>	<u>93.1</u>	<u>981.4</u>

The Group's funding policy is to contribute an amount that maintains a level of funding in the funded plans that is consistent and is sound on an actuarial basis, while remaining compliant with current pension laws. The Group targets an overall funding level of 80% - 120% in each of its plans. The Group is committed to make a contribution of \$32.9 million with additional contributions of \$2.2 million expected, in 2025.

The average duration of the defined benefit obligation is 12.7 years (2023: 12.4 years).

The significant assumptions used in determining the defined benefit obligation are the discount rate, expected rate of salary increase, and life expectancy. The sensitivity analysis below has been determined based on possible changes to the significant assumptions while holding all other assumptions constant.

- An increase in the discount rate of half a percentage point would decrease the defined benefit obligation by \$68.7 million.
- An increase in the expected rate of salary increase of half a percentage point would increase the defined benefit obligation by \$36.4 million.
- A decrease in the mortality rate of 10% for both men and women would increase the defined benefit obligation by \$5.0 million.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The present value of the defined benefit obligation in the sensitivity analysis above has been calculated using the projected unit credit method, which is also the method used in calculating the defined benefit obligation for the consolidated statement of financial position. The sensitivity analysis may not be representative of the actual change in the defined benefit obligation. There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior year.

19. PROVISIONS

	Product- related	Asset retirement obligations	Litigation	Restructuring costs	Other	Total
	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions	\$ millions
Balances at 1 January 2024	154.6	100.3	47.9	5.3	71.1	379.2
Additional provisions recognised	127.4	17.9	51.1	17.3	51.5	265.2
Used during the year	(92.5)	(2.9)	(35.9)	(3.5)	(24.5)	(159.3)
Unused amounts reversed	(14.6)	(2.8)	(4.0)	(1.3)	(1.8)	(24.5)
Unwinding of the discount	-	1.1	-	-	-	1.1
Exchange difference	(4.0)	(4.1)	(5.0)	(2.6)	(7.4)	(23.1)
Balances at 31 December 2024	170.9	109.5	54.1	15.2	88.9	438.6
Of which, at 31 December 2024						
Non-current	5.9	107.2	7.1	0.6	52.2	173.0
Current	165.0	2.3	47.0	14.6	36.7	265.6
	170.9	109.5	54.1	15.2	88.9	438.6

Product-related provisions represent the expected refund to customers for sales returns, when the customer has a right to return the product within a given period. The expected refund is as an adjustment to revenue.

Additionally, the Group recognises a provision for Asset retirement obligations, which represents the cost to restore leased assets back to its original condition at the end of its useful life or lease term, whichever is shorter. As such, the provision is primarily long-term in nature.

Select companies in the Group are exposed to lawsuits that arise in the ordinary course of business. The Group provides for these claims appropriately but does not expect the settled outcome to have a material impact on the Consolidated Financial Statements.

Restructuring costs primarily relate to organisational restructuring programmes in select markets.

Other provisions are mainly related to long-term service awards.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20. TRADE PAYABLES AND OTHER LIABILITIES

	2024		2023	
	Current	Non-current	Current	Non-current
	\$ millions	\$ millions	\$ millions	\$ millions
Financial ^(a)				
Trade payables	1,021.4	-	1,216.1	-
Derivatives	19.3	4.9	-	-
Other liabilities	1,880.6	399.7	1,867.4	410.4
Salaries, commissions and related	810.8	-	702.1	-
Professional fees and other accrued expenses	390.9	-	385.3	-
Advertising, promotion and demonstration	190.8	-	219.9	-
Inventory accruals	151.4	-	192.2	-
Due to customers	119.8	-	140.4	-
Charitable commitments	101.0	-	123.3	30.0
Employee profit sharing	29.1	326.7	36.3	313.9
Interest payable	21.3	-	21.2	-
Share purchase commitments on non-controlling interests	-	53.2	-	49.4
Other	65.5	19.8	46.7	17.1
	<u>2,921.3</u>	<u>404.6</u>	<u>3,083.5</u>	<u>410.4</u>
Non-financial				
Other taxes payable	190.3	-	243.2	-
Customer deposits	68.0	0.6	67.2	-
Deferred compensation payable	-	58.5	-	59.7
Other	2.8	13.8	1.3	18.9
	<u>261.1</u>	<u>72.9</u>	<u>311.7</u>	<u>78.6</u>
Total trade payables and other liabilities	<u>3,182.4</u>	<u>477.5</u>	<u>3,395.2</u>	<u>489.0</u>

^(a) See Note 21

Customer deposits relate to advance payments received for sales which have not yet been delivered to the customer. The majority of these deposits received at the end of the reporting period are settled within one year. The overall change in the liability represents increases in deposits not yet recognised in revenue in the financial year offset by the settlement of the prior year obligation, which is recognised in revenue in the current financial year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

21. FINANCIAL ASSETS AND LIABILITIES

Classification

The following table shows the classes of financial instruments based on their nature and characteristics.

Financial Assets

		2024		2023	
	Notes	Current	Non-Current	Current	Non-Current
		\$ millions	\$ millions	\$ millions	\$ millions
Financial assets at amortised cost:					
Trade receivables	14	1,359.8	-	1,428.8	-
Cash and cash equivalents	22	2,291.2	-	5,462.5	-
Time deposits*		2,735.0	-	3,370.0	-
Fixed income investments		480.5	128.5	250.8	159.6
Treasury bills		6.0	-	246.2	-
Other	14	218.3	143.0	151.0	264.0
Financial assets at FVOCI:					
Listed equity investments	14	-	3.4	-	3.5
Non-listed equity investments	14	0.1	78.2	0.1	82.5
Derivatives designated in hedge relationship	14	0.2	-	-	-
Financial assets at FVTPL:					
Convertible bonds	14	-	3.3	0.9	5.4
Derivatives not designated in hedge relationship	14	3.4	-	8.9	-
		7,094.5	356.4	10,919.2	515.0

* Time deposits have a maturity greater than three months.

Financial Liabilities

		2024		2023	
	Notes	Current	Non-Current	Current	Non-Current
		\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:					
Borrowings	17	527.6	3,237.9	1,364.1	2,327.8
Trade payables	20	1,021.4	-	1,216.1	-
Lease liabilities	11	355.8	2,348.7	330.8	1,997.7
Other	20	1,880.6	399.7	1,867.4	410.4
Financial liabilities at FVOCI:					
Derivatives designated in hedge relationship	20	17.7	-	-	-
Financial liabilities at FVTPL:					
Derivatives not designated in hedge relationship	20	1.6	4.9	-	-
		3,804.7	5,991.2	4,778.4	4,735.9

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Fair Value Measurement and Hierarchy Levels

Where the fair value of any financial asset or liability held at amortised cost is materially different to the book value, the fair value is disclosed.

The fair value of the Group's listed equity investments is based on quoted market prices (current bid price) on the last day of the period for all years presented.

The fair values of non-listed equity investments that were purchased in 2024 are assumed to approximate the purchase price. The fair values of the remaining non-listed equity investments have either been determined via an external valuation or estimated internally using a discounted cash flow model. The latter valuation requires management to make certain assumptions about the model inputs, including forecasted cash flows, the discount rate, credit risk and volatility. The probabilities of the various estimates within the range can be reasonably assessed and are used in equity investments.

The Group's derivative instruments are traded in the over-the-counter market and their fair value is determined using quantitative models that require the use of multiple inputs including interest rates, prices, and indices to generate pricing and volatility factors. The predominance of market inputs are actively quoted and can be validated through external sources including brokers, market transactions, and third-party pricing services.

The table below provides an analysis of financial instruments that were measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

Level 1 — Quoted (unadjusted) prices for identical assets in active markets.

Level 2 — Other observable inputs, either directly or indirectly, including: quoted prices for similar assets in active and non-active markets (e.g. few transactions, limited information, non-current prices, high variability over time, etc.); inputs other than quoted prices that are observable for the asset (e.g. interest rates, yield curves, volatilities, default rates, etc.); and inputs that are derived principally from or corroborated by other observable market data.

Level 3 — Unobservable inputs that cannot be substantiated by observable market data.

2024	Level 1	Level 2	Level 3	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Financial assets:				
Listed equity investments	3.4	-	-	3.4
Non-listed equity investments	-	-	78.3	78.3
Convertible bonds	-	-	3.3	3.3
Derivatives	-	3.6	-	3.6
	<u>3.4</u>	<u>3.6</u>	<u>81.6</u>	<u>88.6</u>
Financial liabilities:				
Derivatives	-	24.2	-	24.2
	<u>-</u>	<u>24.2</u>	<u>-</u>	<u>24.2</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2023	Level 1	Level 2	Level 3	Total
Financial assets:	\$ millions	\$ millions	\$ millions	\$ millions
Listed equity investments	3.5	-	-	3.5
Non-listed equity investments	-	-	82.6	82.6
Convertible bonds	-	-	6.3	6.3
Derivatives	-	8.9	-	8.9
	<u>3.5</u>	<u>8.9</u>	<u>88.9</u>	<u>101.3</u>

The reconciliation of Level 3 fair value measurements of financial assets is as follows:

	2024	2023
	\$ millions	\$ millions
As of 1 January	88.9	77.0
Remeasurement recognised in income statement	(1.2)	(2.6)
Remeasurement recognised in other comprehensive income	(5.3)	(5.6)
Purchases	7.0	25.7
Sales	(2.9)	(8.2)
Exchange difference	(4.9)	2.6
As of 31 December	<u>81.6</u>	<u>88.9</u>

Management has considered a change in unobservable inputs would not result in significant changes to the fair value of Level 3 financial assets.

Risks associated with financial instruments

Financial risk management

The Group's activities expose it to a variety of financial risks: market risk (including foreign currency risk, interest rate risk, and price risk), credit risk and liquidity risk. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to mitigate potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments to manage its foreign exchange and interest rate risk exposures.

Capital risk management

The Group's objective regarding capital risk management is to maintain a strong capital base and to sustain future development of business primarily through the use of operating cash flow. The Group's management regularly reviews the capital structure of its businesses and determines the most economic approach to fund various transactions.

Liquidity risk management

Liquidity risk is the risk that the Group may encounter difficulties in meeting its financial liabilities that are settled in cash. In managing this risk, the Group monitors closely the liquidity risk of the Group and its individual subsidiaries, by reviewing monthly forecast updates. A global cash pool is maintained alongside local bank credit facilities and an intercompany lending programme to ensure that local companies can operate with a high level of liquidity. The Group has substantial undrawn confirmed credit lines and applies a policy of maintaining zero net debt at each reporting period.

At the end of 2024, the Group had long-term debt excluding lease liabilities of \$3,237.9 million, of which \$1,974.9 million is repayable in more than 5 years.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Group has \$1,270.4 million undrawn confirmed credit lines that are forecast to remain undrawn for the foreseeable future, as a result of the liquidity available to the Group. The Group continues to apply a policy of maintaining zero net debt at each reporting period.

The borrowing facilities, together with central cash and investments, are considered sufficient to meet the Group's projected cash requirements.

The following table details the Group's outstanding contractual maturities for its financial liabilities. The amounts disclosed in the table are the contractual undiscounted cash flows, except for derivative financial liabilities, which are included at their fair value. For detail on lease liabilities, see Note 11.

2024	Less than 1 year	1-5 years	5+ years	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:				
Borrowings	616.6	1,845.9	2,401.1	4,863.6
Trade payables	1,021.4	-	-	1,021.4
Other	1,880.6	304.4	95.2	2,280.2
Derivatives (at FVOCI)	17.7	-	-	17.7
Derivatives (at FVTPL)	1.6	4.9	-	6.5
	<u>3,537.9</u>	<u>2,155.2</u>	<u>2,496.3</u>	<u>8,189.4</u>
2023	Less than 1 year	1-5 years	5+ years	Total
	\$ millions	\$ millions	\$ millions	\$ millions
Financial liabilities at amortised cost:				
Borrowings	1,423.4	1,119.4	1,573.1	4,115.9
Trade payables	1,216.1	-	-	1,216.1
Other	1,867.2	289.9	120.5	2,277.6
	<u>4,506.7</u>	<u>1,409.3</u>	<u>1,693.6</u>	<u>7,609.6</u>

Foreign currency risk

The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the Euro. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities, and net investments in foreign operations. In 2024, the Group entered forward currency contracts and foreign currency collars, with third parties, to manage future foreign currency risk on inventory purchases and foreign currency denominated expenses. As at 31 December 2024, the notional amount outstanding on these contracts was \$1,129.7 million (2023: \$nil) and these are designated in hedge accounting relationships.

The Group also seeks to mitigate foreign currency risk in specific circumstances that causes elevated volatility in a particular currency. As at 31 December 2024, there were no other foreign currency contracts outstanding. As of 31 December 2023, the total notional amount of the Group's outstanding forward currency contracts with third parties was \$328.7 million. These contracts were not designated in hedge accounting relationships.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Sensitivity analysis

The Group performed an analysis to estimate the impact of a change in foreign exchange rates on commercial exposures relating to its future commercial transactions and held foreign currency derivatives. To demonstrate the sensitivity of a change in foreign exchange rates, the Group estimated the impact of a 10% strengthening of its main currency exposures (assuming all other variables remain constant). A 10% weakening would be comparable in amount with an opposite impact.

	USD		EUR	
	2024	2023	2024	2023
	\$ millions	\$ millions	€ millions	€ millions
Profit / (loss) before income tax	126	102	(406)	(416)

Interest rate risk

The Group manages its interest rate risk by maintaining a balance of fixed and floating interest rate borrowings. To manage its exposure on interest costs, the Group enters into interest rate swaps.

The Group held fixed-for-floating interest rate swaps to manage the exposure to interest rate risk arising from its variable rate borrowings and to secure future debt issuance. The fixed-for-floating interest rate swaps were not designated in hedge accounting relationships. With respect to the Group's fixed-for-floating interest rate swap agreements, the Group received a floating rate of interest and paid interest based on a fixed rate. As of 31 December 2024, the total notional amount of the Group's outstanding fixed-for-floating interest rate swap agreements were \$269.3 million (2023: \$nil million).

In addition, the Group holds fixed-for-fixed cross currency interest rate swaps, not designated in hedge accounting relationships. As of 31 December 2024, the total notional amount of the Group's outstanding fixed-for-fixed interest rate swap agreements were \$206.6 million (2023: \$nil).

In 2023, the Group held fixed-for-fixed interest rate swaps in relation to a forecasted highly probable debt issuance to minimise the risk of adverse impact of interest rate movements. During the year, the forecast highly probable debt issuance, that was originally designated in the cash flow hedge relationship, was assessed as no longer expected, due to a shift in the Group's strategy around the terms of the future funding. Consequently, on the date that the hedged future issuance was deemed as no longer expected, the net gain accumulated within the cash flow hedge reserve was recycled to the Statement of Income (Note 5). Separately, on 24 December 2023 the Group exercised the fixed-for-fixed interest rate swap.

Price risk

The Group is also exposed to commodity price risk relating to the purchase of precious metals and stones for use in its fine jewellery and watch manufacturing processes. In 2024 and 2023, the Group deemed this risk to be insignificant.

Credit risk management

The Group did not have any significant exposure to credit risk, which is primarily attributable to its trade receivables. The Group has a large number of unrelated customers in a wide range of business segments and, therefore, is not exposed to any concentration of credit risk on its receivables. The Group's operating units have policies in place to ensure that the sales of products are made to customers with an appropriate credit history. Credit risk is further mitigated by taking out credit insurance on receivables with select wholesalers. The Group's credit risk on derivatives instruments and cash and cash equivalents is limited because these items are held with counterparties with strong credit ratings assigned by international credit rating agencies. Specifically, the Group's cash and cash equivalents are primarily invested in investment grade banks and money market funds, with the primary objective of minimising the potential risk of principal loss, with limits on the amount of credit exposure to any one counterparty.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22. CASH AND CASH EQUIVALENTS

	2024	2023
	\$ millions	\$ millions
Cash in bank and other cash equivalents*	2,283.4	5,051.2
Short-term deposits*	7.8	411.3
	<u>2,291.2</u>	<u>5,462.5</u>

* Other cash equivalents and Short-term deposits consist of highly liquid investments with maturities of less than three months.

23. EQUITY DIVIDENDS

	2024	2023
	\$ millions	\$ millions
Interim and final dividends paid		
Chanel Limited final dividends paid	5,710.3	-
Dividends paid to non-controlling interests	10.2	4.0
Total dividends paid	<u>5,720.5</u>	<u>4.0</u>
Dividend per ordinary share	<u>36.7</u>	<u>-</u>

Chanel Limited did not pay an interim dividend to its controlling entity in 2024 (2023: \$nil).

In 2024, Chanel Limited paid a final dividend to its controlling entity of \$5.7 billion (£4.5 billion) with respect to the year ended 31 December 2023, which corresponds to \$36.7 million per share (2023: \$nil).

A final dividend with respect to the year ended 31 December 2024 has not been proposed (2023: \$5.7 billion).

24. CALLED UP SHARE CAPITAL

Authorised:

	2024	2023
	£	£
1,000 (2023: 1,000) ordinary shares of £1 each	<u>1,000</u>	<u>1,000</u>

Called up, allotted and fully paid:

	2024	2023
	£	£
155 (2023: 155) ordinary shares of £1 each	<u>155</u>	<u>155</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

25. CHANGES IN WORKING CAPITAL

Changes in working capital consisted of the following components:

	2024 \$ millions	2023 \$ millions
Inventories	(51.5)	(519.1)
Trade receivables	(20.1)	(160.9)
Trade payables	(155.6)	102.9
Other receivables and payables	(44.2)	(165.0)
	<u>(271.4)</u>	<u>(742.1)</u>

26. RELATED PARTY TRANSACTIONS

	Transactions and balances between the Group and entities under common control		Transactions and balances between the Group and its associates	
	2024 \$ millions	2023 \$ millions	2024 \$ millions	2023 \$ millions
Trade receivables and other current assets	1.5	0.5	7.3	11.9
Other non-current assets	-	-	69.7	60.4
Trade payables and other current liabilities	-	-	70.2	105.5
Revenue	-	-	37.3	46.1
Cost of sales	-	-	552.3	704.2

Compensation of key management personnel

The remuneration earned by key management personnel of the Group during the year was as follows:

	2024 \$ millions	2023 \$ millions
Short-term benefits	113.0	117.6
Post-employment benefits	8.1	(0.6)
Other long-term benefits	11.3	70.7
	<u>132.4</u>	<u>187.7</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Information regarding directors

Directors' emoluments totalled \$50.8 million (2023: \$66.4 million) and pension cost totalled \$5.1 million (2023: \$2.3 million gain). In 2023, there was a reform in France changing the legal retirement age from 62 to 64 which impacted the members rights and demographics of the plan and resulted in a net gain for the Group in respect of certain directors. All remuneration is considered short-term benefits with the exception of long-term incentive arrangements of \$7.8 million (2023: \$38.0 million).

Three (2023: four) directors accrued benefits under defined benefit pension plans. Two directors (2023: three) accrued benefits under defined contribution plans. The highest paid director received remuneration of \$23.2 million and participated in defined benefit pension plans with an accrued annual entitlement of \$7.8 million. In 2023, the highest-paid director received remuneration of \$23.3 million (which included \$20.2 million for loss of office) and participated in defined benefit pension plans with an accrued annual entitlement of \$0.8 million.

27. BUSINESS COMBINATIONS

In 2024, the Group made several acquisitions totalling \$109.6 million. The majority of these acquisitions support the manufacturing functions of the business.

Assets acquired and liabilities assumed in business combinations with third parties were recorded in the Consolidated Statement of Financial Position as of the respective acquisition dates based upon their estimated fair values at such dates. The results of operations of businesses acquired by the Group have been included in the Consolidated Statement of Income since their respective dates of acquisition.

	2024	2023
	\$ millions	\$ millions
Cash Consideration	109.2	233.3
Deferred consideration	0.4	3.9
Fair value of assets acquired in excess of liabilities assumed	(36.3)	(224.6)
Non-controlling interest	4.4	3.4
Fair value of pre-existing interest*	-	134.8
Goodwill arising on acquisitions	<u>77.7</u>	<u>150.8</u>

* Relates to step acquisitions, in line with the Group's accounting policy pre-existing equity interest is remeasured to fair value at the acquisition date.

The excess of consideration transferred over the estimated fair values of the underlying assets acquired and liabilities assumed was allocated to goodwill. The goodwill of \$77.7 million (2023: \$150.8 million) arising from these acquisitions reflects the anticipated synergies and inherent value derived from the strategic integration of acquired entities. None of the goodwill is deductible for income tax purposes.

The consideration transferred for businesses acquired is shown in aggregate as follows:

	2024	2023
	\$ millions	\$ millions
Cash consideration	109.2	233.3
Deferred cash consideration	0.4	-
Less: Cash acquired	<u>(12.6)</u>	<u>(143.0)</u>
	<u>97.0</u>	<u>90.3</u>

None of the consideration is contingent.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The following table summarises the fair values of the assets acquired and liabilities assumed in connection with the acquisitions:

	2024	2023
	\$ millions	\$ millions
Non-current assets:		
Property, plant and equipment	13.9	24.3
Intangible assets	4.0	0.1
Right-of-use assets	6.5	1.9
Deferred income tax assets	1.0	4.2
Other non-current assets	1.9	0.3
Current assets:		
Inventories	16.6	37.7
Trade receivables and other assets	22.0	62.3
Cash and cash equivalents	12.6	143.1
Other assets	-	0.2
Non-current liabilities:		
Borrowings	(3.5)	(3.5)
Lease liability	(5.2)	(1.4)
Deferred income tax liabilities	(0.5)	(0.4)
Other liabilities	(0.4)	(4.4)
Non-current Provisions	(0.7)	-
Retirement benefit obligation	(1.6)	-
Current liabilities:		
Trade payables and other liabilities	(23.0)	(33.7)
Borrowings	(4.5)	(1.4)
Lease liability	(1.3)	(0.6)
Income tax liabilities	(1.5)	(4.1)
Net assets acquired	36.3	224.6
	2024	2023
	\$ millions	\$ millions
Acquisition costs	4.8	1.6
Net revenue of business combinations:		
As of acquisition date	37.4	126.8
Full year	81.9	326.4
Net income of business combinations:		
As of acquisition date	0.9	32.9
Full year	8.2	79.6

Acquisition costs were recorded within selling, general, and administrative expenses in the Consolidated Statement of Income.

Equity increase with no change in control

During the year the Group also acquired additional equity interests in certain subsidiaries, with no change in control. The total consideration of these investments was \$8.1 million (2023: \$38.3 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28. COMMITMENTS AND CONTINGENCIES

In the ordinary course of business, the Group has reported various liabilities due to contractual commitments pursuant to its property (Note 9) and retirement benefit plans (Note 18). The Group also has other commitments of \$5.1 million related to global climate initiatives (2023: \$15.2 million) and \$36.9 million allocated to various other projects.

As part of its day-to-day management, the Group is party to various legal proceedings concerning brand rights, the protection of intellectual property rights, the setup of selective retailing networks, licensing arrangements, product liability, employee relations, tax audits, and other areas relating to its business. Based on consultations with legal counsel, the Group believes that the amounts reported in the Consolidated Statement of Financial Position in respect of these risks, litigation, or disputes, known or outstanding at year-end, are sufficient to avoid its consolidated financial statements from being materially impacted in the event of an unfavourable outcome.

29. ULTIMATE CONTROLLING ENTITY

The Group's Consolidated Financial Statements represent the largest Group in which the Financial Statements of the Group are consolidated and publicly available. The Group's immediate and ultimate controlling entity is Mousse Investments Limited, an investment entity incorporated in the Cayman Islands.

30. SUBSEQUENT EVENTS

The Group considered the existence of any subsequent events and the requirements to record and / or disclose the impact thereof.

No significant subsequent events were noted by the Group up to the date of the approval of these Financial Statements.

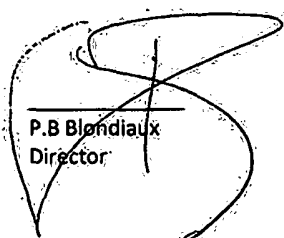
COMPANY FINANCIAL STATEMENTS

COMPANY STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2024 (In millions of Sterling)

ASSETS	Notes	2024	2023
Non-current assets:			
Intangible assets	E	19.3	1.0
Property, plant and equipment	F	93.5	403.9
Investment property		2.2	-
Right-of-use assets	G	422.2	166.4
Investment in subsidiaries	H	3,286.9	1,699.8
Retirement benefit asset	M	33.7	30.7
Deferred Income tax assets	I	11.7	23.8
Loans to related parties	J	1,345.9	1,725.3
Non-current financial investments	P	102.6	125.2
Other assets	J	34.4	33.4
Total non-current assets		5,352.4	4,209.5
Current assets:			
Inventories	K	27.9	31.7
Trade receivables and other assets	J	519.0	703.1
Prepayments		28.1	22.5
Other taxes receivable		10.1	6.2
Short-term financial investments	P	2,573.2	3,033.9
Income tax receivable		-	4.1
Cash and cash equivalents	Q	1,077.2	2,124.1
Total current assets		4,235.5	5,925.6
TOTAL ASSETS		9,587.9	10,135.1
SHAREHOLDER'S EQUITY AND LIABILITIES			
SHAREHOLDER'S EQUITY			
Share capital	24	-	-
Reserves		-	-
Retained earnings		5,942.2	7,118.4
TOTAL SHAREHOLDER'S EQUITY		5,942.2	7,118.4
LIABILITIES			
Non-current liabilities:			
Borrowings	L	1,871.9	1,303.5
Loan from related party	P	491.7	514.8
Lease liabilities	G	411.8	165.3
Other liabilities	P	62.6	66.1
Total non-current liabilities		2,838.0	2,049.7
Current liabilities:			
Trade payables and other liabilities	N	327.1	288.6
Income tax liabilities		28.4	-
Borrowings	L	169.1	491.0
Lease liabilities	G	22.6	13.9
Provisions	O	5.3	4.6
Loans from related parties	P	226.7	153.3
Other taxes payable		28.5	15.6
Total current liabilities		807.7	967.0
TOTAL LIABILITIES		3,645.7	3,016.7
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES		9,587.9	10,135.1

Profit for the year was £3,322.1 million (2023: £2,135.9 million).

The Financial Statements of Chanel Limited (registered number 00203669) on pages 147 through 173 were approved by the board of directors and authorised for issue on 19 May 2025. They were signed on its behalf by:


P.B. Blondiaux
Director

COMPANY FINANCIAL STATEMENTS

COMPANY STATEMENT OF CHANGES IN SHAREHOLDER'S EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of Sterling)

	Share capital	Cash flow hedge reserve	Retained earnings	Total shareholder's equity
Balances as of 1 January 2023	-	36.6	4,987.7	5,024.3
Profit for the period	-	-	2,135.9	2,135.9
Other comprehensive income for the period	-	(36.6)	(5.2)	(41.8)
Total comprehensive income for the period	-	(36.6)	2,130.7	2,094.1
Dividends paid	-	-	-	-
Balances as of 31 December 2023	-	-	7,118.4	7,118.4
Profit for the period	-	-	3,322.1	3,322.1
Other comprehensive income for the period	-	-	1.7	1.7
Total comprehensive income for the period	-	-	3,323.8	3,323.8
Dividends paid	-	-	(4,500.0)	(4,500.0)
Balances as of 31 December 2024	-	-	5,942.2	5,942.2

COMPANY FINANCIAL STATEMENTS

COMPANY STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024 (In millions of Sterling)

	Notes	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES:			
Operating profit		92.9	131.1
Adjustments to reconcile operating profit to net cash provided by operating activities:			
Depreciation and amortisation of PPE, investment property and intangibles		16.8	12.9
Depreciation of right-of-use assets		14.9	14.0
(Impairment reversal) / impairment of related party loans	J	(40.4)	58.9
Gain on sale of investment property		-	(79.9)
Other adjustments (including charitable commitments)		18.1	35.0
Cash flows from operations before changes in working capital		102.3	172.0
Changes in working capital	S	(48.6)	(74.4)
Cash flows from operations		53.7	97.6
Interest received		358.1	361.9
Interest paid on financial borrowings		(93.1)	(123.5)
Interest paid on lease liabilities	G	(5.1)	(5.1)
Income taxes paid		(65.1)	(117.4)
NET CASH PROVIDED BY OPERATING ACTIVITIES		248.5	213.5
CASH FLOWS FROM INVESTING ACTIVITIES:			
Purchase of property, plant, and equipment	F	(30.7)	(36.7)
Purchase of intangibles	E	(18.8)	(0.1)
Proceeds from sale of investment property		-	140.0
Acquisitions and equity increases in subsidiaries		(1,231.1)	(431.1)
Purchase of financial instruments		(148.9)	(521.4)
Proceeds on sale of financial instruments		185.9	-
Dividends received	R	3,105.1	2,016.5
Loans to related parties		(525.9)	(763.6)
Loan repayments received from related-party loans		1,240.2	409.7
Net investment in short-term time deposits		493.9	(1,806.5)
Other		0.3	3.0
NET CASH PROVIDED BY / (USED IN) INVESTING ACTIVITIES		3,070.0	(990.2)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Payment of lease liabilities	G	(14.2)	(13.7)
Proceeds from borrowings		613.0	334.2
Repayment of borrowings		(332.3)	-
Loan repayments from cash pooling - related parties		(9,132.6)	(2,855.3)
Loan proceeds from cash pooling - related parties		8,984.3	2,922.9
Settlement of derivatives		(1.1)	48.7
Dividends paid		(4,500.0)	-
NET CASH (USED IN) / PROVIDED BY FINANCING ACTIVITIES		(4,382.9)	436.8
EFFECT OF EXCHANGE ON NON-STERLING CASH AND CASH EQUIVALENTS		17.5	(210.7)
NET DECREASE IN CASH AND CASH EQUIVALENTS		(1,046.9)	(550.6)
CASH AND CASH EQUIVALENTS, Beginning of year		2,124.1	2,674.7
CASH AND CASH EQUIVALENTS, End of year		1,077.2	2,124.1
Reconciliation from net income to operating profit:			
Net income		3,322.1	2,135.9
Finance income, net		(58.1)	(286.7)
Investment income, net		3,396.4	2,392.7
Income tax expense		(109.1)	(101.2)
Operating profit		92.9	131.1

NOTES TO THE COMPANY FINANCIAL STATEMENTS

A. GENERAL INFORMATION

The Company is a private company limited by shares incorporated and registered in England and Wales under the Companies Act of 2006. The address of the registered office is given on page 91. The nature of the Company's operations and its principal activities are set out in the Strategic Report on pages 2-48.

The Company Financial Statements have been prepared in accordance with UK-adopted international accounting standards as applied in accordance with the provisions of the Companies Act 2006. The Company has taken advantage of section 408 of the Companies Act 2006 not to present the Parent Company Statement of Income. All amounts are in millions of Sterling, except where otherwise stated.

The information regarding the ultimate controlling entity is consistent with that provided in Note 29 of the Consolidated Financial Statements.

B. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies are consistent with those given on pages 91 through 108 but additional policies specific to the Company Financial Statements are included below.

Key sources of estimation uncertainty

Impairment of investments in subsidiaries – Investments in subsidiaries are tested annually for impairment. If an indicator of impairment is present, the recoverable amount is determined using the value-in-use calculations that are based on management's best estimate of future cash flows of the investment. In certain instances, a fair value less costs of disposals is calculated using a revenue or profit multiple approach. Refer to Note H for details of investments in subsidiaries.

Impairment of loans to affiliates – The Company assesses the recoverability of its loans to affiliates on an annual basis. When assessing the expected loss on these loans, management considers similar factors used in its impairment of the investment itself, if the loan is to a subsidiary, and other risks related to the other affiliates. Refer to Note J for details on the net carrying value of loans to affiliates.

C. PROFIT FOR THE YEAR

In accordance with the exemption allowed by the Companies Act 2006, Section 408, the Company has not presented its own Statement of Income.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

D. INFORMATION REGARDING EMPLOYEES

	<u>2024</u>	<u>2023</u>
	No.	No.
Average monthly number of persons employed (including directors)		
Sales and distribution	1,151	1,073
Administration	<u>610</u>	<u>446</u>
	<u>1,761</u>	<u>1,519</u>
	<u>2024</u>	<u>2023</u>
	£ millions	£ millions
Staff costs during the year (including directors)		
Wages and salaries	211.0	157.0
Social security costs	27.2	23.4
Pensions costs	5.3	5.1
Other personnel costs	<u>17.6</u>	<u>11.5</u>
	<u>261.1</u>	<u>197.0</u>

NOTES TO THE COMPANY FINANCIAL STATEMENTS

E. INTANGIBLE ASSETS

	Capitalised software and related licenses
	£ millions
Cost:	
Balance at 1 January 2023	4.9
Additions	0.1
Balance at 31 December 2023	5.0
 Additions	 18.8
Balances at 31 December 2024	23.8
 Accumulated amortisation and impairment:	
Balance at 1 January 2023	3.6
Amortisation expense	0.4
Balance at 31 December 2023	4.0
 Amortisation expense	 0.5
Balance at 31 December 2024	4.5
Carrying amount at 31 December 2023	1.0
Carrying amount at 31 December 2024	19.3

NOTES TO THE COMPANY FINANCIAL STATEMENTS

F. PROPERTY, PLANT AND EQUIPMENT

	Land	Buildings and building improvements	Leasehold improvements	Machinery, furniture and equipment	Construction in progress	Total
	£ millions	£ millions	£ millions	£ millions	£ millions	£ millions
Cost:						
Balances at 1 January 2023	300.0	27.6	117.0	35.1	5.8	485.5
Additions	0.5	2.0	-	1.5	32.7	36.7
Disposals	-	(0.4)	(0.1)	-	(0.6)	(1.1)
Transfers within PPE	-	-	22.1	2.6	(24.7)	-
Balances at 31 December 2023	300.5	29.2	139.0	39.2	13.2	521.1
Additions	-	0.2	14.9	4.1	11.5	30.7
Disposals	(300.0)	(25.0)	-	(0.2)	-	(325.2)
Transfers within PPE	-	-	0.1	0.1	(0.2)	-
Transfers to Investment Property	-	(2.2)	-	-	-	(2.2)
Balances at 31 December 2024	0.5	2.2	154.0	43.2	24.5	224.4
Accumulated depreciation and impairment:						
Balances at 1 January 2023	-	1.5	88.8	14.8	0.1	105.2
Disposals	-	(0.4)	(0.1)	-	-	(0.5)
Depreciation expense	-	0.6	9.1	2.8	-	12.5
Balances at 31 December 2023	-	1.7	97.8	17.6	0.1	117.2
Disposals	-	(2.3)	-	(0.1)	-	(2.4)
Depreciation expense	-	0.7	12.3	3.1	-	16.1
Balances at 31 December 2024	-	0.1	110.1	20.6	0.1	130.9
Carrying amount at 31 December 2023	<u>300.5</u>	<u>27.5</u>	<u>41.2</u>	<u>21.6</u>	<u>13.1</u>	<u>403.9</u>
Carrying amount at 31 December 2024	<u>0.5</u>	<u>2.1</u>	<u>43.9</u>	<u>22.6</u>	<u>24.4</u>	<u>93.5</u>

In 2024, the Company entered into a sale and leaseback transaction with another Group entity. The carrying value of the Land and Buildings sold was £300.0 million and £22.7 million respectively.

In 2024, the Company transferred £2.2 million of Buildings to Investment Property. The fair value of this property is £7.5 million.

The Company had £117.7 million contractual commitments related to leasehold improvements planned for 2024 (2023: £133.6 million).

NOTES TO THE COMPANY FINANCIAL STATEMENTS

G. LEASES

The Company as a lessee

Right-of-use assets

The Company's real estate leases are composed primarily of land and buildings for its boutiques and offices. Machinery and equipment leases include vehicles, IT, office, and distribution equipment.

Changes in right-of-use assets by underlying asset type during the period are as follows:

	Real estate £ millions	Machinery and equipment £ millions	Total £ millions
Gross:			
Balance at 1 January 2023	203.2	1.3	204.5
New leases	7.5	1.7	9.2
Remeasurements	2.9	0.1	3.0
Leases terminated	-	(0.7)	(0.7)
Balance at 31 December 2023	213.6	2.4	216.0
 New leases	269.1	0.7	269.8
Remeasurements	1.0	0.3	1.3
Leases terminated	(1.2)	(0.6)	(1.8)
Balance at 31 December 2024	482.5	2.8	485.3
Accumulated depreciation and impairment:			
Balance at 1 January 2023	35.3	1.0	36.3
Depreciation expense	13.5	0.5	14.0
Leases terminated	-	(0.7)	(0.7)
Balance at 31 December 2023	48.8	0.8	49.6
 Depreciation expense	14.1	0.8	14.9
Leases terminated	(0.8)	(0.6)	(1.4)
Balance at 31 December 2024	62.1	1.0	63.1
Carrying amount at 31 December 2023	164.8	1.6	166.4
Carrying amount at 31 December 2024	420.4	1.8	422.2

NOTES TO THE COMPANY FINANCIAL STATEMENTS

Lease liabilities

Changes in lease liabilities during the period are as follows:

	Current £ millions	Non-current £ millions	Total £ millions
Balance at 1 January 2023	11.2	165.3	176.5
New leases	1.8	11.5	13.3
Lease payments	(18.8)	-	(18.8)
Accrued interest	5.3	-	5.3
Remeasurements	1.5	1.4	2.9
Transfers	12.9	(12.9)	-
Balance at 31 December 2023	13.9	165.3	179.2
New leases	8.3	260.3	268.6
Lease payments	(19.3)	-	(19.3)
Accrued interest	5.1	-	5.1
Leases terminated	(0.3)	(0.2)	(0.5)
Remeasurements	0.5	0.8	1.3
Transfers	14.4	(14.4)	-
Balance at 31 December 2024	22.6	411.8	434.4

In 2024, the Company entered into the sale and leaseback of Property, plant and equipment with another Group entity for a period of 30 years. The sales price was £322.7 million. No gain or loss was recognised on the sale and leaseback transaction.

In 2023, the Company entered into a sale of a property for a sale price of £140.0 million. The transaction was a combination of a sale of investment property and a sale and leaseback of property, plant and equipment for a period of 10 years. A gain of £4.8 million was recognised on the sale and leaseback transaction of property, plant and equipment.

Maturity analysis of lease liabilities, showing the undiscounted lease payments to be paid after the reporting date:

	2024 £ millions	2023 £ millions
Less than one year	35.1	19.1
One to five years	124.4	61.8
More than five years	693.6	144.5
	853.1	225.4

The Company does not face a significant liquidity risk with regard to its lease liabilities.

Lease payments not recognised as a liability

The Company has elected not to recognise a lease liability for short-term leases or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis. There were no expenses relating to short-term leases or low value assets in 2024 or 2023.

Variable lease payments based on sales

Some leases contain variable lease payments that are based on sales made within a particular boutique. Total fixed and variable lease payments were £19.3 million (2023: £18.8 million) and £0.1 (2023: £0.1 million), respectively, as of 31 December 2024. The variable payments are dependent on sales and are expected to represent a similar proportion of total lease payments in future years.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

Extension options

Some leases of office buildings and boutique space contain extension options. The Company assesses whether it is reasonably certain to exercise the options at lease commencement and subsequently, if there is a change in circumstances within its control. Such assessment involves management judgment and estimate based on information at the time the assessments are made. Extension options are included in the lease term when the Company has an economic incentive to exercise the option. The Company considers available evidence at the time of the assessment, including potential favourable terms upon extension, potential termination penalties, the relative costs associated with potential relocation or termination of the lease and the extent of leasehold improvements undertaken. There were no undiscounted potential future lease payments not included in the lease liability.

Leases not yet commenced to which the Company is committed

Future cash flows of leases not yet commenced at the reporting date and, therefore, not included in the lease liability at the reporting date are £nil (2023: £181.3 million). 2023 lease commitments included an agreement for the lease of 38 Berkeley Square as part of the expansion of the Group's global headquarters in London with a lease term of 20 years and a renewal option period of 10 years. The lease has commenced in the fourth quarter of 2024 and is included under New leases within ROU assets and Lease liabilities.

The Company as a lessor

Lease receivables

Income recognised during the year from operating leases is £7.0 million (2023: £7.1 million). Of that amount, £7.0 million (2023: £6.7 million) is attributable to subletting right-of-use assets.

Operating leases

The Company leases out its investment property and some leased properties to third parties that are considered operating leases since they do not transfer substantially all of the risks and rewards incidental to the ownership of the assets.

Maturity analysis of operating lease receivables, showing the undiscounted lease payments to be received after the reporting date:

	2024	2023
	£ millions	£ millions
Less than one year	5.8	4.7
One to two years	4.2	1.8
Two to three years	1.2	0.2
Three to four years	-	0.2
Total undiscounted lease payments	11.2	6.9

The Company does not have any finance leases.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

H. INVESTMENTS IN SUBSIDIARIES

Investments in subsidiaries consisted of the following components:

	2024	2023
	£ millions	£ millions
Investment in subsidiaries	3,310.1	1,703.0
Impairment	(23.2)	(3.2)
	<u>3,286.9</u>	<u>1,699.8</u>
	2024	2023
	£ millions	£ millions
Cost:		
Balance at 1 January	1,703.0	1,271.9
Additions	1,607.1	499.1
Disposals	-	(68.0)
Balance at 31 December	<u>3,310.1</u>	<u>1,703.0</u>
Accumulated impairment:		
Balance at 1 January	3.2	16.5
Impairment reversals	-	(16.5)
Impairment loss	20.0	3.2
Balance at 31 December	<u>23.2</u>	<u>3.2</u>
Carrying amount at 31 December	<u>3,286.9</u>	<u>1,699.8</u>

Acquisitions and disposals

On 15 May 2024, the Company made an additional investment of £31.2 million in Celofilde. The additional investment did not result in a change in ownership.

On 24 July 2024 and 25 November 2024, the Company made an additional investment in Boule de Neige Limited of £110.2 million and £389.1 million respectively. The additional investment did not result in a change in ownership.

On 17 December 2024, the Company made an additional investment of £19.0 million in Orlebar Brown Limited. The additional investment did not result in a change in ownership.

On 1 January 2023, the Company made an additional investment of £351.3 million in Chanel L.L.C. The additional investment did not result in a change in ownership.

On 14 March 2023, the Company made an additional investment of £11.5 million in Trochair Limited. The additional investment did not result in a change in ownership. On 5 October 2023, the Company sold its 100% shareholding in Trochair Limited to Boule de Neige Limited for consideration of £68.0 million.

On 25 August 2023, Boule de Neige Limited was formed by the Company as its sole shareholder, holding 1 ordinary share with a par value of £1. On 5 October 2023 and 13 December 2023, the Company subscribed for additional shares in Boule de Neige Limited for £120.0 million and £8.0 million respectively.

On 2 November 2023, the Company purchased additional shares in Chanel (India) Private Limited through a rights issue, totalling £8.3 million. The purchase did not result in a change in ownership.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

Common control transactions

On 1 June 2024, the Company acquired the issued share capital of Chanel Korea YH, a wholly-owned subsidiary, from Chanel SARL for £1.1 billion and accounted for it in accordance with the Group's accounting policy on Common Control transactions (Note 2.5).

On 31 December 2023, Chanel Limited acquired trade, assets and assumed liabilities from Croydon Logistics Limited, a wholly-owned subsidiary. The total net assets acquired amounted to £23.9 million, transferred at a book value in accordance with the Group's accounting policy on Common Control transactions (Note 2.5). The acquisition was settled through a dividend in kind received from Croydon Logistics Limited of equal amount. The consideration of equal amount was through a non-cash settlement of intercompany receivable balance. The transaction didn't yield in merger reserve, given the book value of the net assets acquired equalled the transaction price.

Impairment

The Company assessed all Investments in Subsidiaries for impairment indicators at 31 December 2024. The Company did not reverse impairment in 2024 (2023: £16.5 million) and recognised an impairment loss of £20.0 million (2023: £3.2 million).

For a list of the consolidated subsidiaries, refer to Note V of the Financial Statements.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

I. INCOME TAXES

The following is a roll-forward of the deferred tax asset as of 31 December 2024 and 31 December 2023:

	Opening balance	Recognised in Statement of Income	Recognised in OCI	Transfers	Closing balance
2024					
£ millions					
Property, plant, and equipment	(3.3)	(1.1)	-	-	(4.4)
Retirement benefit obligations	(7.8)	(0.4)	(0.5)	-	(8.7)
Provisions	34.9	(10.1)	-	-	24.8
Cash flow hedge	-	-	-	-	-
	<u>23.8</u>	<u>(11.6)</u>	<u>(0.5)</u>	<u>-</u>	<u>11.7</u>

	Opening balance	Recognised in Statement of Income	Recognised in OCI	Transfers	Closing balance
2023					
£ millions					
Property, plant, and equipment	(1.3)	(1.6)	-	(0.4)	(3.3)
Retirement benefit obligations	(7.2)	(0.4)	1.8	(2.0)	(7.8)
Provisions	26.2	8.6	-	0.1	34.9
Other	(12.2)	-	12.2	-	-
	<u>5.5</u>	<u>6.6</u>	<u>14.0</u>	<u>(2.3)</u>	<u>23.8</u>

J. TRADE RECEIVABLES AND OTHER ASSETS

	2024		2023	
	Current	Non-current	Current	Non-current
	£ millions	£ millions	£ millions	£ millions
Trade receivables	117.0	-	115.6	-
Loans to Related Parties	362.2	1,345.9	540.5	1,725.3
Interest receivable	25.9	-	37.7	-
Derivatives	2.1	-	5.5	-
Non-listed Equity Investments	-	6.3	-	6.3
Other financial assets	11.7	27.3	3.6	27.1
Other non-financial assets	0.1	0.8	0.2	-
	<u>519.0</u>	<u>1,380.3</u>	<u>703.1</u>	<u>1,758.7</u>

Loans to Related Parties are interest bearing at arm's-length commercial borrowing rates. During the year, there was a reversal of impairment on related party loans totalling £5.3 million and a write-off of a previously impaired loan of £55.0 million. No additional impairments were recognised (2023: £58.9 million). The expected credit loss provision as at 31 December 2024 is therefore £nil (2023: £95.3 million). £35.0 million of previously impaired loan to subsidiaries was capitalised as an investment in subsidiary during the period.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

Trade receivables consisted of the following components:

	2024	2023
	£ millions	£ millions
Gross Trade Receivables	117.3	115.8
Provision for expected credit losses	(0.3)	(0.2)
Net carrying amount	<u>117.0</u>	<u>115.6</u>
Aging of Trade Receivables:		
Not past due	40.1	48.6
Less than one month past due	17.7	10.8
Greater than one month past due	4.0	2.2
Due from Related Parties	55.5	54.2
	<u>117.3</u>	<u>115.8</u>
Movement in provision for expected credit losses:		
Balance at 1 January	(0.2)	(0.1)
Impairments	(0.1)	(0.1)
Balance at 31 December	<u>(0.3)</u>	<u>(0.2)</u>
Ageing of provision for expected credit loss:		
Not past due	-	-
Past due	(0.3)	(0.2)
	<u>(0.3)</u>	<u>(0.2)</u>

Trade receivables relating to the Company's wholesale activities have payment terms that are generally less than three months.

K. INVENTORIES

Inventories consisted of the following components:

	2024	2023
	£ millions	£ millions
Finished goods	40.9	42.6
Reserves	(13.0)	(10.9)
	<u>27.9</u>	<u>31.7</u>

The cost of inventories recognised in the Statement of Income was £189.5 million (2023: £210.8 million). Total reversals of provisions for finished goods inventory sold above cost was £1.4 million (2023: £2.7 million). Reversals occur in the event that stock previously provided for has been sold in the current year.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

L. BORROWINGS

Below is a breakdown of borrowings by maturity of the Company's Senior Notes issued through a Private Placement, the terms of which are disclosed in Note 17:

	2024	2023
	£ millions	£ millions
	Senior notes	Senior notes
Current	-	156.9
2026	309.4	-
2027	-	314.8
2028	157.2	-
2029	79.9	164.6
Beyond	1,327.8	824.8
Unamortised debt issuance costs	(2.4)	(0.7)
Balance at 31 December	<u>1,871.9</u>	<u>1,460.4</u>

Reconciliation of borrowings arising from financing activities:

	Non-cash changes			
	1 January		Reclassifications	
	2024	Cash flows	from long-term	Foreign
	£ millions	£ millions	to short-term	exchange
			and other	movements
			£ millions	£ millions
				31 December
				2024
				£ millions
Long-term borrowings	1,303.5	602.6	-	(34.2)
Short-term borrowings	491.0	(321.9)	-	-
Total third-party borrowings	<u>1,794.5</u>	<u>280.7</u>	<u>-</u>	<u>(34.2)</u>

	Non-cash changes			
	1 January		Reclassifications	
	2023	Cash flows	from long-term	Foreign
	£ millions	£ millions	to short-term	exchange
			and other	movements
			£ millions	£ millions
				31 December
				2023
				£ millions
Long-term borrowings	1,525.0	0.1	(156.9)	(64.7)
Short-term borrowings	-	334.1	156.9	-
Total third-party borrowings	<u>1,525.0</u>	<u>334.2</u>	<u>-</u>	<u>(64.7)</u>

Bank overdrafts

Bank overdrafts of £169.1 million (2023: £334.1 million) relate to balances held in the Group's notional cash pooling arrangements.

Lines of credit

As of 31 December 2024, the Company had confirmed lines of credit totalling £690.8 million (2023: £738.4 million). This relates to a syndicated revolving credit facility that was arranged in 2021. The facility expires in May 2028. The Company has not drawn down on these lines in 2024 or 2023. Details of the terms of these lines are disclosed in Note 17.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

M. RETIREMENT BENEFIT OBLIGATIONS

The Company operates a defined benefit retirement plan in the UK. The liabilities and assets for the defined benefit retirement plan are computed on an actuarial basis and are funded currently.

The defined benefit plan exposes the Company to certain risks that are consistent with those defined in Note 18 of the Consolidated Financial Statements.

The Company recognised an expense of £5.7 million (2023: £3.2 million) related to its defined contribution plans.

The principal assumptions used for the valuations of the defined benefit plans were as follows:

	2024	2023
	Defined Benefit Plans	Defined Benefit Plans
Discount rate	5.5%	4.5%
Expected rate of salary increase	4.0%	3.0%
Future pension increases	2.6%	2.7%
Inflation	2.6%	2.8%
The average life expectancy in years of pensioner retiring at age 65:		
Male	22.8	22.5
Female	24.5	24.1

Amounts recognised in the Financial Statements with respect to the defined benefit plans were as follows:

	Defined Benefit Plans	
	2024	2023
	£ millions	£ millions
Total service cost, including administrative expenses	(0.4)	1.9
Net interest income	(0.7)	(0.6)
Components of defined benefit (income) / costs recognised in profit	(1.1)	1.3
Remeasurements on the net defined benefit liability:		
Return on plan assets, excluding amounts included in net interest	11.1	3.7
Actuarial gains due to changes in demographic assumptions	(1.4)	(0.4)
Actuarial (gains) / losses due to changes in financial assumptions	(10.0)	2.1
Actuarial (gains) / losses due to experience adjustments	(1.9)	1.5
Components of defined benefit (income) / costs recognised in Other Comprehensive Income	(2.2)	6.9
Total defined benefit (income) / costs	(3.3)	8.2

The Company recognised £2.2 million of actuarial gains on defined benefit retirement plans directly in shareholder's equity in 2024 (2023: loss of £6.9 million). Accumulated actuarial gains recognised in shareholder's equity were £19.2 million (2023: £17.0 million).

NOTES TO THE COMPANY FINANCIAL STATEMENTS

The amounts included in the Statement of Financial Position with respect to the defined benefit plans were as follows:

	Defined Benefit Plans	
	2024	2023
	£ millions	£ millions
Present value of funded defined benefit obligation	(90.3)	(102.3)
Fair value of plan assets	124.0	133.0
Funded status	33.7	30.7

Movements in the present value of the defined benefit obligation were as follows:

	Defined Benefit Plans	
	2024	2023
	£ millions	£ millions
Defined benefit obligation, 1 January	102.3	72.7
Total service cost	(0.8)	1.9
Interest cost	5.5	4.5
Contributions from plan participants	0.1	0.1
Actuarial gains due to changes in demographic assumptions	(1.4)	(0.4)
Actuarial (gains) / losses due to changes in financial assumptions	(10.0)	2.1
Actuarial (gains) / losses due to experience adjustments	(1.9)	1.5
Transfers	0.3	23.0
Benefits paid	(3.8)	(3.1)
Defined benefit obligation, 31 December	90.3	102.3

Movements in the fair value of the plan assets were as follows:

	Defined Benefit Plans	
	2024	2023
	£ millions	£ millions
Fair value of plan assets, 1 January	133.0	101.0
Interest income	6.2	5.1
Return on plan assets, excluding amounts in interest income	(11.1)	(3.7)
Contributions from the employer	0.3	0.7
Contributions from plan participants	0.1	0.1
Transfers	(0.3)	32.9
Benefits paid	(3.8)	(3.1)
Administrative expenses paid	(0.4)	-
Fair value of plan assets, 31 December	124.0	133.0

NOTES TO THE COMPANY FINANCIAL STATEMENTS

The quoted fair value of the plan assets at 31 December 2024 and 31 December 2023 for each category are as follows:

	2024	2023
	£ millions	£ millions
Cash	-	62.8
Government bonds	39.4	35.3
Equity securities	-	15.4
Property	14.5	13.8
Corporate bonds	70.1	5.7
	<u>124.0</u>	<u>133.0</u>

The average duration of the defined benefit obligation is 13.9 years (2023: 15.4 years).

The significant assumptions used in determining the defined benefit obligation are the discount rate, expected rate of salary increase, and life expectancy. The sensitivity analysis below has been determined based on possible changes to the significant assumptions while holding all other assumptions constant.

- An increase in the discount rate of half a percentage point would decrease the defined benefit obligation by £5.7 million.
- An increase in the expected rate of salary increase of half a percentage point would increase the defined benefit obligation by £0.7 million.
- A decrease in the mortality rate of 10% for both men and women would increase the defined benefit obligation by £2.6 million.

The present value of the defined benefit obligation in the sensitivity analysis above has been calculated using the projected unit credit method, which is also the method used in calculating the defined benefit obligation for the Consolidated Statement of Financial Position. The sensitivity analysis may not be representative of the actual change in the defined benefit obligation. There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior year.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

N. TRADE PAYABLES AND OTHER LIABILITIES

Trade payables and other liabilities consisted of the following:

	2024 £ millions	2023 £ millions
Trade payables	78.1	99.2
Other liabilities:		
Charitable commitments	80.5	96.5
Salaries, commissions, and related	81.7	39.6
Advertising, promotion, and demonstration	15.5	15.2
Other liabilities	71.3	38.1
	249.0	189.4
	327.1	288.6

O. PROVISIONS

	Product- related £ millions	Asset retirement obligations £ millions	Provisions with Related Parties £ millions	Total £ millions
Balances at 1 January 2024	2.4	0.2	2.0	4.6
Additional provisions recognised	2.7	-	4.0	6.7
Used during the year	(2.4)	-	(3.6)	(6.0)
Balances at 31 December 2024	2.7	0.2	2.4	5.3

Product-related provisions represent the expected refund to customers for sales returns, when the customer has a right to return the product within a given period. The expected refund is recognised as an adjustment to revenue.

Additionally, the Company recognises a provision for Asset retirement obligations, which represents the cost to restore leased assets back to its original condition at the end of its useful life or lease term, whichever is shorter.

Provisions with Related Parties represent the Company's inventory reserves for inventory held by related party supplier companies. As the Company is not holding the physical inventory, the provision is recorded in current provisions.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

P. FINANCIAL INSTRUMENTS

Categories of financial assets and liabilities

The Company's categories of financial assets and financial liabilities are as follows:

Financial Assets

	2024		2023	
	Current £ millions	Non-Current £ millions	Current £ millions	Non-Current £ millions
Financial assets at amortised cost:				
Trade receivables	117.0	-	115.6	-
Loans to Related Parties	362.2	1,345.9	540.5	1,725.3
Cash and cash equivalents	1,077.2	-	2,124.1	-
Time deposits*	2,184.6	-	2,644.0	-
Fixed income investments	383.8	102.6	196.8	125.2
Treasury bills	4.8	-	193.1	-
Other	37.6	27.3	41.5	27.2
Financial assets at FVOCI:				
Non-listed equity investments	-	6.3	-	6.3
Financial assets at FVTPL:				
Derivatives	2.1	-	5.5	-
	<u>4,169.3</u>	<u>1,482.1</u>	<u>5,861.1</u>	<u>1,884.0</u>

*Time deposits have a maturity greater than 3 months.

Financial Liabilities

	2024		2023	
	Current £ millions	Non-Current £ millions	Current £ millions	Non-Current £ millions
Financial liabilities at amortised cost:				
Borrowings	169.1	1,871.9	491.0	1,303.5
Trade payables	78.1	-	99.2	-
Lease liabilities	22.6	411.8	13.9	165.3
Loan from Related Party	226.7	491.7	153.3	514.8
Other	249.0	62.6	189.4	66.1
	<u>745.5</u>	<u>2,838.0</u>	<u>946.8</u>	<u>2,049.7</u>

The fair value measurement and hierarchy levels are disclosed in Note 21. There is no material difference between the carrying value and fair value for loans to and from Related Parties.

The following table details the Company's outstanding contractual maturities for its financial liabilities. The amounts disclosed in the table are the contractual undiscounted cash flows, except for derivative financial liabilities, which are included at their fair value. For detail on lease liabilities, see Note H.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

2024	Less than 1 year	1-5 years	5+ years	Total
	£ millions	£ millions	£ millions	£ millions
Financial liabilities at amortised cost:				
Borrowings	229.7	972.7	1,664.9	2,867.3
Trade payables	78.1	-	-	78.1
Loan from Related Party	230.4	257.7	251.0	739.1
Other	249.0	62.6	-	311.6
	<u>787.2</u>	<u>1,293.0</u>	<u>1,915.9</u>	<u>3,996.1</u>
	<u>787.2</u>	<u>1,293.0</u>	<u>1,915.9</u>	<u>3,996.1</u>
2023	Less than 1 year	1-5 years	5+ years	Total
	£ millions	£ millions	£ millions	£ millions
Financial liabilities at amortised cost:				
Borrowings	532.6	605.0	965.3	2,102.9
Trade payables	99.2	-	-	99.2
Loan from Related Party	157.2	270.6	264.9	692.7
Other	189.4	65.8	0.4	255.6
	<u>978.4</u>	<u>941.4</u>	<u>1,230.6</u>	<u>3,150.4</u>
	<u>978.4</u>	<u>941.4</u>	<u>1,230.6</u>	<u>3,150.4</u>

There are various risks associated with financial instruments, including capital risk, financial risk, market risk, liquidity risk and credit risk. Further details of these risks are discussed in Note 21 of the Consolidated Financial Statements.

Q. CASH AND CASH EQUIVALENTS

	2024	2023
	£ millions	£ millions
Cash in bank and other cash equivalents*	<u>1,077.2</u>	<u>2,124.1</u>
	<u>1,077.2</u>	<u>2,124.1</u>

* Other cash equivalents consist of highly liquid investments with maturities of less than three months.

NOTES TO THE COMPANY FINANCIAL STATEMENTS

R. RELATED PARTY TRANSACTIONS

Balances and transactions between the Company and its related parties

	2024 £ millions	2023 £ millions
Trade receivables and other current assets	435.5	620.3
Non-current loans to Related Parties	1,345.9	1,725.3
Right-of-use assets	133.5	20.0
Other non-current assets	27.3	27.2
Trade payables and other current liabilities	55.2	58.7
Current loans from Related Parties	226.7	153.3
Current lease liabilities	2.0	0.8
Non-current loan from Related Party	491.7	514.8
Non-current lease liabilities	127.9	16.2
Other non-current liabilities	12.4	-
Revenue	237.2	319.4
Cost of sales	82.7	105.6
Dividend income	3,105.1	2,016.5
Investment income, net	76.3	83.4
Finance costs, net	(16.8)	(13.7)

NOTES TO THE COMPANY FINANCIAL STATEMENTS

S. CHANGES IN WORKING CAPITAL

Changes in working capital consisted of the following components:

	2024	2023
	£ millions	£ millions
Inventories	3.8	(12.8)
Trade receivables	(1.3)	10.4
Trade payables	(21.1)	(1.5)
Other receivables and payables	(30.0)	(70.5)
	<u>(48.6)</u>	<u>(74.4)</u>

T. GUARANTEES AND COMMITMENTS

Chanel Ceres PLC, a subsidiary of the Company, issued Sustainability-Linked Guaranteed Notes on the Luxembourg Stock Exchange, details of which are included in Note 17. Per the terms of the agreement governing the Sustainability-Linked Guaranteed Notes, the Company is the Guarantor in regard to the issuance of the Notes and as a result, the proceeds raised by Chanel Ceres PLC have been loaned to the Company with the same terms as the Notes themselves.

The Company has commitments of £4.1 million related to global climate initiatives (2023: £10.9 million).

The Company has committed to loans to Related Parties for a total of £100.3 million that remains undrawn as at 31 December 2024 and has provided guarantees totalling £1,494.6 million in relation to related parties as at 31 December 2024.

U. SUBSEQUENT EVENTS

The Company considered the existence of any subsequent events and the requirements to record and / or disclose the impact thereof.

No significant subsequent events were noted by the Group up to the date of the signing of these accounts.

LIST OF SUBSIDIARIES

V. ENTITIES INCLUDED IN CONSOLIDATION

Entity (Legal Name)	Location of Incorporation	Ownership Percentage (%)	Entity (Legal Name)	Location of Incorporation	Ownership Percentage (%)
Chanel Limited	United Kingdom	Parent			
113 SPRING NYC INC. ¹	United States	100%	Chanel International B.V. *	Netherlands	100%
113 Spring UK Limited ^{1 *}	United Kingdom	100%	Chanel Korea YH ^{4 *}	South Korea	100%
19M SAS	France	100%	Chanel L.L.C. *	United Arab Emirates	100%
Activité Création Tissage 3 SASU	France	100%	Chanel Limitada	Macao S.A.R.	100%
Adobinve S.L.	Spain	68%	Chanel Limited *	Hong Kong S.A.R.	100%
Afroditi Inc.	United States	100%	Chanel Limited FZE *	United Arab Emirates	100%
American Fragrances, Inc.	United States	100%	Chanel LLC	Ukraine	100%
Anomalia Innovations, Inc. ¹³	United States	100%	Chanel LLP ^{1 *}	Kazakhstan	100%
Artlux SA	Switzerland	100%	Chanel Moda ve Lüks Tüketim Ürünleri Limited Sirketi	Türkiye	100%
Asitop Gesellschaft mbH	Germany	100%	Chanel New Zealand ULC *	New Zealand	100%
Atelier Dynale SASU ²	France	100%	Chanel North Asia Limited ¹	United Kingdom	100%
Atelier H SASU ¹	France	60%	Chanel Norway AS *	Norway	100%
Ateliers de May SASU	France	100%	Chanel Parfums Beauté SAS	France	100%
Ateliers Lagardère SASU ¹	France	100%	Chanel Pte Limited *	Singapore	100%
Augé SAS ¹	France	100%	Chanel S. de R.L. *	Panama	100%
Barrie France SASU	France	100%	Chanel S.L.U.	Spain	100%
Barrie Knitwear Limited	United Kingdom	100%	Chanel S.r.l.	Italy	100%
Beynat & Janniaux Maroquiniers SAS ^{1 11}	France	100%	Chanel s.r.o.	Czech Republic	100%
Biseta S.r.l. ^{2 5}	Italy	100%	Chanel Saint Honoré SAS	France	100%
Blupell S.r.l.	Italy	100%	Chanel SARL *	Luxembourg	100%
Borlis SASU ¹	France	100%	Chanel SARL *	Switzerland	100%
Boule de Neige Limited ^{2 *}	United Kingdom	100%	Chanel spółka z ograniczoną odpowiedzialnością *	Poland	100%
Calzaturificio Gensi Group S.r.l.	Italy	80%	Chanel SRL	Belgium	100%
Campelli S.r.l.	Italy	75%	Chanel Sweden AB *	Sweden	100%
Capsum Inc. ⁶	United States	90%	Chanel Unipessoal Limitada	Portugal	100%
Capsum SAS ⁶	France	90%	Chanel Vietnam Company Limited *	Vietnam	100%
Cellini 04 R.E. S.r.l.	Italy	100%	Chanel, Inc. *	United States	100%
Celofilde SAS ^{2 *}	France	100%	Chanel, S.A. de C.V.	Mexico	100%
Chanel SAM *	Monaco	100%	Château Canon SC	France	100%
Chanel SAS *	France	100%	Château Rauzan-Ségla SAS	France	100%
Chanel (Australia) Pty. Limited *	Australia	100%	Cistarg Private Beteiligungsgesellschaft mbH ³	Germany	100%
Chanel (China) Co., Limited	Mainland China	100%	Co.Fa s.r.l. ¹	Italy	100%
SChanel (Guam), Inc.	United States	100%	Colomer Leather Group S.L.U.	Spain	100%
Chanel (India) Private Limited *	India	100%	Compañia Universal de Perfumeria Francesa (CUPFSA) S. de R.L. *	Panama	100%
FChanel (Kuala Lumpur) Sdn. Bhd. *	Malaysia	100%	Conceria Gaiera Giovanni S.r.l. ^{9 10}	Italy	100%
Chanel (Pty) Limited *	South Africa	100%	Conceria Samanta S.r.l.	Italy	100%
Chanel (Thailand) Limited *	Thailand	100%	Crédito SAS ¹	France	70%
Chanel Argentina S.R.L.	Argentina	100%	Creuset d'Art Portugal, Unipessoal Lda ²	Portugal	51%
Chanel Asia Pacific Pte Limited *	Singapore	100%	Croydon Logistics Limited *	United Kingdom	100%
Chanel Canada ULC *	Canada	100%	Crushlab SARL	Luxembourg	100%
Chanel Ceres PLC *	United Kingdom	100%	CUPFSA Colombia S.A.S.	Colombia	100%
Chanel Coordination B.V.	Netherlands	100%	Défiluxe SAS	France	51%
Chanel Coordination SAS	France	100%	Desrués SAS	France	100%
Chanel Coordination S.r.l.	Italy	100%	Detox Your Life Canada Inc.	Canada	93%
Chanel Creation B.V.	Netherlands	100%	Domaine de l'Île SCEA	France	92%
Chanel Denmark ApS *	Denmark	100%	Domcia Production SASU ¹	France	100%
Chanel G.K.	Japan	100%	Dorsey SAS ²	France	100%
Chanel Gayrimenkul ve Tekstil Limited Sirketi	Türkiye	100%	ERES SAS *	France	100%
Chanel GmbH	Austria	100%	Eres Belgique SPRL	Belgium	100%
Chanel GmbH	Germany	100%	Eres Fashion UK Limited	United Kingdom	100%
Chanel Hong Kong Limited *	Hong Kong S.A.R.	100%	Eres GmbH	Germany	100%
Chanel Inc. *	Taiwan Region	100%	Eres Italie S.r.l.	Italy	100%
Chanel India Business Solutions Private Limited *	India	100%	Eres Moda ve Lüks Tüketim Ürünleri Limited Sirketi	Türkiye	100%
			Eres Paris Australia Pty Ltd	Australia	100%

LIST OF SUBSIDIARIES

<u>Entity (Legal Name)</u>	<u>Location of Incorporation</u>	<u>Ownership Percentage (%)</u>	<u>Entity (Legal Name)</u>	<u>Location of Incorporation</u>	<u>Ownership Percentage (%)</u>
Eres Paris L.L.C.	United Arab Emirates	100%	Maison Michel SASU	France	100%
Eres Paris S.L.	Spain	100%	Maison Michel UK Limited	United Kingdom	100%
Eres U.S. Inc.	United States	100%	Manufactures de Mode SASU	France	100%
Établissements Bodin Joyeux SASU	France	100%	Manufactures de Mode Italia S.r.l.	Italy	100%
Ets Gonthiez Frères SAS ²	France	75%	Manufactures de Mode Shanghai Management Consultancy	Mainland China	100%
Europerfumeria, S. de R.L.	Panama	100%	Marque Mod SASU ¹	France	100%
Europrestigio Distribuição e Comércio de Artigos de Luxo Ltda	Brazil	100%	Mégisserie Richard SAS	France	100%
Excelsia S.R.L. *	Costa Rica	100%	Metal Jewelry (Cambodia) Co., Ltd ²	Cambodia	100%
Farm Street Property Limited ²	United Kingdom	100%	Montex SASU	France	100%
FashionArt S.p.A.	Italy	60%	Naemos SAS ¹	France	90%
Filatures du Parc SAS	France	60%	Neverwill SA	France	100%
FilenAiguille SAS ^{2 7}	France	100%	New Blue S.r.l. ¹	Italy	100%
Fragrances Exclusive, Inc.	United States	100%	Newmal Lab S.r.l. ¹	Italy	100%
Fyma Production SASU ³	France	100%	NILLAB Manifatture Italiane S.p.A.	Italy	60%
G&D Reinsurance S.A.	Luxembourg	100%	OOO Chanel	Russia	100%
G.K. Chanel Research and Innovation	Japan	100%	Orlebar Brown (US) Wholesale, LLC	United States	100%
Gabrielle Holding SAS ¹	France	60%	Orlebar Brown Australia Pty. Ltd.	Australia	100%
Gant Causse SASU	France	100%	Orlebar Brown France SASU	France	100%
Goossens Paris SASU	France	100%	Orlebar Brown Limited *	United Kingdom	100%
Goossens UK Limited	United Kingdom	100%	Orlebar Brown Miami, LLC	United States	100%
Grey Mer S.p.A. ¹	Italy	70%	Orlebar Brown NY 1, LLC	United States	100%
Grupo Ledexport S.L.	Spain	100%	Orlebar Brown Spain S.L.	Spain	100%
Haas Italia S.r.l.	Italy	100%	Orlebar Brown, Inc.	United States	100%
Haspolo SASU ¹	France	60%	Overland Realty L.L.C.	United States	100%
Hoga Ribban Limited ¹	United Kingdom	100%	Paima S.p.A.	Italy	70%
Holding Company 2025, LLC ¹	United States	100%	Paloma SAS	France	100%
Holding Company 2025 Member, LLC ¹	United States	100%			
Hugotag Ennoblement SASU	France	100%	Paraffection SAS	France	100%
Ibisco S.r.l. ²	Italy	70%	Parfumerie Versailles, S. de R.L. de C.V.	Mexico	100%
Icarus Limited	Hong Kong	100%	Parfums Chanel Limited *	Ireland	100%
Ilamu Pty Ltd ²	Australia	100%	Parivresse SCI	France	100%
Immobili Rosmini S.r.l.	Italy	100%	Partrois SASU	France	100%
INMATEC Technologies GmbH	Germany	85%	Pavliaux SASU	France	100%
International Metal and Jewelry Co., Ltd.	Thailand	100%	Pells del Llobregat S.L.	Spain	60%
ISPB SAS	France	100%	Perfumeria Francesa (Bolivia) S.r.l.	Bolivia	100%
Kamel SCEA	France	100%	Pieles del Segura, SA	Spain	100%
Kireina S.r.l.	Romania	65%	Pieles Quintana SA	Spain	100%
Lapoduk SARL	Luxembourg	100%	Pourunefoi SAS	France	100%
L'Atelier DCHP SASU ¹	France	100%	PR 3 SASU ¹	France	100%
L'Atelier des Matières SASU	France	100%	Précieuses Manufactures Sàrl ²	Switzerland	100%
Lavinia (Suisse) SA ¹	Switzerland	100%	Primula S.r.l. ²	Italy	100%
Lavinia España Selección S.L. ¹	Spain	100%	Ready To Care SASU	France	100%
Lavinia France SAS ¹	France	100%	Ready to Care London Limited ¹	United Kingdom	100%
Le Creuset d'Art SAS	France	51%	Roveda S.r.l.	Italy	100%
Lemarié SASU	France	100%	Saint Honorat SRL	France	66%
Les Ateliers de Verneuil-en-Halatte SASU	France	100%	Samo Cotton S.R.L. ¹	Italy	42%
Les Ateliers Lagardère SASU ¹	France	100%	SC Ateliers de Verneuil-en-Halatte	France	100%
Les Moulins de Riotord SARLU ⁸	France	100%	SCEA du Château Berliquet	France	100%
Lesage Intérieurs SAS	France	76%	SCI Aineuil	France	100%
Lesage Paris SASU	France	100%	SCI Anbras	France	100%
LuxAtelier Sàrl ²	Switzerland	67%	SCI Atlast ¹	France	100%
Mabi International S.r.l.	Italy	100%	SCI Billes ¹	France	100%
Mabifir S.r.l.	Italy	100%	SCI Bokoutro	France	100%
Mabipell S.r.l.	Italy	100%	SCI Cepaduluxe ²	France	100%
Maggy Calzature S.r.l. ¹	Romania	70%	SCI Faimin	France	100%

LIST OF SUBSIDIARIES

Maison Massaro SASU	France	100%	SCI Jolimoy	France	100%
<u>Entity (Legal Name)</u>	<u>Location of Incorporation</u>	<u>Ownership Percentage (%)</u>	<u>Entity (Legal Name)</u>	<u>Location of Incorporation</u>	<u>Ownership Percentage (%)</u>
SCI Kamel 2	France	100%	Sophan SASU ¹	France	100%
SCI ODACE	France	100%	Sotraflor SRL	France	66%
SCI Onurb	France	100%	St. Supéry, Inc.	United States	100%
SCI Pantino	France	100%	Sushi, L.L.C.	United States	100%
SCI Passysimple	France	100%	Tanneries Haas SAS	France	100%
SCI Peau Luxe	France	100%	TCC Direct, Inc.	United States	100%
SCI Ratafia ²	France	100%	TDM Valrom Holding Inc.	Canada	93%
SCI Saroule	France	100%	The Chanel, Inc. Statutory Trust	United States	100%
SCI Sarouleagain	France	100%	The Detox Market Inc.	United States	93%
SCI SûrdeSoie	France	100%	Tmine, Inc.	United States	100%
SCI Teteatete	France	100%	Tour2Main SAS ¹	France	100%
SCI Traudepezze	France	100%	Trochair Limited	United Kingdom	100%
SCI Veauldétour ²	France	100%	Ultimate Yarns & Fibres Limited	United Kingdom	100%
SCI Venette	France	100%	Ultimate Yarns & Fibres Mongolia LLC	Mongolia	100%
SCI YNOD	France	100%	Ulysse Cazabonne SNC	France	100%
Seitran GmbH ³	Germany	100%	Vastrakala Exports Private Limited ¹²	India	96%
Settelile SASU	France	100%	Versailles International, Inc.	United States	100%
Sevy LLC	United States	100%	Vimar 1991 S.r.l.	Italy	100%
Société de Confection de Sully SASU ¹	France	100%	Volfoni S.p.A. ²	Italy	73%
Société en Nom Collectif Encorin SNC	France	100%			
Solifeel SAS ¹	France	90%			

¹ Entity was acquired / created in 2024.

² Entity was acquired / created in 2023.

³ Entity was dissolved / merged / sold in 2024.

⁴ All shares were sold from Chanel SARL to Chanel Limited in 2024.

⁵ Percentage ownership increased from 75% to 100% in 2024.

⁶ Percentage ownership decreased from 92% to 90% in 2024

⁷ Perséphone Couture was renamed to FilenAiguille in 2024.

⁸ Percentage ownership increased from 80% to 100% in 2024.

⁹ Percentage ownership increased from 93% to 100% in 2024.

¹⁰ In 2024, the Company was converted from a S.p.A to S.r.l

¹¹ Maroquinerie de Champagne was renamed to Beynat & Janniaux Maroquiniers in 2024.

¹² Percentage ownership increased from 91% to 96% in 2024.

¹³ Diprolux, Inc. was renamed to Anomalia Innovations, Inc. and all shares were transferred from Chanel, Inc. to Crushlab SARL in 2023.

* Chanel Limited has a direct ownership in the entity

All shares issued and owned are ordinary.

The following companies are registered in the United Kingdom. They are consolidated in the Group Financial Statements and have benefitted from an audit exemption for their Financial Statements for the year ended 31 December 2024, pursuant to Article 479A of the UK Companies Act 2006.

113 Spring UK Limited (15958150)	Goossens UK Limited (12572546)
Boule de Neige Limited (15095591)	Hoga Ribban Limited (16124290)
Chanel North Asia Limited (15406535)	Maison Michel UK Limited (09083976)
Croydon Logistics Limited (00574704)	Ready to Care London Limited (15697737)
Eres Fashion UK Limited (00893083)	Trochair Limited (00246398)
Farm Street Property Limited (12716214)	Ultimate Yarns & Fibres Limited (13003004)

LIST OF ASSOCIATES AND JOINT VENTURES

<u>Entity (Legal Name)</u>	<u>Principal activity</u>	<u>Location of incorporation and operation</u>
Apollo 5 SAS ¹	Investment in sustainable energy	France
Atelier CJR SAS ²	Precious jewellery workshop	France
Authentic Material SAS	Manufacture of natural materials	France
Bell and Ross B.V.	Manufacture and sale of watches	Netherlands
Cariaggi Lanificio S.p.A ^{2^}	Manufacture textiles	Italy
Conceria Nuova Impala S.r.l. ¹	Leather goods manufacturer	Italy
Ematek SAS ²	Manufacture jewellery	France
ERPRO 3D Factory SAS	Manufacture and sale of 3D printing	France
ETS Denis et Fils SAS	Silk weaving	France
FAB Co-Creation Ventures, LLC	Implementation of venture capital strategies	United States
Fab-Co Creation Ventures II, LP	Implementation of venture capital strategies	United States
FCL S.r.l	Manufacture and surface treatment of stainless steel components	Italy
Floriance SAS ²	Precious jewellery workshop	France
Grandis SAS ³	Luxury apparel manufacturer	France
IMGL S.r.l.	Leather goods manufacturer	Italy
Innolis SAS	Manufacture and sale of interior perfumes and dispensing tools	France
Kenissi Holding SA	Watch movements	Switzerland
Leo France S.P.A. ^{2^}	Manufacture and commercialisation of metal components	Italy
MB & F SA ¹	Luxury watch manufacturer	Switzerland
Manufacture Joaillière Suisse sa ²	Precious jewellery workshop	Switzerland
Marbella ²	Dermo Adhesive jewellery and makeup	France
Montres Journe S.A.	Manufacture and sale of watches	Switzerland
Manufacture Romain Gauthier SA	Manufacture and sale of watches	Switzerland
Orius SAS ²	Manufacture of natural materials	France
Recyclocal Textiles SA ¹	Textiles	France
SCI Cepabyzance ¹	Real estate	France
SunRun CASPAR Owner 2019, LLC	Solar energy panels	United States
TSAGAAN YAMAAT CASHMERE LLC	Manufacture and sale of cashmere	Mongolia
Tulcan S.A. [^]	Investment in leather goods manufacturer	Luxembourg / Italy
Yeraz SAS [^]	Leather goods manufacturer	France

¹ New investment in 2024.

² New investment in 2023.

³ In 2024, Bolduc 2.0, which was the shareholder of Grandis, was merged into Grandis.

[^] Key associate.

INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS

INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS

Subject Matter selected by Chanel

Ernst & Young LLP ('EY') was engaged by Chanel Limited ('Chanel' or 'the Company') to perform an assurance engagement in accordance with International Standard on Assurance Engagements (UK) 3000 (July 2020) and the International Standard on Assurance Engagements ISAE 3410, to report on selected sustainability metrics (the "Subject Matter") presented in Chanel's 2024 Annual Report and Accounts (the "Report") for the year ended 31 December 2024. Specifically, EY was engaged to provide:

- Reasonable assurance over the Subject Matter identified in "Appendix A - Table A":
 - Percentage of renewable electricity (%)
- Limited assurance over the Subject Matter identified in "Appendix A - Table B":
 - Scope 1 GHG emissions (tCO₂e)
 - Scope 2 GHG emissions (tCO₂e) market-based
 - Scope 3 GHG emissions (tCO₂e) Net-Zero boundary

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express an opinion or conclusion on any information.

Reporting Criteria applied by Chanel

In preparing the Subject Matter, Chanel applied Chanel's Reporting Criteria as set out in Chanel's public Basis of Reporting ('the Reporting Criteria'). The Subject Matter needs to be read and understood together with the Reporting Criteria. Chanel are solely responsible for selecting and applying the Reporting Criteria. The Subject Matter is set out in Appendices A and the Reporting Criteria is as published on the Chanel website at: <https://www.chanel.com/ae-en/sustainability/>.

The Subject Matter and other sustainability information in the Report were prepared by Chanel. The Reporting Criteria were specifically designed for the preparation of the Report. As a result, the Subject Matter may not be suitable for other purposes.

Conclusions

Our reasonable assurance conclusion

In our opinion, the Subject Matter identified in Appendix A – Table A, for the year ended 31 December 2024, is fairly presented, in all material respects, in accordance with the Reporting Criteria.

Our limited assurance conclusion

Based on the procedures performed and evidence obtained, nothing has come to our attention that causes us to believe that the Subject Matter identified in Appendix A – Table B for the year ended 31 December 2024 is not prepared, in all material respects, in accordance with the Reporting Criteria.

**INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON
SELECTED SUSTAINABILITY METRICS**

**INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF
CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS
(CONTINUED)**

Basis for our conclusions

We conducted our engagement in accordance with the International Standard for Assurance Engagements (UK) 3000 (July 2020): Assurance engagement other than audits or reviews of historical financial information, and the International Standard on Assurance Engagements 3410, Assurance Engagements on Greenhouse Gas Statements.

Those standards require that we plan and perform our engagement i) to obtain reasonable assurance about whether, in all material respects, the Subject Matter included in Appendix A – Table A is fairly presented in accordance with the Reporting Criteria; ii) to obtain limited assurance in respect of whether the Subject Matter included in Appendix A – Table B has not been prepared in all material respects in accordance with the Reporting Criteria; and iii) to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

In performing this engagement, we have applied International Standard on Quality Management ('ISQM') 1 Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have maintained our independence and other ethical requirements of the Institute of Chartered Accountants of England and Wales ('ICAEW') Code of Ethics (which includes the requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants ('IESBA')). We are the independent auditor of the Company and therefore we will also comply with the independence requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to listed public interest entities.

Responsibilities of Chanel

The Subject Matter needs to be read and understood together with the Reporting Criteria. The directors of Chanel are solely responsible for:

- The selection of the Subject Matter to be assured;
- Selecting suitable Reporting Criteria against which the Subject Matter is to be evaluated and ensuring the Reporting Criteria is relevant and appropriate;
- Preparing and presenting the Subject Matter in accordance with the Reporting Criteria; and
- Designing and implementing internal controls and other processes they determine is necessary, to enable the Subject Matter to be free from material misstatement, whether due to fraud or error.

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EY's responsibilities

It is our responsibility to:

For sustainability metrics subject to reasonable assurance

- Plan and perform the engagement to obtain reasonable assurance in respect of whether the Subject Matter is fairly presented in all material respects in accordance with the Reporting Criteria;
- Form an independent conclusion on the basis of the work performed and evidence obtained; and
- Report our conclusion to the directors of the Company.

For sustainability metrics subject to limited assurance

- Plan and perform the engagement to obtain limited assurance in respect of whether the Subject Matter has not been prepared in all material respects in accordance with the Reporting Criteria;
- Form an independent conclusion on the basis of the work performed and evidence obtained; and
- Report our conclusion to the directors of the Company.

Summary of work performed

The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. A limited assurance engagement primarily consists of making enquiries of persons responsible for preparing the Subject Matter and related information and applying analytical and other appropriate procedures. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Because a limited assurance engagement can cover a range of assurance, the detail of the procedures we have performed in respect of the Subject Matter subject to limited assurance, is included below, so that our conclusion can be understood in the context of the nature, timing and extent of procedures we performed.

With respect to our limited assurance conclusion, the procedures performed were based on professional judgement and included, but were not limited to:

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- Conducting interviews with relevant staff to understand the data reporting processes, the key sources of information and the boundaries used for reporting.
- Reading key documentation and confirming our understanding of the key risks to data integrity and the controls associated with the collection and collation of the GHG and RE data.
- Assessing the processes for generating data, on location, at a reporting entity (site) level at a representative sample of sites. This included testing the application of Group reporting protocols and the reliability of primary data.
- Performing reporting process walkthroughs with relevant process owners, to understand the initiation, processing, and reporting of data relevant to the Subject Matter, as well as the review and controls that underpin the process.
- Testing the accuracy and completeness of a sample of data collated by reviewing evidence from data providers.
- Recalculating the group-level computations to assess the accuracy of data consolidation and aggregation for reporting purposes- including emission factors and the use of any specific tools, systems or estimation methods.

With respect to our reasonable assurance conclusion, the procedures we have performed include:

- The procedures outlined above in respect of our limited assurance conclusion.
- Performing more extensive substantive testing covering key items and representative samples based on a statistical sampling methodology were selected and agreed to source information and data to check the accuracy and completeness of data. This included an evaluation of the reasonableness of the source information and data.
- Tested the data on which estimates are based and developed our own estimates to allow us to assess the accuracy of the estimates used by Chanel.

We also performed such other procedures as we considered necessary in the circumstances.

Inherent limitations

Non-financial information is subject to more inherent limitations than financial information, given the characteristics of the underlying subject matter. Because there is not yet a large body of established practice upon which to base measurement and evaluation techniques, the methods used for measuring or evaluating non-financial information, including the precision of different techniques, can differ, yet be equally acceptable. This may affect the comparability between entities, and over time.

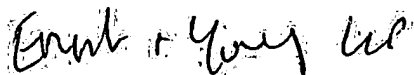
Our conclusion is based on historical information and the projection of any information or conclusions in the attached report to any future periods would be inappropriate.

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Use of our report

This report is produced in accordance with the terms of our engagement letter dated 23 January 2025, solely for the purpose of reporting to the directors of Chanel in connection with the Subject Matter for the year ended 31 December 2024. Those terms permit disclosure on Chanel's website, solely for the purpose of Chanel showing that it has obtained an independent assurance report in connection with the Subject Matter. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's directors as a body, for our work, for this report, or for the conclusions we have formed. This engagement is separate to, and distinct from, our appointment as the auditor to the Company.



Ernst & Young LLP
20 May 2025
London

INDEPENDENT ASSURANCE REPORT TO THE DIRECTORS OF CHANEL LIMITED ON SELECTED SUSTAINABILITY METRICS

Appendix A

Scope: Climate Related Financial Disclosures

The Chanel Limited Reporting Criteria is as published on the Chanel website
at: <https://www.chanel.com/ae-en/sustainability/>.

TABLE A: SUBJECT MATTER INFORMATION SUBJECT TO REASONABLE ASSURANCE

Metric Name
Percentage of renewable electricity (%)

TABLE B: SUBJECT MATTER INFORMATION SUBJECT TO LIMITED ASSURANCE

Metric Name
Scope 1 GHG emissions (tCO ₂ e)
Scope 2 GHG emissions (tCO ₂ e) market-based
Scope 3 GHG emissions (tCO ₂ e) Net-Zero boundary